

7. Prudential disclosures on environmental, social and governance risks

7.1. Introduction and governance model	253
7.1.1. Sustainability as a strategic priority	253
7.1.2. Regulatory framework	253
7.1.3. Governance model	254
7.2. Environmental Risk	264
7.2.1. Strategy and business processes	264
7.2.2. Risk Management	282
7.3. Social Risk	311
7.3.1. Strategy and business processes	311
7.3.2. Risk Management	313
7.4. Governance Risk	317
7.4.1. Risk Management	317

7.1. Introduction and governance model

7.1.1. Sustainability as a strategic priority

Sustainability for BBVA means “helping our customers in the transition to a sustainable future” by fostering environmental protection, economic growth and social development. BBVA seeks to generate a positive impact on its stakeholders through the development of its business and thanks to the multiplier effect of banking.

Climate change impacts industries and the way in which customers consume, get around, or fit out their homes, requiring significant investments that will continue for decades to come.

Furthermore, climate change and human actions are stressing natural capital (water, crops, raw materials, etc.), making it increasingly relevant for customers to ensure the continued availability and quality of essential resources for production and service delivery.

Last but not least, major inequalities are still present all around the world and may be exacerbated by the effects of the economic transformation posed by our collective decarbonization efforts or the destruction of natural capital. Banks can play a key role in the development of inclusive growth through ‘bankarization’ of the population and financial literacy, and develop inclusive infrastructure (such as health care, education and communications).

Environmental

The effects of climate change go beyond the economic sphere and require all actors in society to adapt and act together. The environmental dimension of sustainability is of great importance to BBVA. To effectively address environmental challenges, it is essential to also consider natural capital.

Through its products and services, BBVA plays an important role in the transition of its clients.

Social

Companies are fundamental actors in the development and progress of societies. From this perspective, BBVA promotes economic growth that not only respects the planet's limits but also provides opportunities for the most vulnerable segments.

BBVA contributes to this inclusive growth primarily through its business. BBVA promotes inclusive and responsible practices among its employees and clients, in addition to other philanthropic activities carried out by the Group's entities and its foundations.

Governance

Companies must carry out their activities in strict compliance with current legislation, responsibly and in accordance with strict ethical behavior standards.

BBVA understands the governance dimension of sustainability as being related to business conduct, policies, and the regulatory and governance frameworks on sustainability.

7.1.2. Regulatory framework

Implementing technical standards on ESG risk

On January 24, 2022, the European Banking Authority published its final draft implementing technical standards (“ITS”), amending the CRR on Pillar 3 disclosures relating to environmental, social and governance (“ESG”) risks.

These ITS were subsequently incorporated into the body of European Union law in the Commission Implementing Regulation (EU) 2022/2453 of 30 November 2022 amending the implementing technical standards laid down in Implementing Regulation (EU) 2021/637 as regards disclosure of information on environmental, social and governance risks.

Spanish Law 7/2021 on climate change

In accordance with the provisions of Law 7/2021 of May 20, on climate change and energy transition (Law 7/2021), an annual report must be submitted in which an assessment is made of the financial impact on society of the risks associated with climate change generated by the exposure to it of its activity, including the risks of the transition towards a sustainable economy and the measures adopted to address said risks. Likewise, under the aforementioned Law, specific decarbonization targets for the loan and investment portfolio aligned with the Paris Agreement must be published starting in 2023. The table of contents of the Law is below:

Topic	Reporting criteria
Governance	Governance structure of organization, including the role that its various bodies perform, in relation to the identification, evaluation and management of risks and opportunities related to climate change.
Strategy	Strategic approach, in terms of adaptation and mitigation of the entities to manage the financial risks associated with climate change, taking into account the current risks at the time of writing the report, and those that may arise in the future, identifying the actions necessary at that time to mitigate such risks.
Impacts	The real and potential impacts of risks and opportunities associated with climate change on the organization's activities and its strategy, as well as on its financial planning.
Risk management	The processes for identifying, evaluating, controlling and managing climate-related risks and how these are integrated into its global business risk analysis and its integration into the organization's global risk management.
Metrics and goals	Metrics, scenarios and objectives used to assess and manage important risks and opportunities related to climate change and, if calculated, the scope 1, 2 and 3 of its carbon footprint and how its reduction is addressed.

7.1.3. Governance model

Functions and responsibilities of the Corporate Bodies

Article 449 bis CRR - Table (1) e), Table (2) d)'

BBVA has a corporate governance system, comprising a set of principles, rules and mechanisms that integrate and regulate the structures and operation of its corporate bodies (hereinafter, the "System" or the "Corporate Governance System"). This system is mainly governed by the provisions of the Bank's Bylaws, the regulations of its various corporate bodies and the general policies of the Bank, as approved by the Board of Directors.

The System is aligned with BBVA's Culture and Values and is geared towards achieving the Bank's corporate interest and purpose. To ensure the above, the Board supervises its effectiveness, adapting it, when deemed necessary or convenient, to the environment in which the Bank and its Group operate, with due regard paid to prevailing regulatory and supervisory requirements and best industry practice, as well as the views and opinions of the Bank's various stakeholders.

The governance model for environmental, social and governance risks is integrated within BBVA's corporate governance system, under the terms detailed below.

Within the framework of the Corporate Governance System, the powers of the Board of Directors shall be those prescribed from time to time by prevailing and the Company's Bylaws, as well as, specifically and among others, those set out in Article 17 of its Regulations.

Among other functions, and as an essential part of the Corporate Governance System, the Board of Directors is authorized, under Article 17(1)(a)(i) of its Regulations, to approve the Bank's general policies and strategies. In use of this power, the Board has defined a general management and control framework, consisting of the Group's main strategic and forward-looking decisions (including the Strategic Plan, the Budget and the Risk Appetite Framework) and has approved a series of general policies containing the Board of Directors' main guidelines for the management and supervision of the Group's various areas of activity.

In addition, the Board broadly carries out — directly or through its Committees — the follow-up of the decisions made, including supervision of the implementation of the general policies, and of the management of the company and its Group.

For the proper fulfillment of its functions, the Board of Directors has a governance model in place that ensures the participation of all directors, with full freedom of criteria, in relation to: (i) adequate decision-making and monitoring and control processes; (ii) a complete, complete, adequate and consistent reporting model; and (iii) proactive management of identified conflicts of interest, both real and potential.

Thus, BBVA has a decision-making process which typically originates at the Bank's executive areas. These areas draw up decision proposals, coordinated with the main strategic decisions already adopted by the Board, which are then laid before the competent corporate bodies for further analysis, debate and decision, supported by a reporting model that provides complete, integral, adequate and consistent information.

This Model is characterized by the interaction of the different Corporate Bodies among themselves and with those heading up the executive areas, thus providing the opportunity for frequent analysis and debate in order to make decisions that are aligned with the corporate interest and with the Bank's Purpose.

Once the decisions have been made by the Corporate Bodies, the executive areas execute, develop or implement those decisions, reporting to the competent Corporate Bodies for their subsequent supervision and control, in accordance with the supervision and control processes in place.

To ensure that the Corporate Bodies are able to comply with the supervision and control functions ascribed to them, BBVA has a set of processes in place that structure the way in which the Corporate Bodies carry out these functions, so as to ensure that their decisions are being properly acted upon or, if necessary, to identify specific aspects that require further steps to be taken (the "Supervision and Control Model").

The exercise of supervision and control functions in each specific area is carried out by the Board of Directors, both directly at its meetings and through the activities of its various Committees, which play a key role in supervising and controlling the management.

Thus, the Committees support the Board by monitoring issues that fall within their area of expertise, doing so

more frequently and in more detail than the Board, to which they also regularly report to convey the most relevant issues addressed by each of them.

The functions of the Corporate Bodies are below:

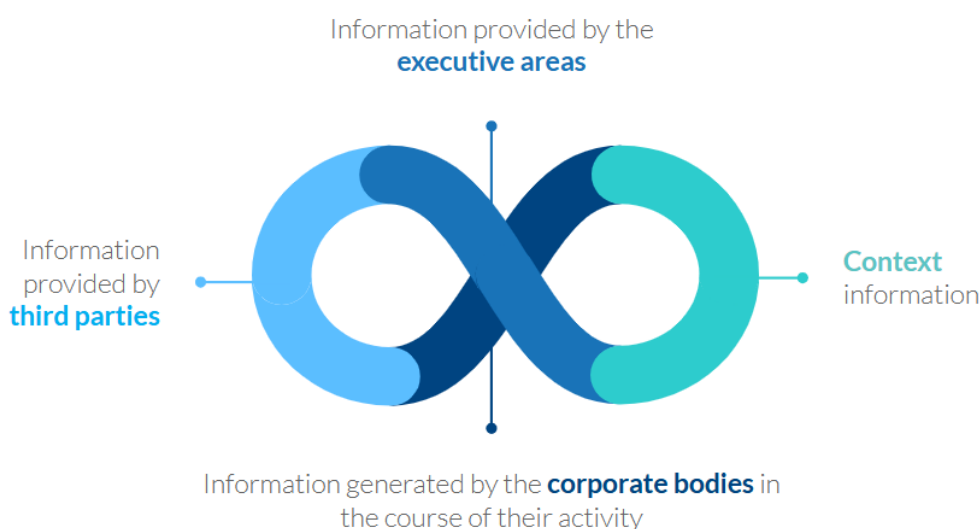


The decision-making, supervisory and control models described above are complemented by a reporting model to ensure that the Corporate Bodies have all the information they need, in due course, to carry out the duties ascribed to them. In particular, BBVA's information model is characterized by providing the Corporate Bodies with information that is: complete, integrated, adequate and consistent.

The reporting model comprises information from various sources that allows the directors, after evaluating it as a

whole, and in a constructive and critical manner, to debate the matters submitted for their consideration on the corresponding corporate bodies and to carry out the duties assigned to them.

The information flows between the Bodies are below:



According to this mode, and as set forth in Article 5 of the Regulations of the Board of Directors, prior to the meetings, directors will be provided with the information needed to form an opinion with respect to the matters within the remit of the Corporate Bodies, and may ask for any additional information and advice required to perform their duties. They may also ask the Board of Directors for external expert help for any matters put to their consideration whose special complexity or importance so requires.

Governance model of the Corporate Bodies on matters of sustainability

Article 449 bis CRR - Table (1) e), f), g), Table (2) d), e)

In the context of the Group's overall management and control framework, the Board of Directors has incorporated sustainability as one of the Bank's strategic priorities, as reflected in the Group's 2019-2024 Strategic Plan.

As part of this framework, the BBVA Board of Directors has approved the General Sustainability Policy, which sets out and defines the general principles, management and control objectives and guidelines to be followed by the Group in matters of sustainable development, understood as meeting the needs of the present generation without compromising the ability of future generations to meet their own needs, in line with the definition established in this regard by the United Nations.

The Corporate Bodies ensure that sustainability, which includes environmental, social and governance (ESG) aspects, is integrated into all the Group's businesses and activities, from a global perspective, and that the material impacts, risks and opportunities relating to sustainability are adequately managed.

To succeed in this task, the Bank has a Global Sustainability Area, which is responsible, inter alia, for designing and promoting the implementation of the Group's strategic sustainability agenda and business development in this regard; setting the Group's objectives in these matters; and promoting and coordinating the different lines of work of the Group in this area, developed by the different areas; maintaining in all areas of the Group the objective of promoting integrity in the relationship with the different stakeholders.

Likewise, the various executive areas promote the different aspects of sustainability in their respective areas of competence, considering it in the definition of their strategies, work plans, initiatives and resource management, and establishing, where appropriate, objectives and metrics that allow measuring the progress made by each of them in these areas.

The impacts, risks and opportunities arising from the various aspects of sustainability that are of material significance to the Bank are taken into account in the decisions approved by the Board of Directors that make up BBVA's general management and control framework.

In particular, they fall within the scope of the Strategic Plan, which incorporates sustainability as one of its strategic priorities; of the Budget, which sets annual targets for strategic indicators, among others, related to Sustainability; and of the Risk Appetite Framework, which makes reference to sustainability in the Risk Appetite Statement, as well as specific metrics related to sustainability (i.e. high transition risk (hereinafter, HTR) metrics and the portfolio decarbonization indicator).

Moreover, the various general policies of the BBVA Group, which set out the basic management guidelines in the different areas of special significance for the proper pursuit of the Bank's activity, also include different issues related to sustainability.

In this context, BBVA has governance models in place for the various elements that contribute to sustainability and the generation of long-term value, which stakeholders consider ESG factors or which should be included within the concept of "Sustainability". This includes the management of the environmental impact of our direct activity and that of our customers on climate change, the treatment of social issues, both within the organization as regards our own employees and in society and, fundamentally, in our customers, as well as the Bank's actions in the different areas aimed at ensuring proper business conduct.

When managing and monitoring issues related to sustainability, the Board of Directors has adopted a governance model built around the Board itself, with the specialized support of its various Committees on matters that fall within their respective remits.

In the case of the Executive Committee (hereinafter, CDP), it supports the Board of Directors in decision-making and recurrent monitoring of BBVA's strategy and objectives on matters of sustainability, which are defined while taking due account of the impacts, risks and opportunities arising from sustainability that are considered of relative importance for the Bank. The Executive Committee also supports the Board in overseeing the effective implementation and pursuit of the strategy by the Group's executive areas.

Meanwhile, the Risk and Compliance Committee supports the Board in integrating sustainability into the analysis, planning and management of the Group's financial and non-financial risks, and in overseeing their effective fulfillment.

The Audit Committee supervises the preparation process and the content of the information to be prepared by the Corporate Bodies on sustainability for publication, as part of the Group's financial and non-financial public information.

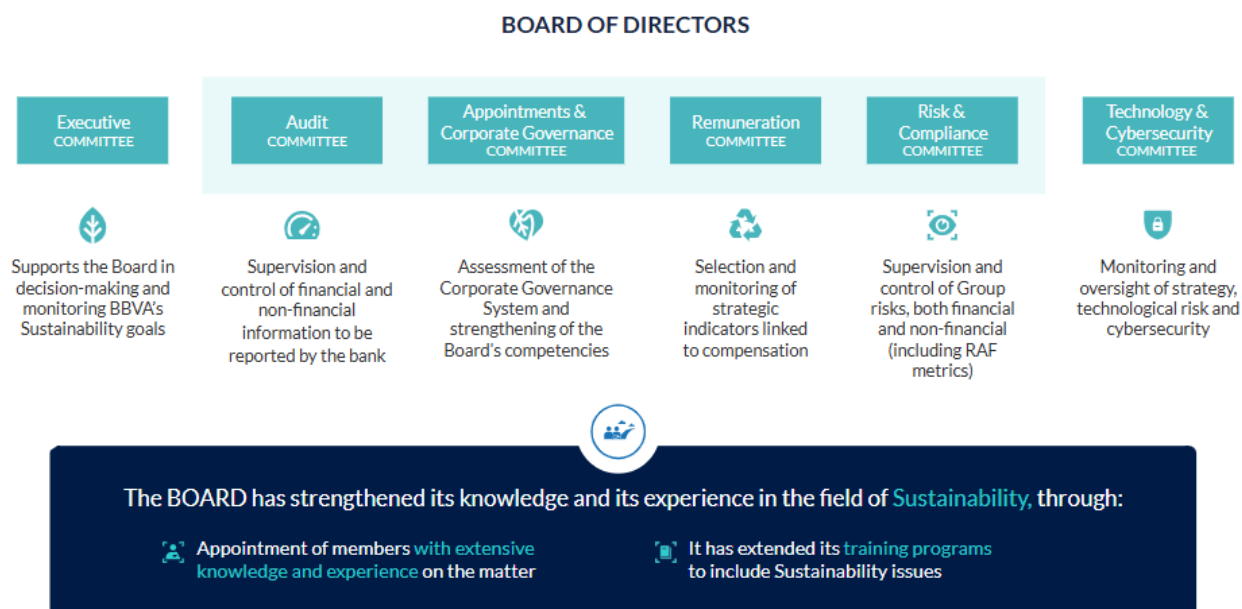
The Appointments and Corporate Governance Committee not only assists the Board in assessing the effectiveness of the aforementioned Corporate Governance System, but also ensures that sustainability-

related skills and expertise are taken into account when considering the composition of the Board of Directors.

On the other hand, the Remuneration Committee analyzes the selection and monitors the trend in strategic indicators linked to variable remuneration, including indicators related to sustainability.

Lastly, the Technology and Cybersecurity Committee assists the Board in monitoring technology strategy and cybersecurity management.

The structure of the Corporate Bodies is as follows:



Through this governance model, the Corporate Bodies define, oversee and monitor the effective implementation of the Group's strategy on matters of sustainability, while considering the impacts, risks and opportunities it generates for the BBVA Group. It also enables the Corporate Bodies to establish or oversee the establishment at the executive level, as appropriate, of the Bank's objectives in these matters and to monitor progress toward their achievement.

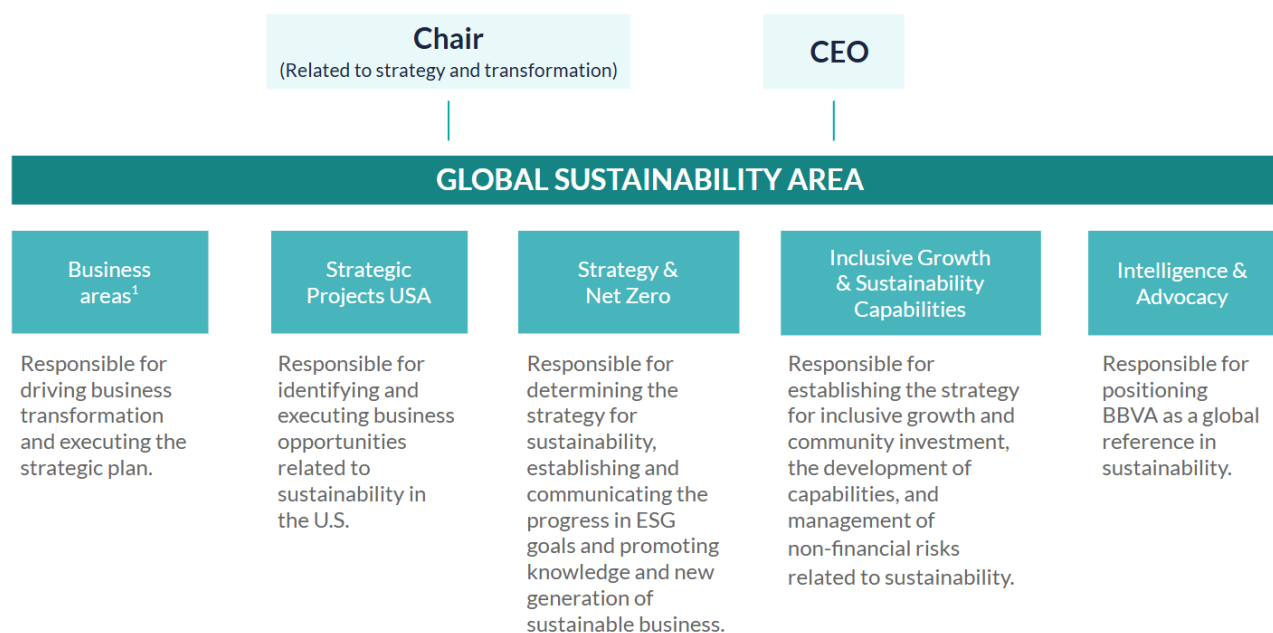
Integration of sustainability at the executive level across areas

The execution of the sustainability strategy, approved by BBVA's Corporate Bodies, implies Group-wide integration at the executive level. For this purpose, the Group has a Global Sustainability Area, the head of which reports directly to the Chief Executive Officer for matters relating to the business, and to the Chair for matters of transformation and the sustainability strategy.

The implementation of the sustainability strategy is a cross-cutting issue throughout the Group, and all areas are responsible for progressively incorporating it into their strategic agenda and work dynamics. Along these

lines, the Global Sustainability Area is responsible, inter alia, for designing and promoting the implementation of the Group's strategic sustainability agenda (focusing on the fight against climate change, protection of natural capital and inclusive growth) and business development in this area; establishing the Group's objectives in these matters; and promoting and coordinating the different lines of work of the Group in this area, developed by the different areas; maintaining in all areas of the Group the objective of promoting integrity in the relationship with the different stakeholders.

Notably, the sustainability governance model in place at the Group combines the governance model of the Corporate Bodies with a Group-wide structure at the executive level, headed up by the Global Sustainability Area, thus helping the Group to pursue its priority strategic objectives in the different areas of the Group, in accordance with the main focuses of action in terms of sustainability set out in the Group's General Sustainability Policy (climate change and protection of natural capital and inclusive growth). The structure of the Global Sustainability Area is below:



⁽¹⁾ This includes: CIB Investment Banking & Finance and Client Solutions Spain, Mexico, Turkey and South America.

As shown in the figure above, the Global Sustainability Area incorporates dependencies of the business units of both Commercial Client Solutions and Retail Client Solutions, as well as CIB, the business unit with which it shares its top manager, with the aim of strengthening and accelerating the integration of sustainability into the Group's business.

In addition, BBVA has developed a network of experts, made up of sustainability specialists in different areas of the Group (Retail Client Solutions, Commercial Client Solutions, Corporate & Investment Banking, Asset Management, GRM, Finance, Regulation & Internal Control, Legal, Internal Audit and the Global Sustainability Area itself). These specialist teams are responsible for generating knowledge in the field of sustainability in the Group for proposals and solutions for customers, as well as for supporting the areas in the development and implementation of new value propositions in the field of sustainability, the integration of sustainability risks in risk management, the management of non-financial risks, as well as the definition of a public agenda and sustainability standards.

In 2022, the Sustainability Alignment Steering Group (hereinafter SASG) was created to make proposals and monitor the alignment objectives of the sectors for which specific objectives have been set and to supervise their compliance. It is made up of the heads of the Corporate & Investment Banking, GRM, Global Sustainability Area, Strategy and Regulation & Internal Control business areas.

After passing through the SASG, the monitoring of compliance with the objectives, including an explanation of possible deviations and measures to redirect them (if applicable), is presented quarterly for review at the highest executive level and subsequently to the corporate bodies, at least every two years.

With regard to the disclosure of ESG public information, the BBVA Group has an ESG Reporting Committee. The Committee serves as a coordinating and support body at the executive level aimed at ensuring that the information to be disclosed on sustainability matters to be formulated by the BBVA Group's corporate bodies reflects its sustainability objectives and strategy, as well as the risk management model and the relevant quality standards. The Committee is headed up by the Finance area and the following areas take part in meetings: Global Sustainability Area, Global Risk Management, Regulation & Internal Control, Legal Services, General Secretary, Data, Chair Office, Talent & Culture, and Internal Audit.

In order to strengthen the Group-wide integration of sustainability, BBVA has incorporated other aspects related to sustainability in the day-to-day running of its business, encompassing not only its relationship with customers but also in internal processes, including its management control and reporting processes.

The following actions can be highlighted:

- Steady integration of sustainability when delivering financial reports to Senior Management and the business areas.

In Spain, for example, these reports include analysis of the trend in profitability and its impact on the income statement, and certain decisions on the allocation of internal resources are derived from them.

- Use of financial information for decision-making based on the Sustainability pillar.

In Spain, for example, this information includes data on the channeling of sustainable business, profitability, the percentage penetration of sustainable business, as well as balance sheets and income statements enabling the Bank to monitor sustainability for each of the business segments.

- Incorporation of global and local sustainability projects into the Single Development Agenda (SDA)

Development and implementation of global and local sustainability projects under the umbrella of the Single Development Agenda (SDA). The SDA is the standard governance framework where projects are prioritized and the financial resources and human capital needed to carry them out are allocated accordingly. The amount set aside for sustainability-related projects amounted to 52.5 million euros in 2024¹⁷. We would highlight the investments made in the following areas: (i) Transformational projects to be able to offer sustainable products for the existing businesses and grow in new markets, thus strengthening the Group's competitive position in the long run; (ii) projects relating to risks and processes for the comprehensive adaptation of the current components and the implementation of new physical and transition risk controls; (iii) projects to accompany the transition toward the decarbonization objectives set; (iv) projects with a strong community investment component focused on inclusive growth; (v) projects to implement the main requirements related to ESG reporting; and (vi) projects in the technological realm to make the sustainability pillar part of data models and implement global indicators to monitor the volume of sustainable financing channeled.

Additionally, the Group has also developed a procedure for managing environmental and social disputes in order to identify the existing processes that prevent disputes from materializing and to establish how to manage and resolve them in this regard. This procedure covers environmental and social disputes associated with wholesale customers that are incorporated into the development of their financial programs. It also highlights the due diligence process carried out on Corporate & Investment Banking (C&IB) clients when verifying compliance with the Environmental and Social Framework and the Equator Principles.

The CIB Engagement Oversight Group Client Committee (hereinafter CEOG), or its local equivalent designated in each geography, monitors the dialogue and support plans with clients and assesses compliance with the Environmental and Social Framework described in section 7.3.1 Strategy and the business processes relating to Social Risk.

The CEOG meets annually by default, although ad-hoc meetings may be held as and when needed.

The results of the social controversy analysis of customers and projects are managed through the New Business Committee ("NBC") and are also considered in the approval of financial programs for wholesale clients, which are managed through the Credit Risk Approval Committee structure.

The NBC is held at least weekly and has a sectoral focus. Each wholesale customer transaction must be approved taking into account the environmental, social, and governance (hereinafter, ESG) risk factors that affect the transaction, which are specifically defined and assessed for each transaction proposal presented at the NBC. The proposals are evaluated by the Committee members, along with other relevant non-ESG factors considered when deciding whether to approve the transaction.

If the transaction is approved, it must be evaluated by the wholesale credit risk management committees, which also analyze ESG risk factors, specifically including social and governance risks, as explained above.

To facilitate the decision-making processes described above, the Sustainable Finance CIB team (which also handles the C&IB Reputation functions) may request a further analysis by the Reputation Holding unit. This unit periodically reports on the Group's reputational risks to the Corporate Assurance Committee and to the Executive Committee attached to the Board of Directors. This process may include an assessment of potential environmental, social or governance risks.

Finally, in December 2024, the new Wholesale and Sustainability Committee was established, becoming the main decision-making and monitoring body for the actions related to the integration of climate and environmental risk within BBVA's risk management framework. Specifically, it focuses on the integration of these risks into the planning processes, the definition of appetite, and decision-making at the client, transaction, or portfolio level, within the scope of credit risk, markets, and structural risks

This is specified as follows:

- Taxonomies of climate and environmental risks and their evolution.
- Methodological decisions in emission calculation engines impacting RAF metrics.

¹⁷ The data includes information from Spain, Mexico, Turkey, Argentina, Colombia, Peru, Uruguay, and Venezuela.

- iii. Approval of specific tools not considered as models.
- iv. Decisions on the adoption of external models or the development of in-house calculation capabilities for climate and environmental risk.
- v. Review and feedback from Wholesale & Sustainability Risk on the proposals to revise the Environmental and Social Framework by the GSA.

For more information, the sections 7.2 Environmental Risk, 7.3 Social Risk, and 7.4 Governance Risk, under the subsections on Strategy and Risk Management in this report, also mention issues related to the governance approach in the ESG field.

Activities of the Corporate Bodies on sustainability matters of frequency of meeting

Article 449 bis CRR – Table (1) h), Table (2) f)

The Board of Directors has made sustainability one of the Bank's strategic priorities and has approved the General Sustainability Policy, which defines and establishes the general principles, and the management and control objectives and guidelines to be followed by the Group in matters of sustainable development, supervision of which rests with the Board.

This Policy, revised in 2022, integrates the previous Corporate Social Responsibility Policies and the General Sustainability Policy and identifies BBVA's main stakeholders and other groups (customers, employees, shareholders and investors, suppliers, regulators and supervisors, as well as community investment) and the different areas of action (tax responsibility, prevention of illegal conduct and corruption, participation in international initiatives and commitment to human rights).

In addition, the Board of Directors has made other specific management decisions relating to sustainability, notably: establishing a strategic indicator for the channeling of sustainable business, with a target of 300 billion euros set for the 2018–2025 period, which is also part of the indicators in place for the incentive of the workforce; targets for the decarbonization of the portfolio aligned with the goal of achieving zero net emissions by 2050; or the Investment in the Community of 550 million euros.

When it comes to supervising and controlling the effective implementation of the decisions made by the Board of Directors on matters of sustainability, the Corporate Bodies rely on the reports received both from the Global Sustainability Area and from the Group's different areas and departments, which incorporate sustainability in the reporting processes for their businesses and activities.

The executive areas submit these reports to the Corporate Bodies according to their respective remits, either on a regular or as needed basis.

For these purposes, it should be noted that in 2024 the Corporate Bodies received regular specific reports from the Global Sustainability Area, allowing them to monitor and oversee different aspects of the strategy related to sustainability and the objectives set, as well as the main projects and lines of work of the Group in this regard.

In this regard, within the framework of reporting on Sustainability to the corporate bodies, which includes the performance of the inclusive growth strategy, reports have been presented three times to the Board and twice to the CDP.

In 2024, the issues addressed regarding inclusive growth have been framed within the goal of driving sustainable business.

Moreover, the Group's various business and global areas reported to the Corporate Bodies on their activities, which include sustainability as one of the key pillars, seeing as though it is a strategic priority of the organization. More precisely, they delivered detailed accounts of the initiatives, projects and specific activities developed and the resources they rely on in pursuing this priority.

Remuneration policy with objectives related to environmental and social risks

Article 449 bis CRR - Table (1) i), Table (2) g)

BBVA has a BBVA Directors' Remuneration Policy, which was approved by the General Shareholders' Meeting on March 17, 2023 for financial years 2023, 2024, 2025 and 2026 and which governs the remuneration of the members of the Board of Directors, both executive and non-executive. This policy can be found on the Bank's website.

The BBVA Directors' Remuneration Policy is one of the elements designed by the Board of Directors, as part of the Bank's Corporate Governance System, within the framework of commercial legislation and the specific regulations applicable to credit institutions. It also considers best national and international practices and recommendations on matters of remuneration. The suggestions received as part of the constant and constructive dialogue that BBVA maintains with its shareholders, investors and other stakeholders were also taken into account.

In accordance with the provisions of BBVA's Directors' Remuneration Policy, BBVA's executive directors are subject to an annual variable remuneration scheme that includes a short-term incentive, like the rest of the Group's staff, as well as a long-term incentive, like the other staff members whose professional activities have a significant impact on the risk profile of BBVA and/or its Group.

The short-term incentive will be calculated by taking as a reference the target short-term incentive established for each executive director in the BBVA Directors' Remuneration Policy (which represents the amount of the short-term incentive if 100% of the pre-established

targets are achieved), based on the results, or outcome, of a series of indicators, both financial and non-financial, with an annual measurement period, and which are aligned with the most relevant management metrics and with the Group's strategic priorities.

Table 96. Annual variable remuneration 2024 - Short-term incentive annual indicators (BBVA Group, percentage %)

(Measurement period 2024)	Weighting on ICP Objective	Weighting on RVA Target ⁽¹⁾	Weighting on RVA 2024 granted ⁽²⁾
FINANCIAL			
Net attributable profit	20	13	14
RORC	20	13	14
Efficiency ratio	20	13	11
NON-FINANCIAL			
Net Promoted Score (NPS)	15	10	7
Target customers	15	10	7
Sustainable business channel	10	6	7

⁽¹⁾ The target short-term incentive (TSI) represents 64% of the target annual variable compensation (AVR) for executive directors.

⁽²⁾ Taking into account the short-term incentive generated with an achievement level of 126% of the target short-term incentive and assuming an achievement level of 150% of the target long-term incentive. However, the final amount of the annual variable compensation will depend on the result of the long-term indicators (at year-end 2027), which may be in a range of 0% to 150% achievement.

The long-term incentive will be calculated by taking as a reference point the target long-term incentive (which represents the amount of the long-term incentive if 100% of the pre-established targets are achieved), in the amounts set out in the BBVA Directors' Remuneration Policy for each executive director. This is based on the result, or outcome, of a series of long-term indicators,

both financial and non-financial, which look at the Group's performance over a multi-year framework, and which prioritize the creation of value and profitability for shareholders and for the Group in the long run, as well as the progressive achievement of the Bank's goals and objectives on matters relating to sustainability.

Table 97. Annual variable remuneration 2024 - Long-term incentive long-term indicators (BBVA Group, percentage %)

(Multi-year measurement period with targets to 2027)	Weighting on ILP Target	Weighting on RVA Target ⁽¹⁾	Weighting on RVA 2024 granted ⁽²⁾
FINANCIAL			
Tangible Book Value per share (TBV per share)	40	14	16
Relative Total Shareholder Return (Relative TSR)	40	14	16
NON-FINANCIAL			
Portfolio decarbonization ⁽³⁾	15	5	6
Percentage of women in management positions	5	2	2

⁽¹⁾ The target long-term incentive (LTI) represents 36% of the target annual variable compensation (AVR) of the executive directors.

⁽²⁾ Taking into account the short-term incentive generated with an achievement level of 126% of the target short-term incentive and assuming an achievement level of 150% of the target long-term incentive. However, the final amount of the annual variable compensation will depend on the result of the long-term indicators (at year-end 2027), which may be in a range of 0% to 150% achievement.

⁽³⁾ The amount of the long-term incentive for the year 2024 of the executive directors (assuming a level of achievement of 150%) associated with the Decarbonization of the portfolio indicator represents 3.7% of the total remuneration for the year 2024 of the Chairman and 3.0% of the total remuneration for the year 2024 of the Chief Executive Officer. Total compensation includes in both cases the fixed and variable components of the executive directors' compensation.

The indicators used to calculate the annual variable remuneration include several non-financial or sustainability-related indicators, namely IReNe (NPS), Target customers, Channeling of sustainable business, Portfolio decarbonization and Percentage of women in management positions, which together account for 32.8% of the target annual variable remuneration.

Commitment to employee and labor standards compliance, customer protection and product responsibility¹⁸
Article 449 bis CRR – Table (2) d)

BBVA has one Purpose: "To bring the age of opportunity to everyone". A Purpose that seeks to help all stakeholders, customers, shareholders and also its employees, to meet their life goals. The aim as an organization is to have the best and most engaged team, which is one of BBVA's six strategic priorities. Therefore, BBVA must be able to attract, motivate, train and retain the best talent, aligned with the Group's values.

¹⁸ BBVA publishes all information related to compliance with social and governance factors in the Annual Management Report.

The Talent & Culture area has set two strategic objectives that allow the Group to measure the degree of implementation of the policies and the scope of the actions taken among employees:

- Employee engagement with BBVA. All impacts identified on employees affect their engagement with the Group. BBVA measures the level of employee engagement on an annual basis through surveys conducted by the external company Gallup, which has a standardized methodology that has been tested over the years.
- The percentage of women on the Group's management team. Women account for 35.4% of BBVA's management team, exceeding the 35% target achieved in 2022, and which has been extended to 36.8% by 2026.

Remuneration policies

The corporate governance system defined by the Board of Directors, which guarantees sound management and supervision of the entity, includes gender-neutral remuneration policies and practices, compatible with prudent and effective risk management, aimed at encouraging responsible conduct and fair treatment of customers, while helping to avoid conflicts of interest and promoting competitive remuneration.

BBVA's Remuneration Policies are gender-neutral, reflecting equal remuneration for the same functions or functions of equal value, and do not differentiate or discriminate on the basis of gender. The remuneration model takes into account the level of responsibility, the functions carried out and the professional career of each employee, ensuring internal equity and external competitiveness, as well as equal remuneration for men and women.

BBVA Group's¹⁹ adjusted²⁰ salary gap 34 for 2024 and 2023 is 0.6% and 0.5%, respectively.

Code of Conduct

The Code of Conduct establishes that all employees of the BBVA Group must act with integrity and responsibility, respecting applicable laws and regulations, and demonstrating the level of prudence and professionalism befitting the trust placed in BBVA by customers and shareholders alike.

With the aim of reinforcing awareness and knowledge of the Code of Conduct, BBVA has a mandatory corporate course that all employees must complete every three years. The course includes messages from members of Senior Management that address various aspects of conduct considered relevant to the daily activities of BBVA's employees, thus reflecting the commitment of

Senior Management to strengthening the culture throughout the Group. The Compliance unit monitors completion of the course by employees, and there are mechanisms and reminders for those who have not yet to complete it.

Additionally, the Group offers various courses on business ethics, including Training on the Anti-corruption Policy.

Labor rights

Working conditions, as well as the rights and obligations of employees in the workplace, are set out in regulations, collective agreements and individual or collective agreements, in accordance with the various regulations in force in the countries in which BBVA is present.

In accordance with the above, the regulatory framework governing the conditions of the entire workforce is as follows:

- Employment regulations applicable in each of the geographies in which the bank is present in form of laws, regulations or standards issued by the competent bodies in each geography and are applicable to all workers in each geography.
- Sectoral agreements with the unions of each sector. These agreements must respect applicable labor regulations but may improve upon what is provided for in them. For example, in Spain the Banking Collective Agreement is negotiated in the banking sector and applies to its employees, and this is the one that applies to BBVA, S.A.
- Bilateral agreements between the bank and the trade unions that exist at each of the group's companies. These agreements must comply with the provisions of the sector regulations or agreements (points a and b), but may improve upon what is provided for therein.
- Unilateral measures carried out by each entity to improve what is provided for in the previous aspects.

To ensure compliance with all legal requirements, carry out bargaining processes and monitor the effectiveness of the measures agreed upon, there are permanent local Advisory and Labor Relations teams set up in each geographical area. At some companies that do not have local teams, advisory services are arranged with external law firms or lawyers specialized in the subject. Additionally, there is a global team with a cross-cutting vision of labor issues that provides guidelines and strategic advice to local teams.

The agreements described are updated as frequently as required by regulations or as determined by the negotiating parties. The employment conditions and

¹⁹For this calculation, the median is used, as this statistical indicator is less affected by the presence of biases in the distribution of extreme values and better represents the actual situation of the Group.

²⁰The calculation of the adjusted gap includes 90.8% of the Group's employees. The remaining employees cannot be included in the calculation because they are associated with positions where there is no representation of both genders.

rights of people working at BBVA are duly communicated through the usual channels that each entity maintains with its employees (Intranet, e-cards, Talent & Culture portal, forums, etc.), in employment contracts and even in the onboarding programs provided to new hires.

These labor regulations, which govern the obligations and rights of workers, cover a wide variety of aspects of working conditions such as working hours, holidays and leave (paid or not), types of contracts, disciplinary system, remuneration and benefits, etc.

7.2. Environmental risk

7.2.1. Strategy and business processes

Our sustainability strategy and objectives

Article 449 bis CRR - Table (1) a), b)

BBVA has made sustainability one of its six strategic priorities, focusing on the fight against climate change, the protection of natural capital, and inclusive growth.

BBVA's sustainability strategy has a roadmap with two clear objectives:

- Fostering new business through sustainability with a global and holistic approach to global warming, natural capital and social issues: BBVA aims to channel EUR 300 billion in sustainable business between 2018 to 2025²¹. As part of the 2025-2029 Strategic Plan, BBVA has set a new sustainable business target of EUR 700 billion over these years. This means more than doubling the previous EUR 300 billion for the 2018-2025 period, which already reached EUR 304 billion by 31 December 2024, one year ahead of schedule, and around EUR 99 billion for the year.

With regard to climate change, BBVA channelled more than EUR 77 billion in 2024, which was

earmarked, among other things, for the electrification of industry, energy efficiency measures, the development of renewable projects and the promotion of solar self-consumption, and the transformation of the transport and logistics sector.

- Achieve Net Zero by 2050 with sectoral decarbonization plans in those sectors most relevant to the decarbonization process: BBVA has interim decarbonization goals (2030) that include the oil and gas, electricity generation, automotive, cement, steel, coal, aviation and maritime transport sectors. In 2024, it incorporated targets for the aluminum and real estate sectors (both commercial and residential in Spain).

Intermediate decarbonization targets are defined using alignment methodologies that help to understand how financial flows contribute to emission reductions, while also helping to design sectoral alignment plans. Moreover, these plans help define the commercial strategy with customers based on risk and business opportunity considerations, as well as the assessment of the customers' own transition plans.



Promoting new business through sustainability

Channeling sustainable business

2025 GOAL

BN 300 €

FROM 2018 TO DEC. 2024

BN 304 €



Achieve Net Zero Emissions by 2050

Setting and managing decarbonization targets by 2030

SECTORS¹

- Oil & Gas
- Power generation
- Auto
- Steel
- Cement
- Coal
- Aviation
- Shipping
- Real Estate (commercial)
- Real Estate (residential)
- Aluminum

84%

of loan portfolio corresponds to customers who actively manage their transition²

⁽¹⁾ Oil & Gas (upstream), Power generation, Auto (manufacturers), Steel (manufacturers), Cement (manufacturers), Coal (thermal coal mining), Aviation (airlines), Shipping (operators), Real estate (commercial), Real estate (residential), Aluminum (primary manufacturing). The geographical scope of the real estate sector's (commercial and residential) intermediate emissions reduction target for 2030 is Spain.

⁽²⁾ Percentage calculated in terms of the volume of loans in the portfolio, which includes both drawn and undrawn financing (such as Loans, unused Revolving Credit Lines, Guarantees, ECA lines, among others). Data as of December 2024. Corresponds to high-emission sectors that include Oil & Gas, Power generation, Autos, Steel, Cement, Thermal coal mining, Aviation and Aluminum at the BBVA Group level. Customers actively managing their transition are considered to be those classified as "Advanced", "Robust" or "Moderate" according to internal transition assessment tools such as the Transition Risk Indicator (TRI), taking into account their medium-term emissions reduction targets and levers for managing said emissions and their committed investments to execute their transition plan.

²¹ The Objective 2025 includes channelling financial flows, cumulatively, in relation to activities, customers or products considered sustainable or that promote sustainability in accordance with both internal and market standards, existing regulations and best practices. For more information, see the section "Evolution of the sustainable business channelling".

Sustainability in the business model and corporate environment

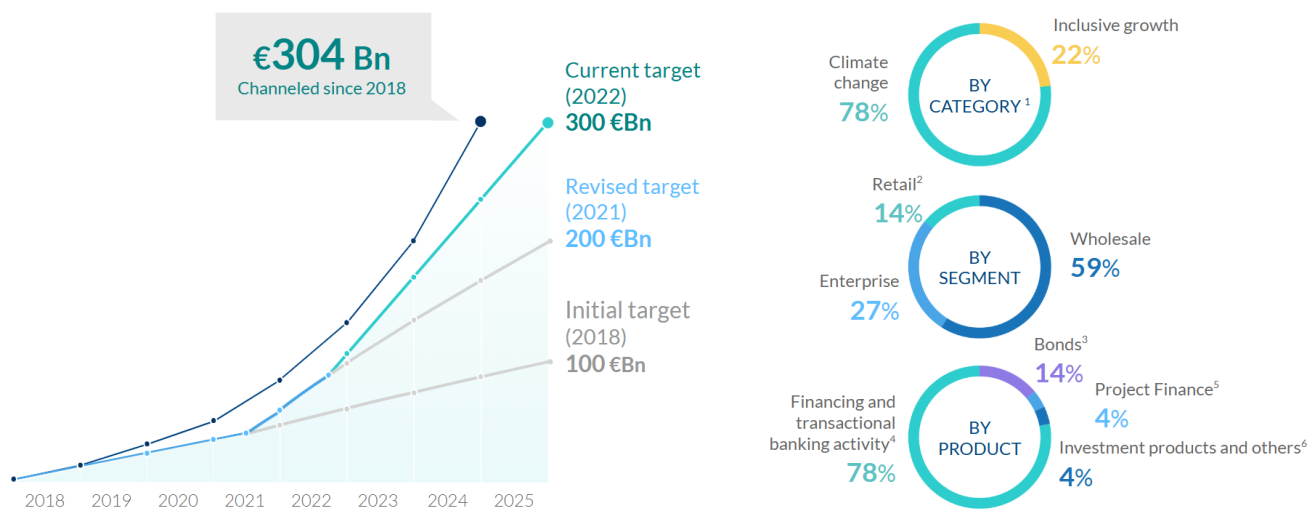
BBVA fosters the development of sustainable products or products that promote sustainability, in order to benefit from the growth in this type of business.

The bank follows a customized approach for each customer segment, including wholesale customers (corporate and institutional), corporate customers and retail customers. The development of products and services is accompanied by interaction and constant dialogue with customers.

In 2018, BBVA set a target of achieving EUR 100 billion euros of sustainable business channeling through 2025. In 2021 and 2022, it increased the 2025 Target, tripling its initial target to 300 billion euros over the 2018–2025 horizon. This target covers wholesale, corporate and retail banking in Spain, Mexico, Turkey, Argentina, Colombia, Peru and Uruguay. In the case of wholesale customers, in addition to these countries, it also covers the United States and the branches of Banco Bilbao Vizcaya Argentaria, S.A. in Belgium, France, Italy, Germany, Portugal and the United Kingdom.

This objective includes channeling financial flows, cumulatively, toward activities, clients or products considered sustainable or that promote sustainability.

Chart 24. Cumulative channeling 2018-2024 (BBVA Group)



⁽¹⁾ In those cases where it is not feasible or sufficient information is not available to allow an exact distribution between the categories of climate change and inclusive growth, internal estimates are made based on available information. Climate change: Also includes Natural Capital.

⁽²⁾ Includes the activity of the BBVA Microfinance Foundation (FMBBVA), which is not part of the consolidated Group and which has channeled around 9 billion euros in the period from 2018 to 2024, mainly to support vulnerable entrepreneurs with microcredits.

⁽³⁾ Green, social, sustainable or sustainability-linked bonds (in accordance with both internal and market standards, existing regulations and best practices) in which BBVA acts as bookrunner.

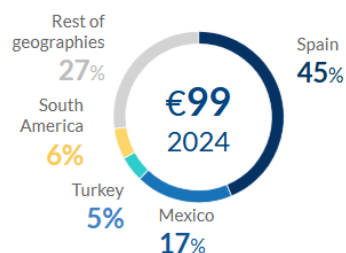
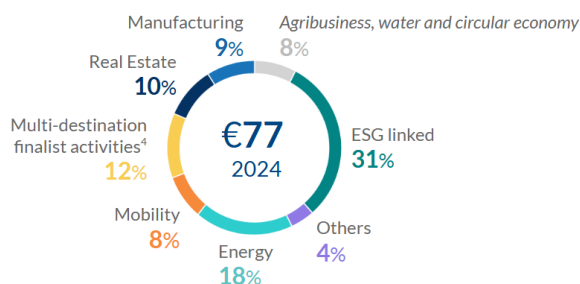
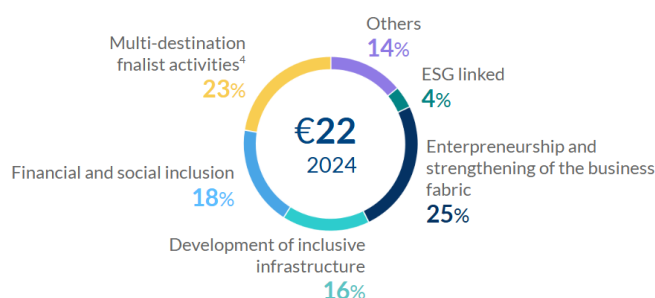
⁽⁴⁾ Fundamentally includes (i) products, both long and short term, whose funds are destined to activities considered sustainable (according to internal and market standards, existing regulations and best practices), (ii) generalist products, both long and short term, aimed at customers considered sustainable based on their revenues from sustainable activities (in accordance with existing regulations and/or internal standards) or in accordance with company-level certifications of recognized prestige in the market, as well as (iii) products, both long and short term, linked to sustainability (in accordance with internal and market standards and best practices), such as those linked to environmental and/or social indicators.

⁽⁵⁾ Green and/or social projects in accordance with internal and market standards, existing regulations and best practices.

⁽⁶⁾ Art. 8 or 9 investment products under the Sustainable Finance Disclosure Regulation (SFDR) or similar criteria outside the EU managed, brokered or marketed by BBVA. "Other": includes deposits under the Sustainable Transaction Banking Framework until such time as it was replaced by the CIB Sustainable Products Framework (both Frameworks published on the bank's website), insurance policies related to energy efficiency and inclusive growth, and electric vehicles auto renting, mainly.

In 2024, around EUR 99 billion was channeled. This channel represents an increase of 42% with respect to 2023. This amount is broken down below by category, segment, product, scope of operations and geography:

Chart 25. Channeling 2024 (BBVA Group)

GEOGRAPHY BREAKDOWN ¹
(Billions)**CATEGORY BREAKDOWN ²**
(Billions)**CUSTOMER BREAKDOWN**
(Billions)**BREAKDOWN BY AREA OF ACTIVITY**
(Billions)**CLIMATE CHANGE****INCLUSIVE GROWTH**

⁽¹⁾ In general, the criterion used for the distribution of the channeling by geographies is that of the place of registration of the corresponding operation. However, there are certain exceptions when several geographies are involved in the operation.

⁽²⁾ In those cases where it is not feasible or sufficient information is not available to allow an accurate distribution between climate change and inclusive growth categories, internal estimates are made based on available information. Climate change: Also includes Natural Capital

⁽³⁾ Includes the activity of the BBVA Microfinance Foundation (FMBBVA), which is not part of the consolidated Group and which has channeled around 1,500 million euros in the period from 2018 to 2024, mainly to support vulnerable entrepreneurs with microcredits.

⁽⁴⁾ It covers more than one area of action, but with the information available it is not possible to make an exact allocation.

Integration of sustainability into financial planning

In order to strengthen the Group-wide integration of sustainability, BBVA has incorporated other aspects related to sustainability in the day-to-day running of its business, encompassing not only its relationship with customers but also in internal processes, including its management control and reporting processes.

On a recurring basis, financial reports are used for decision-making based on the sustainability vector, including data on the channeling of sustainable business, profitability, sustainable activity penetration percentage, as well as balance sheets and income statements that allow monitoring of sustainable transactions for each of the business segments. Sustainability is expected to be progressively integrated into the financial reporting of other geographic areas.

Criteria for determining the sustainable business routing

BBVA considers the sustainable activities of its customers that comply with internal standards and/or applicable law and regulations, according to information publicly available (relying on external data providers to gather such information in certain cases) and using company-level certifications that are widely recognized within the market.

The following standards are taken into account when determining the channeling:

- Own standards:
 - (i) Internal standards inspired by the European taxonomy (insofar as they consider the "substantial contribution" element to the environmental objectives defined by said taxonomy) and best market practices, which may also present a certain degree of flexibility when applied in non-European geographic areas in order to reflect their different national situations and avoid excluding emerging economies. These could be applied in countries where local taxonomies exist.

(ii) CIB Framework for Sustainable Products: applicable to certain products of BBVA's CIB activity, such as transactional banking products or certain structured products of the Global Markets activity. It is based on the SDGs, market practices and internal standards, with the opinion of an independent third party. This Framework is public and available on the BBVA shareholders and investors website.

- Market standards for products and activities based on the use of funds: mainly the Green Bond Principles and the Social Bond Principles of the International Capital Markets Association, as well as the Green Loan Principles and the Social Loan Principles of the Loan Market Association. Other market standards, such as the SDGs, are also taken into account.
- Market standards for products and activities related to sustainability (generally linked to a series of indicators or criteria related to ESG aspects in order to encourage positive behavior in sustainability matters): mainly the

Sustainability-Linked Bond Principles of the International Capital Markets Association and the Sustainability-Linked Loan Principles of the Loan Market Association.

In addition to internal and market standards and best practices, existing regulations on the subject (most notably the Taxonomy Regulation 2020/852 and the Disclosure Regulation 2019/2088) are taken into account.

The channeling of sustainable business referred to above is an internal metric that differs from other metrics of a regulatory nature. In particular, this metric differs from the metrics to be broken down according to the European Taxonomy (Regulation 2020/852, Delegated Regulation 2021/2178, Delegated Regulation 2022/1214, Delegated Regulation 2023/2485 and Delegated Regulation 2023/2486) as well as from the information to be disclosed under the implementing technical standards (ITS) on Pillar 3 information related to environmental, social and governance risks²².

The main differences are outlined below:

SUSTAINABLE BUSINESS CHANNELING

- Includes the channeling of financial flows in relation to activities, customers or products considered sustainable or that promote sustainability in accordance with both internal and market standards, existing regulations and best practices.
- Includes the channeling of financial flows that may not be recorded on the balance sheet (e.g. certain transactional banking activity, mutual funds or bonds in which BBVA acts as bookrunner, etc.).
- The concept is cumulative (reflects cumulative balances originated since 2018) and reflects the total flow channeled at the time of origination.
- Includes the channeling of flows that contribute to a purpose of a social nature, such as inclusive growth, and other environmental objectives.

METRICS RELATED TO EUROPEAN TAXONOMY

- They are constructed based on environmentally sustainable economic activities according to the European regulation.
- Key metrics (e.g. GAR) include exposures on the asset side of the balance sheet⁽¹⁾.
- Only consider the current exposure mainly reflected on the balance sheet, corresponding to the reporting date.
- They consider the contribution to an environmental purpose primarily, although the regulations provide for minimal social safeguards.

⁽¹⁾ According to the regulatory definition (FINREP) of exposure: outstanding risk on loans and advances, as well as bonds in the investment portfolio.

Alignment of the loan portfolio with the Paris Agreement

Article 449 bis CRR - Template 3

Achieving net zero emissions by 2050 includes addressing emissions from customers receiving financing from the Group. In order to support its customers in the transition to a more sustainable future, BBVA continues to make progress in publishing the 2030 alignment targets for the sectors defined in the Net Zero Banking Alliance's Climate Target Setting Guide.

These alignment objectives²³ involve establishing specific objectives for the different sectors that are considered to

be the largest emitters. According to the aforementioned Guide, these targets must be determined at sectoral level, which implies that adapted and specific targets will be set for each economic sector, in order to reduce its carbon footprint and move towards emission neutrality. This sectoral approach makes it possible to address the specific particularities and challenges of each industry on its path to environmental sustainability.

Considering the above, in 2021 BBVA announced its objective of phasing out thermal coal activities, by ceasing to finance companies involved in these activities in 2030 in developed countries by 2040 globally (under the terms of the Environmental and Social Framework).

²² Incorporated into Commission Implementing Regulation (EU) 2022/2453 of 30 November 2022 amending the implementing technical standards set out in Implementing Regulation (EU) 2021/637.

²³ The achievement and steady progress toward the decarbonization objectives will depend to a large extent on the actions of third parties, such as customers, governments and other stakeholders, and may therefore be materially affected by such actions, or lack thereof, as well as by other exogenous factors that do not depend on BBVA (including, but not limited to, new technological and regulatory developments, military conflicts, the evolution of climate and energy crises, etc.). Accordingly, these objectives may be subject to future revisions.

In 2021, using the PACTA (Paris Agreement Capital Transition Assessment) methodology, BBVA published its 2030 alignment targets for the power generation, automobile, steel and cement sectors. The Net Zero scenario of the International Energy Agency (IEA_NZE) and the Institute for Sustainable Futures Sectoral Pathways to Net Zero Emissions (ISF NZ) was used as a benchmark. In 2023, the International Energy Agency published an update to the 2050 net zero emissions scenario. BBVA's interim decarbonization targets to 2030 published in 2021 remain unchanged.

In 2022, BBVA published its alignment target for the oil & gas sector. Within the NZBA, BBVA participated in the definition of a specific guideline for this sector. However, given its significance in terms of global emissions, it was decided to publish a metric that would include the largest amount of emissions given the information available. The PCAF methodology has been used for the calculation and a Scope 1, 2 and 3 absolute emission reduction target has been set for oil exploration and production.

In 2023, 2030 alignment targets were published for the aviation and shipping sectors. The Net Zero scenario of the International Energy Agency (IEA_NZE) for aviation and the strategy set in 2018 by the IMO (International Maritime Organization) on emissions reduction for maritime transport have been used as benchmarks.

Lastly, in 2024, BBVA expanded its interim emissions reduction targets for 2030 to include two new sectors: the real estate sector in Spain and aluminum globally.

BBVA has set portfolio alignment objectives for 2030 in line with industry practices and is developing a Net Zero scenario year by year.

The following table shows, for the sectors in which alignment objectives have been defined for 2030, a breakdown of the chosen metrics, the gross carrying amount, the alignment for the reference year, as well as the distance to the scenario considered:

Table 98. ESG3: Banking book - Climate change transition risk: Alignment metrics (12-31-2024)

Sector	NACE Sectors	Portfolio gross carrying amount (Million euros)	Description	Alignment metric	Year of reference	Distance to IEA NZE2050 in the year 2030	Target (year of reference + 3 years)
Power	See Annex for detail	8,919	Average kilograms of CO2 per MWh	141	2023	9 %	Not Available
Automotive	See Annex for detail	1,652	Average grams of CO2 per passenger-km	165	2023	65 %	Not Available
Aviation	See Annex for detail	297	Average grams of CO2 per passenger-km	104	2023	45 %	Not Available
Cement, clinker and lime production	See Annex for detail	837	Average kilograms of CO2 per ton of production	731	2023	50 %	Not Available
Iron and steel, coke, and metal ore production - Steel	See Annex for detail	2,375	Average kilograms of CO2 per ton of production	1,146	2023	27 %	Not Available
Fossil fuel combustion - Oil & Gas	See Annex for detail	2,870	Millions of tonnes of CO2	11	2023	14 %	Not Available
Iron and steel, coke, and metal ore production - Carbon	See Annex for detail	82	Exposure (Million euros)	174	2023	phase-out	Not Available

(¹) Accounting portfolios: "At amortised cost", "Fair Value Through Other Comprehensive Income (FVOCI)", "Fair Value Through P&L" and "Non-tradable at Fair Value Through Profit or Loss". Instruments: loans and advances, fixed income and equities. Sectors: non-financial corporations. Special features: main activity code information (NACE) used for internal management and reporting. The figures may vary slightly from the calculations made on the PACTA portfolio alignment, because this methodology takes into account the committed available, while the figures shown in the table above correspond to transactions with gross book balance. The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The data included in the template represents the best information available as of the date of publication of the report.

(**) The base year for all sectors is 2022. Reduction targets to 2030 have been defined for the following sectors: 52% in Electricity, 46% in Automotive, 23% in Steel, 17% in Cement, all with base year 2020; 30% in Oil & Gas with base year 2021; 18% in Aviation with base year 2022. In Maritime Transport, the alignment delta is calculated by reference to the annual trajectory set by the IMO. BBVA aims to eliminate its exposure to coal customers by 2030 in developed countries and by 2040 globally.

(***) BBVA sets portfolio alignment targets for 2030 in line with industry practices and draws up a Net Zero scenario year by year. One of the EBA's requests is to draw up short-term targets (3 years), and there is a path to Net Zero but it is not an objective officially communicated by the Group.

(****) Carbon exposure includes financing provided and committed credit limits.

Methodological notes on the alignment calculation

Scope

The analysis was carried out for BBVA S.A., BBVA Mexico, BBVA Peru, BBVA Argentina, BBVA Colombia and Garanti BBVA²⁴. In order to obtain the customers for which the metric has been calculated, a selection has been made of those whose activity is considered to be part of the value chain responsible for emissions in the sector. However, it has been considered that a high percentage of the emissions of each sector is covered. In addition to the selection made by the economic activity code (NACE), an additional selection was made to identify those customers who, despite having a main activity that was not included in the analysis, could have part of their activity within the sectors included in the alignment. The analysis does not include fixed income and equity balances, which are due to be incorporated in 2025.

The metric for the fossil fuel sector (Oil and Gas) has been defined based on absolute emissions financed. It comprises the three scopes (1, 2 and 3) of the upstream²⁵ and parent companies operating within the industry, and emission reduction targets have been set.

In 2024, BBVA incorporated the Commercial and Residential Real Estate and Aluminum sectors. For the aluminum sector, the International Aluminium Institute's (IAI) Net Zero scenario and Mission Possible Partnership 1.5 °C Roadmaps (MPP), which are science-based benchmarks recognized by the industry, have been used as reference points. In the case of the real estate sector, the scope of the target is Spain and the National Energy and Climate Plan (NECP) was used as a reference and roadmap setting out the national targets for emissions reduction, renewable energy penetration and energy efficiency.

Calculation of the metric

The metrics used are emissions intensity per unit of production for the sectors using the PACTA methodology (Power generation, Steel, Cement, Automobiles and aviation) in each sector, following NZBA recommendations. To calculate the metric, each client is assigned an emissions intensity figure²⁶ based on their production capacity. This figure is obtained by weighting the different intensities that a customer may have depending on the different technologies used in their economic activity. The intensity metric is calculated as the average intensity per customer, weighted by the production with each technology.

Once the intensity per customer is obtained, the portfolio intensity is calculated as the weighted average by the weight of each customer's exposure over the total exposure under analysis. In this calculation, the customer's total exposure (willing plus unwilling committed) is used.

In the case of the aviation sector, the external provider database includes the belly freight factor, making it hard to compare the metric with our peers and with the different scenarios. To facilitate the analysis, the metric is calculated without a load factor (by applying a correction factor) and is published in the non-financial information statement. The figure without the load factor and after methodological adjustments is 90 gCO₂/pkm.

In the case of the oil and gas sector, the methodology used is PCAF. First, the in-scope exposure of each client is defined, meaning the client's subsidiaries with upstream business. Once this exposure has been calculated, it is used to calculate an emissions attribution factor, as indicated by PCAF. This factor is used to calculate the emissions to be attributed to BBVA as financier.

The absolute emissions figure financed in 2021 was 14 million metric tons of CO₂e and the reduction target for 2030 is 30%. At year-end 2024, this figure stood at 10.5 million tons.

For the shipping sector, a methodology inspired by the main alignment methodology of the sector has been used. For each customer and each vessel, an emission intensity was calculated and compared individually with the IMO (International Maritime Organization) scenarios and a score was obtained. These scores are aggregated and weighted by the exposure of each customer to obtain a portfolio score. In June 2023, the International Maritime Organization (IMO) published an update of its strategy to reduce emissions from ships. This new strategy envisages a higher ambition to reach net zero emissions by 2050 and sets indicative 2030 checkpoints to achieve an emissions reduction of at least 20% by 2030, striving to reach 30%.

Following the review of the minimum and effort trajectories published by the IMO, BBVA has updated the shipping industry alignment metrics for the 2022 financial year and reported in 2023. The alignment metric resulting from this update stands at +17.4% and +21.7% respectively, indicating an intensity above that required under the IMO's new decarbonization trajectory.

BBVA's 2030 target²⁷ of conforming to the updated IMO trajectory remains unchanged, i.e. achieving a percentage deviation (delta) of 0% or less with respect to this decarbonization path by 2030.

²⁴ Excluding the Netherlands and Romania.

²⁵ Oil and Gas companies with exploration, drilling and extraction activities.

²⁶ The primary provider of emissions intensity information is Asset Impact, which provides asset information for the portfolio included in the calculation scope.

²⁷ The baseline of the metrics may experience variations, as the information sources used and the methodology are constantly evolving. BBVA's goal is to maintain the level of ambition for reduction despite the modifications. Additionally, achieving these objectives is not expected to be a linear process in the short term, and it may be necessary to accept some deterioration in the short term in order to achieve them in the long term.

The alignment metrics with respect to the minimum trajectory under the IMO Strategy for 2024 are -7.49% and -2.99% for the effort trajectory.

Calculation of the scenario

To calculate the alignment, BBVA takes the IEA Net Zero scenario as a reference, except in the case of aviation and cement, where the ISF NZ scenario developed by the University of Technology Sydney for UNPRI has been used. However, the data used as a reference in 2030 for the calculation of the distance may differ from the data published by the scenarios. The PACTA methodology uses the above-mentioned scenarios as a reference for emissions reductions to comply with a 1.5 °C scenario, but applies a different starting point. The starting point applied is the result of aggregating all the customers in the database used, taking this aggregation as the market reference. This database covers, according to data from the external provider, 87% of Power generation sector assets, 96% of Automotive sector assets, 91% of Steel sector assets and 73% of Cement sector assets, as well as information on more than 47,000 airplanes. This figure, however, does not differ significantly from the scenario and is more ambitious in most cases.

Integration into management and sectoral alignment plans

BBVA has defined a comprehensive decarbonization strategy that reflects its aim to contribute to the transition toward a low-carbon economy. To succeed in this task, it has developed a Transition Plan, following the recommendations of the TCFD and Glasgow Financial Alliance for Net Zero (GFANZ).

Along these lines, BBVA has integrated key aspects such as climate change mitigation and adaptation, decarbonization objectives, sectoral transition plans and the channeling of sustainable business into its strategy, governance model, policies and customer relations. These elements show the progress made by the Group along this path.

BBVA's strategy is based on the achievement of two objectives, each with its own actions and levers for achievement: (i) fostering new business through sustainability; and (ii) achieving net zero emissions by 2050.

In addition, in order to mitigate the direct environmental impacts generated by its activity, BBVA calculates its carbon footprint and for years has had a plan in place to reduce its own emissions with targets included in its Global Eco-efficiency Plan.

Each plan contemplates a detailed analysis of each sector, evaluating its role in the decarbonization of the economy, identifying the risks inherent to each one, defining strategies to respond to these risks, analyzing the current state of the portfolio and the situation with respect to the objective set by the BBVA Group for each sector. Business opportunities with existing and new customers are also identified, revealing the appetite for customers in each sector.

All this is reflected in the formulation of a sector-specific transition plan that sets out a commercial strategy for:

- Guiding selective growth by financing and supporting customers who are actively managing their transition to net-zero emissions by 2050.
- Monitoring progress in the alignment exercise, to meet the intermediate targets set for 2030.
- Managing and mitigating customer portfolio transition risk.

BBVA has also developed specific tools to enable proactive management and compliance with emission reduction targets, such as:

- Transition Risk Indicator (TRi), a tool that allows us to evaluate the current emissions profile and decarbonization strategies of each customer with a sectorial approach and based on the analysis of the most significant variables. It allows the bank to categorize customers accordingly, based on their transition risk and the maturity of their plans, allowing for a personalized assessment of their decarbonization strategy.
- Sustainability Client Toolkit, a tool that gathers ESG information from large corporations and/or entities with public information necessary for management, and offers it in a single repository. This facilitates access and use by customer relationship management teams.
- The Management dashboard for the sectoral transition plans, which show the main alignment indicators obtained through the Paris Agreement Capital Transition Assessment (PACTA) methodology and allow users to track performance and progress toward objectives.
- The "What if" simulator, enabling real-time evaluation of the potential impact of transactions on the decarbonization curve of each customer, as well as on the BBVA Group's portfolio curve for the corresponding sector, enabling proactive and dynamic management of the loan portfolio.

Supporting customers

BBVA integrates its decarbonization strategy and sector transition plans as a key part of its medium-term financial planning exercise, financing decisions and in carrying out various internal exercises.

Likewise, the sector transition plans, together with the aforementioned tools (i.e. TRI), allow the bank to assess the degree of maturity of the customers' transition in order to deploy a support strategy, strengthen strategic dialogue with them and offer them a value proposition tailored to their needs.

Actions to manage alignment metrics include:

- Gathering, evaluating and monitoring the climate transition plans publicly disclosed by BBVA's customers.
- Assessing the impact on alignment metrics of all new transactions as part of the commercial approval process relying on specific tools.
- Generating dialogue with customers on their transition strategies, seeking opportunities to support them through investment and financing proposals and solutions.

In 2024, BBVA formalized a procedure for developing and monitoring customer support plans. These support plans are an internal tool used to accompany customers who need advice on how best to define and implement transition strategies toward a more sustainable model. Supporting these customers is a key part of BBVA's contribution to the energy transition.

These customer support plans are based on a personalized approach and a strategic dialogue built around the decarbonization levers of each sector. BBVA provides customers with advice on the design and development of transition plans aimed at reducing emissions and with clear objectives set, and monitors compliance with such plans. These plans plot out milestones or objectives that are monitored and, if necessary, allow the action to be taken to help achieve them. These measures may include underweighting business growth or even initiating an orderly exit process for the customer concerned, when its performance does not contribute to the achievement of the emission reduction targets.

Alignment governance model

In order to follow up on the alignment objectives of the sectors for which targets have been set and monitor their compliance, BBVA created the Sustainability Alignment Steering Group (SASG) in 2022. The SASG's functions include the following:

- Analyze and discuss the 2030 alignment objectives prior to their approval.

- Evaluate the degree of compliance with the alignment objectives and their levers.
- Analyze and discuss proposals for sectoral or aggregate alignment plans, and for updating them, which will be submitted to the SASG by the business units, with the support of the technical teams of other participating areas.
- Promote the creation and deployment of the tools, methodologies and variables necessary for the operationalization of the sectoral alignment plans in the management processes already existing in the business units.
- Analyze and understand of the best practices in the sector, promoting the integration of sustainable criteria in day-to-day business.

In 2024, the governance model for BBVA's decarbonization strategy was strengthened with the sectoral model for wholesale clients. This structure allows the bank to strengthen its positioning with these customers through a relationship model that relies on specialists with knowledge of each of the key sectors, in turn enabling the bank to support customers more effectively and enhance the strategic dialogue by addressing their main business needs.

BBVA has global sector managers in the priority sectors for the decarbonization of the loan portfolio: energy; industry and transportation; infrastructure and construction. These sector leaders are responsible for steering the business strategy for their sector, carrying out the actions defined in the sector alignment plans and implementing an accompaniment plan with sector customers to support them in their transition toward a low-carbon economy. Moreover, BBVA completes its sectorial coverage with managers in the consumer, retail and healthcare sectors; technology, media and communications (TMT); financial institutions; and financial sponsors.

In addition, since 2023 it has been offering a long-term incentive linked, among other variables, to the degree of compliance with decarbonization targets in the oil & gas, power generation, auto, steel, cement and coal sectors.

BBVA follows NZBA guidelines and recommendations to make progress in defining decarbonization targets and achieve zero net emissions by 2050. The Group will continue to work on assessing new sector plans and expanding the scope of existing plans as the industry makes further progress in defining methodologies and data availability.

Information related to Article 8 of the Taxonomy of the European Union

Article 449 bis CRR - Table (1) c)

Article 449 bis CRR - Templates 6, 7, 8

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 (hereinafter referred to as the Taxonomy Regulation) on the establishment of a framework to facilitate sustainable investments aims to establish the criteria for determining whether an economic activity is considered environmentally sustainable, compatible with the objective of keeping global warming below 1.5°C compared to pre-industrial levels and with the European Green Pact.

In addition, Article 8 establishes certain disclosure requirements for companies subject to the Non-Financial Reporting Directive (hereinafter, NFRD).

Based on the above, financial institutions must include in their non-financial information statement, a series of indicators related to sustainable economic activities according to the EU taxonomy.

The Taxonomy Regulation identifies six environmental objectives:

1. Climate change mitigation,
2. Climate change adaptation,
3. Sustainable use and protection of water and marine resources,
4. Transition to a circular economy,
5. Pollution prevention and control,
6. Protection and restoration of biodiversity and ecosystems.

Based on these objectives, the regulation has also developed technical criteria to assess whether an activity is environmentally sustainable.

The first step is to determine whether an activity falls within those detailed as eligible by the EU taxonomy, which are those that can potentially contribute to one or more of the environmental objectives. An economic activity, in order to be considered eligible, must be covered by the delegated acts that develop the European taxonomy, regardless of whether that economic activity does not meet any or all of the technical selection criteria set out in those delegated acts and ultimately cannot be classified as environmentally sustainable.

Subsequently, once eligibility has been determined, it is necessary to check whether the activity is aligned with the EU taxonomy by verifying that the following technical selection criteria are met:

- The activity contributes substantially to one or more of the six environmental objectives.

- The activity does not cause significant harm to any of the other environmental objectives (Do No Significant Harm).
- The activity is carried out in accordance with human rights and Minimum Social Safeguards (MSS). OECD Guidelines for Multinational Enterprises and the United Nations Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight core conventions referred to in the International Labour Organization Declaration on Fundamental Principles and Rights at Work and the International Bill of Human Rights.

The disclosure obligations based on the EU taxonomy and the technical screening criteria have been specified in successive regulatory developments and in communications on the interpretation and application of the EU taxonomy delegated acts.. These obligations establish a progressive schedule for the disclosure of information. In this context, as of December 31, 2024, the disclosure obligations for financial institutions are as follows:

- Economic activities aligned to the environmental objectives of climate change mitigation and adaptation.
- Specific breakdowns on the alignment of some activities related to Nuclear Energy and Gas.
- Eligible economic activities in relation to environmental objectives: sustainable use and protection of water and marine resources, transition to a circular economy, pollution prevention and control, and protection and recovery of biodiversity and ecosystems.

It should be noted that if an economic activity does not fall within the framework of the EU taxonomy or does not meet all of its requirements, it does not necessarily mean that it is harmful or has a negative impact on the environment; rather that it does not meet all the conditions for inclusion in this classification.

Economic activities aligned to the environmental objectives of Climate Change Mitigation and Adaptation

The economic activities of credit institutions are mainly reflected in the different products and services they offer to clients, as well as in the investments they make to manage their assets and liquidity. These activities are considered to be aligned with the EU taxonomy to the extent that the activities performed by certain counterparts of such products or investments provided for in the regulations are aligned.

In order to identify the sustainable business, it is necessary to consider whether the financing granted to a counterparty has a general purpose for the counterparty, or whether it responds to a specific purpose, in which case it relates to products with a specific purpose. In order to comply with the Taxonomy Regulation and to identify the Group's exposures to activities included in the European taxonomy, where applicable, the extent to which counterparties are aligned with said taxonomy is verified.

General purpose financing

Non-financial companies subject to the NFRD (Non-Financial Reporting Directive) were required to publish for the first time in their management reports at the close of the 2022 fiscal year, their KPIs²⁸ related to climate change mitigation and adaptation objectives: i) Turnover, and ii) their capital expenditure (CapEx) and operating expenses (OpEx). Starting in 2024, these publications will include indicators corresponding to other environmental objectives.

The information published by non-financial companies subject to Art. 19a and 29a of Directive 2013/34 is necessary for financial institutions to calculate the eligibility and alignment of certain exposures recorded among their assets. In this way, the information published by these counterparties is used to calculate the proportion of general purpose exposure aligned with the EU taxonomy.

The Group has obtained the data published by certain companies through an external provider and uses it to calculate the alignment of the general purpose financing granted to these companies. Public customer information is also used to more accurately reflect eligible activities.

The KPIs established by the regulation for credit institutions provide a comprehensive breakdown of the bank's exposures to activities covered (eligible) by the EU taxonomy, and additionally those that are not only eligible, but also meet all the necessary requirements of the taxonomy to be considered sustainable (aligned).

Financing for specific purposes

The alignment with the EU taxonomy of funding that is granted for a purpose or destination that is known to the entity must be analyzed taking into account all the requirements established by the technical screening criteria mentioned above: (i) substantial contribution; (ii) does no significant harm; and iii) minimum social safeguards.

In order to determine that specific funding does not cause significant harm (DNSH), it must be demonstrated that the remaining environmental objectives are not impaired based on guidelines established by the standard. Therefore, the financing granted to a company that contributes substantially to the climate change mitigation objective must also ensure compliance with the DNSH criteria for the remaining objectives. For example, in relation to the "power generation using solar photovoltaic technology" activity, which is a key technology for the EU's renewable energy transition, under the criterion of 'do no significant harm' to the circular economy objective, the expectation is that availability is assessed and, where feasible, equipment and components of high durability and recyclability are used, as well as it being easy to dismantle and refurbish," according to the taxonomy regulation.

BBVA assesses the substantial contribution of targeted funding, however, the degree of maturity regarding the implementation and usability of the EU taxonomy in the banking industry makes it difficult to establish a similar process to ensure compliance with the DNSH and MSS principles. For this reason, a portion of the targeted funding granted by BBVA that substantially contributes to an environmental objective is not included in the alignment metrics. BBVA has identified specific financing with a substantial contribution to other specific products such as project financing, or other products or activities included in the EU taxonomy that have not been included in the alignment metrics for the reasons described above.

The special purpose funding cases included in the Group's GAR include:

- The financing of vehicles that meet the criteria of the EU taxonomy on substantial contribution to the climate change mitigation objective, provided that the vehicle manufacturers have published that they meet the DNSH and MSS criteria.
- Loans granted to households for the purchase of energy-efficient housing, considering properties that meet the criterion of substantial contribution to climate change mitigation.

For properties built before December 31, 2020, they are considered to be within the most efficient 15% of the housing stock nationwide²⁹.

Construction of new buildings for which: The primary energy demand, which defines the energy efficiency of the building resulting from the construction, is at least 10% lower than the threshold set for nearly zero-energy buildings (NZEB) requirements in national measures

²⁸ The template of Annex VI of the Delegated Act of Article 8 Disclosure is the reference for GAR disclosures: i) Covered assets (GAR, off-balance sheet), ii) GAR: information by sector, iii) GAR KPI stock, iv) GAR KPI flow, v) Financial guarantees, assets, and management. The original EU taxonomy tables and the necessary notes with details on the perimeter and methodology can be found in the section "6.4 Tables related to Article 8 of the European Taxonomy" of this report.

²⁹ The IDAE's "State of the Energy Certification of Buildings" report released in 2023 states that the number of cumulative registrations up to rating "C" at national level accounts for less than 5% of the total number of certificates.

implementing Directive 2010/31/EU of the European Parliament and of the Council.

Energy performance is certified by a non-inferred Energy Performance Certificate (EPC) obtained from existing public records, provided by an accredited independent valuation company or other processes for obtaining information about the portfolio.

The taxonomy requires compliance with the cause no significant harm to other environmental objectives principle. Thus, the Technical Building Code (CTE) acts as a set of standards that regulate the construction of buildings in Spain since 2006 and that establish a series of basic requirements:

- The correct application of the Basic Document HS "Health", which relates to compliance with the basic requirement "Hygiene, health and environmental protection".
- The correct application of the Basic FS document titled "Safety in the event of fire", which relates to the requirement to mitigate this risk and to adapt the building to contingencies related to the physical risk.
- The correct application of the Basic SS Document titled "Structural Safety", which relates to protection against the dynamic effects of wind, shock or earthquake, represented by equivalent static forces, i.e. against physical risks.

As regards minimum social safeguards (MSS), the correct application of the SUA Basic Document "Safety of use and accessibility" establishes the access requirements for people with reduced mobility. However, the MSS would not apply in the case of the acquisition of a residential property between two individuals, since the safeguards apply when analyzing business economic activities, such as real estate, construction or development, which are otherwise covered by Spanish and EU legislation.

Green Asset Ratio

The Green Asset Ratio (GAR) is an indicator to reflect the extent to which certain assets on the bank balance sheet are aligned with the EU taxonomy. This indicator has been prepared following the regulatory definitions of the European Commission. At present, the EU taxonomy methodology does not allow financial institutions to include exposures to companies not subject to the Non-Financial Reporting Directive (NFRD) in the numerator in their sustainability ratios. Therefore, exposures involving companies domiciled in a third country outside the EU and exposures to EU companies that are not subject to this Directive, e.g. the vast majority of SMEs, have been excluded from the indicator, although they are included in the denominator. In practice, this means that any eligible economic activity that is being financed outside the EU will not be counted in the ratio (with limited exceptions). This structural characteristic of the GAR leads to large differences depending on each bank's business model, customer base and geographic footprint.

Information on EU taxonomy

Parent financial institutions in the European Union that are subject to the disclosure requirements of the Capital Regulation (CRR) must publish information on their alignment with the European Union Taxonomy in both the management report and in this Report with Prudential Relevance (Pillar 3 Report). In the first case, the European Commission established the basis for the calculation in relation to Art. 8 of the EU Taxonomy Regulation. The EBA, for its part, established similar requirements (ITS) for disclosure in Pillar 3, although with some differences that mainly consist of:

- i. Only the information of the counterparties related to Taxonomy-aligned Turnover is used for the calculation of the general purpose lending, without the alignment of investments in fixed assets (CapEx) being a requirement;
- ii. There are no further requirements beyond those established by the Commission regarding off-balance sheet information or assets under management, among others, although the European Banking Authority has focused on climate risks within the banking system.

Below is a breakdown of the exposures that are aligned with the EU taxonomy according to the Pillar 3 requirements:

Table 99. ESG6. Summary of key performance indicators for taxonomy-compliant exposures (12-31-2024)

	KPI			% coverage (over total assets) ⁽¹⁾
	Climate change mitigation	Climate change adaptation	Total (Climate change mitigation + Climate change adaptation)	
GAR stock	0.57 %	—	0.57 %	65.36 %
GAR flow	0.50 %	—	0.50 %	23.84 %

⁽¹⁾ The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The financial assets analyzed correspond to the categories of financial instruments valued "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&G" and "Non-tradable at Fair Value through profit or loss". The data included in the template represents the best information available as of the date of publication of the report.

⁽¹⁾ % of assets covered by the KPI over banks' total assets.

^(**) The GAR flow is obtained using exclusively the operations opened during the year. Operations that, due to their characteristics or nature, have an opening date that corresponds to a previous period, are not considered, even if their balance has evolved during the year.

Table 100. ESG7. Mitigation actions: Assets for the calculation of GAR (12-31-2024. Million euros)

[illegible]

	Total gross carrying amount	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)				
		Of which towards taxonomy relevant sectors (Taxonomy-eligible)	Of which environmentally sustainable (Taxonomy-aligned)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)	Of which environmentally sustainable (Taxonomy-aligned)				
			Of which specialised lending	Of which transitional	Of which enabling	Of which specialised lending	Of which adaptation	Of which enabling	Of which specialised lending	Of which transitional /adaptation		Of which enabling				
Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Other local governments financing	3,781	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Collateral obtained by taking possession: residential and commercial immovable properties	820	820	5	—	—	—	—	—	—	—	—	820	5	—	—	—
TOTAL GAR ASSETS	223,056	120,794	2,773	—	326	857	1,136	2	—	—	1	121,930	2,775	—	326	858
Assets excluded from the numerator for GAR calculation (covered in the denominator)																
EU Non-financial corporations (not subject to NFRD disclosure obligations)	67,793															
Loans and advances	65,826															
Debt securities	660															
Equity instruments	1,307															
Non-EU Non-financial corporations (not subject to NFRD disclosure obligations)	115,080															
Loans and advances	111,777															
Debt securities	2,853															
Equity instruments	450															
Derivatives	1,088															
On demand interbank loans	7,269															
Cash and cash-related assets	8,667															
Other assets (e.g. Goodwill, commodities etc.)	63,426															
TOTAL ASSETS IN THE DENOMINATOR (GAR)	486,378															
Other assets excluded from both the numerator and denominator for GAR calculation																
Sovereigns	103,431															
Central banks exposure	44,252															
Trading book	110,037															
TOTAL ASSETS EXCLUDED FROM NUMERATOR AND DENOMINATOR	257,721															

	Total gross carrying amount	Climate Change Mitigation (CCM)			Climate Change Adaptation (CCA)			TOTAL (CCM + CCA)		
		Of which towards taxonomy relevant sectors (Taxonomy-eligible)			Of which towards taxonomy relevant sectors (Taxonomy-eligible)			Of which towards taxonomy relevant sectors (Taxonomy-eligible)		
		Of which environmentally sustainable (Taxonomy-aligned)			Of which environmentally sustainable (Taxonomy-aligned)			Of which environmentally sustainable (Taxonomy-aligned)		
		Of which specialised lending	Of which transitional	Of which enabling	Of which specialised lending	Of which adaptation	Of which enabling	Of which specialised lending	Of which transitional /adaptation	Of which enabling
TOTAL ASSETS	744,098									

(*) The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The financial assets analyzed correspond to the categories of financial instruments valued "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&G" and "Non-tradable at Fair Value through profit or loss". The data included in the template represents the best information available as of the date of publication of the report.

Table 101. ESG8. GAR - Stock (12-31-2024. % compared to total covered assets in the denominator)

% (compared to total covered assets in the denominator)	Accumulated															
	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)					
	Proportion of eligible assets funding taxonomy relevant sectors					Proportion of eligible assets funding taxonomy relevant sectors					Proportion of eligible assets funding taxonomy relevant sectors					Proportion of total assets covered
	Of which environmentally sustainable					Of which environmentally sustainable					Of which environmentally sustainable					
		Of which specialised lending	Of which transitiona I	Of which enabling		Of which specialised lending	Of which adaptation	Of which enabling		Of which specialised lending	Of which transitiona I/ adaptation	Of which enabling				
GAR	24.84	0.57	—	0.07	0.18	0.23	—	—	—	—	25.07	0.57	—	0.07	0.18	65.37
Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	53.99	1.25	—	0.15	0.39	0.51	—	—	—	—	54.50	1.25	—	0.15	0.39	29.87
Financial corporations	22.98	1.76	—	0.12	0.42	8.58	0.01	—	—	—	31.56	1.76	—	0.12	0.42	1.25
Credit institutions	22.26	1.56	—	0.13	0.18	10.54	0.01	—	—	—	32.81	1.56	—	0.13	0.18	1.02
Other financial corporations	26.10	2.62	—	0.04	1.46	0.02	0.02	—	—	—	26.12	2.64	—	0.04	1.46	0.23
of which investment firms	25.32	0.99	—	0.52	0.18	0.10	0.05	—	—	—	25.41	1.04	—	0.52	0.18	—
of which management companies	67.00	12.36	—	0.60	8.28	0.05	0.05	—	—	0.05	67.05	12.42	—	0.60	8.33	0.01
of which insurance undertakings	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Non-financial corporations subject to NFRD disclosure obligations	30.48	6.81	—	1.43	3.72	1.54	0.01	—	—	—	32.02	6.82	—	1.43	3.72	2.96
Households	59.38	0.59	—	—	—						59.38	0.59	—	—	—	25.15
of which loans collateralised by residential immovable property	100.00	1.12	—	—	—						100.00	1.12	—	—	—	13.04
of which building renovation loans	100.00	—	—	—	—						100.00	—	—	—	—	0.59
of which motor vehicle loans	100.00	0.18	—	—	—						100.00	0.18	—	—	—	1.30
Local government financing	—	—	—	—	—						—	—	—	—	—	0.51
Housing financing	—	—	—	—	—						—	—	—	—	—	—
Other local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	0.51
Collateral obtained by taking possession: residential and commercial immovable properties	100.00	0.65	—	—	—						100.00	0.65	—	—	—	0.11

(*) The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The financial assets analyzed correspond to the categories of financial instruments valued "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&G" and "Non-tradable at Fair Value through profit or loss". The data included in the template represents the best information available as of the date of publication of the report.

Table 101. ESG8. GAR - Flow (12-31-2024. % compared to total covered assets in the denominator)

% (compared to total covered assets in the denominator)	Flow															
	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)					
	Proportion of eligible assets funding taxonomy relevant sectors					Proportion of eligible assets funding taxonomy relevant sectors					Proportion of eligible assets funding taxonomy relevant sectors					Proportion of total assets covered
	Of which environmentally sustainable					Of which environmentally sustainable					Of which environmentally sustainable					
		Of which specialised lending	Of which transitional	Of which enabling			Of which specialised lending	Of which adaptation	Of which enabling			Of which specialised lending	Of which transitional / adaptation	Of which enabling		
GAR	12.92	0.50	—	0.11	0.16	0.29	—	—	—	—	13.21	0.50	—	0.11	0.16	
Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	40.30	1.57	—	0.34	0.51	0.90	—	—	—	—	41.19	1.57	—	0.34	0.51	7.63
Financial corporations	19.30	1.71	—	0.06	0.49	17.73	—	—	—	—	37.02	1.71	—	0.06	0.49	0.38
Credit institutions	18.39	1.45	—	0.06	0.21	23.82	—	—	—	—	42.21	1.45	—	0.06	0.21	0.28
Other financial corporations	21.94	2.44	—	0.08	1.31	0.01	0.01	—	—	0.01	21.95	2.45	—	0.08	1.32	0.10
of which investment firms	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
of which management companies	67.20	12.40	—	0.60	8.30	0.05	0.05	—	—	0.05	67.25	12.45	—	0.60	8.35	0.01
of which insurance undertakings	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Non-financial corporations subject to NFRD disclosure obligations	38.01	6.97	—	2.25	3.24	0.06	—	—	—	—	38.07	6.97	—	2.25	3.24	1.15
Households	42.57	0.55	—	—	—						42.57	0.55	—	—	—	6.03
of which loans collateralised by residential immovable property	100.00	1.71	—	—	—						100.00	1.71	—	—	—	1.84
of which building renovation loans	100.00	—	—	—	—						100.00	—	—	—	—	0.17
of which motor vehicle loans	100.00	0.27	—	—	—						100.00	0.27	—	—	—	0.55
Local government financing	—	—	—	—	—						—	—	—	—	—	0.08
Housing financing	—	—	—	—	—						—	—	—	—	—	—
Other local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	0.08
Collateral obtained by taking possession: residential and commercial immovable properties	100.00	—	—	—	—						100.00	—	—	—	—	—

* The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The financial assets analyzed correspond to the categories of financial instruments valued "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&G" and "Non-tradable at Fair Value through profit or loss". The data included in the template represents the best information available

Other climate change mitigation measures not included in the European Taxonomy

Article 449 bis CRR - Template 10

Table 102. ESG10. Climate change mitigating actions not covered in the EU Taxonomy (12-31-2024)

Type of financial instrument	Type of counterparty	Gross carrying amount (million EUR)
Bonds (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	138
	Non-financial corporations	499
	Other counterparties	—
Loans and advances (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	2,741
	Non-financial corporations	26,041
	Of which Loans collateralised by commercial immovable property	3,941
	Households	3,592
	Of which Loans collateralised by residential immovable property	2,247
	Of which building renovation loans	458
	Other counterparties	921

(*) Accounting portfolios: "At amortised cost", "Fair Value Through Other Comprehensive Income (FVOCI)", "Fair Value Through P&G", "Non-tradable at Fair Value Through Profit or Loss" and "Trading". Instruments: loans and fixed income, and additionally loans secured by commercial and residential real estate. Sectors: Central Banks and Public Administrations have been included as "other counterparties", credit institutions and other financial institutions as "financial companies". Fixed Income issues that comply with widely accepted environmental market standards, although they are not considered in the channeling. The detail of these actions is developed in the following sections of the report.

(**) The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. These data represent the best information available to date.

Qualitative information on the nature of mitigation measures

The criteria used to catalogue the products shown in the above table of climate change mitigation measures³⁰ when describing internal and market standards are those reflected in section 7.2.1. Strategy and business processes. These figures represent BBVA's current exposure that complies with the aforementioned standards but is not necessarily aligned with the EU taxonomy. The taxonomy-aligned exposure is included in section 7.2.1 Strategy and business processes in the Information regarding art.8 of the European Union Taxonomy section of this report.

Type of risk mitigated: transition risk linked to climate change

BBVA supports its clients by facilitating the mobilization of financial flows related to climate change mitigation objectives toward activities and products considered sustainable or that promote sustainability in accordance with the standards and criteria mentioned above.

Similarly, in relation to "transition" activities, a term widely used when talking about the economy, specific sectors, financial portfolios or companies, it is used to describe the changes in economies necessary to meet the environmental objectives of different public bodies.

Type of risk mitigated: physical risk linked to climate change

BBVA has focused much of its efforts on supporting clients in mitigation measures and supporting the ecological transition, although internal standards have also been developed for certain adaptation activities mainly related to the primary sector, such as efficient agriculture, eco-schemes or drought-resistant seeds.

Policies and procedures related to client engagement in their strategies to mitigate and reduce environmental risks

Article 449 bis CRR - Table (1) d)

Below we explain how BBVA obtains and analyzes information from its customers to proactively and constructively offer them solutions that will help them in their transition toward a more sustainable future. This is carried out according to the customer's degree of progress toward its decarbonization process, always aligned with its Net Zero 2050 strategy and transition plan.

Sustainability is part of the recurring dialogue with our wholesale customers (known as engagement) and of the value proposition, both strategically and commercially, and is integrated into the underwriting, pricing and risk management processes.

³⁰ Climatic criteria (mitigation or adaptation to climate change). No other environmental or social objectives are included.

BBVA interacts and shares knowledge and best practices with its wholesale customers. In this regard, dialogue with customers on ESG aspects is predicated on:

- Advice on the implementation and execution of sustainability strategies tailored to each customer according to their sector and geography, taking into account the political and financial context, analyzing the main regulatory issues, disclosure issues, financial market developments, ESG ratings, and so on.
- Specialization by sector, focusing on those sectors facing the greatest challenges for the transition to a low-carbon economy. This includes advice tailored to the oil & gas industry, power generation, automotive and auto parts manufacturers, infrastructure, the industrial sector (cement, chemicals, mining, capital goods, etc.), processed foods, beverages, technologies and pharmaceuticals. Clients are informed about the key challenges and opportunities for each industry and the dialogue focuses on each industry's roadmap to align with the Paris Agreement and energy transition goals. Moreover, BBVA provides its clients with information on regulation, technological improvements and best practices in each industry as well as a comparative analysis on how similar companies are evolving in terms of ESG, different options to improve their sustainable profile and how to set specific short and medium term objectives.
- Expertise in topics such as cleantech, biodiversity, ESG credit rating, carbon markets and nature-based solutions, or social issues in which BBVA provides specific advice to clients with the idea of helping and, as the case may be, accelerating their transition with debt and equity solutions.
- Provide support in the analysis of customers' Scope 3 emissions and their suppliers' carbon footprint, in order to develop future strategies to reduce the environmental impact of value chains and increase their resilience.
- Offering customers products that are sustainable or promote sustainability (bonds, loans, transactional banking activities, etc.) that not only meet their financial needs, but also support their sustainable transformation.

BBVA also provides direct support to its wholesale, business and SME clients, both global and non-global, in making ESG practices part of their business strategies and operations. This is achieved through one-on-one visits, mass outreach events, and project consulting focused on initiatives such as energy efficiency and efficient construction, renewable energy, CO₂ capture, use and storage, sustainable mobility, battery projects, green hydrogen and derivatives, biofuels, and inclusive growth (including just transition), among others.

Sustainable practices are also promoted, covering efficient water management, circular economy, waste management, environmental impact and biodiversity care, among other aspects.

In the case of SME customers, BBVA also provides information through digital channels and the branch network. It is an end-to-end service model ranging from awareness-raising to project design and public aid management.

In addition, customers have access to useful information and a catalog of products that are sustainable or otherwise promote sustainability through transaction-based web platforms and mobile banking apps. These resources are also provided by the managers in-branch.

In addition, at the CBB business area, progress has been made in setting up teams of product specialists and managers across all geographies. During 2024, the focus was on extending these teams to South American countries and Turkey, while in Spain and Mexico they have been in existence since last year and have been strengthened.

7.2.2. Risk Management

Integration of climate change and environmental factors and risks into the risk framework

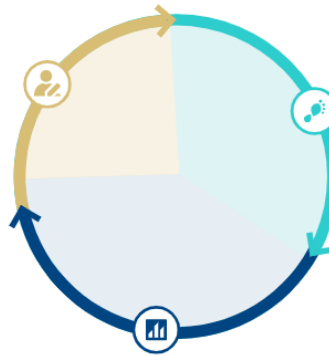
Article 449 bis CRR - Table (1) j), r)

Managing climate and environmental risk factors is key to implementing BBVA's strategy, which is based on managing risks appropriately, helping the transition to a low-carbon economy and meeting the ambition of having net-zero carbon emissions by 2050.

The potential impacts of climate and environmental (C&E) risks, as well as social and governance risks, are assessed in the risk management cycle as follows:

Risk management and reporting to

- **Integrate** the specific climate and environmental risk assessment into risk management standards and policies and credit granting processes.
- **Internal training** and improvement of skills of risk teams in climate and environmental matters.
- **Information and reporting** of the results of risk measurement and monitoring activities to different stakeholders.

**Identification and evaluation by the**

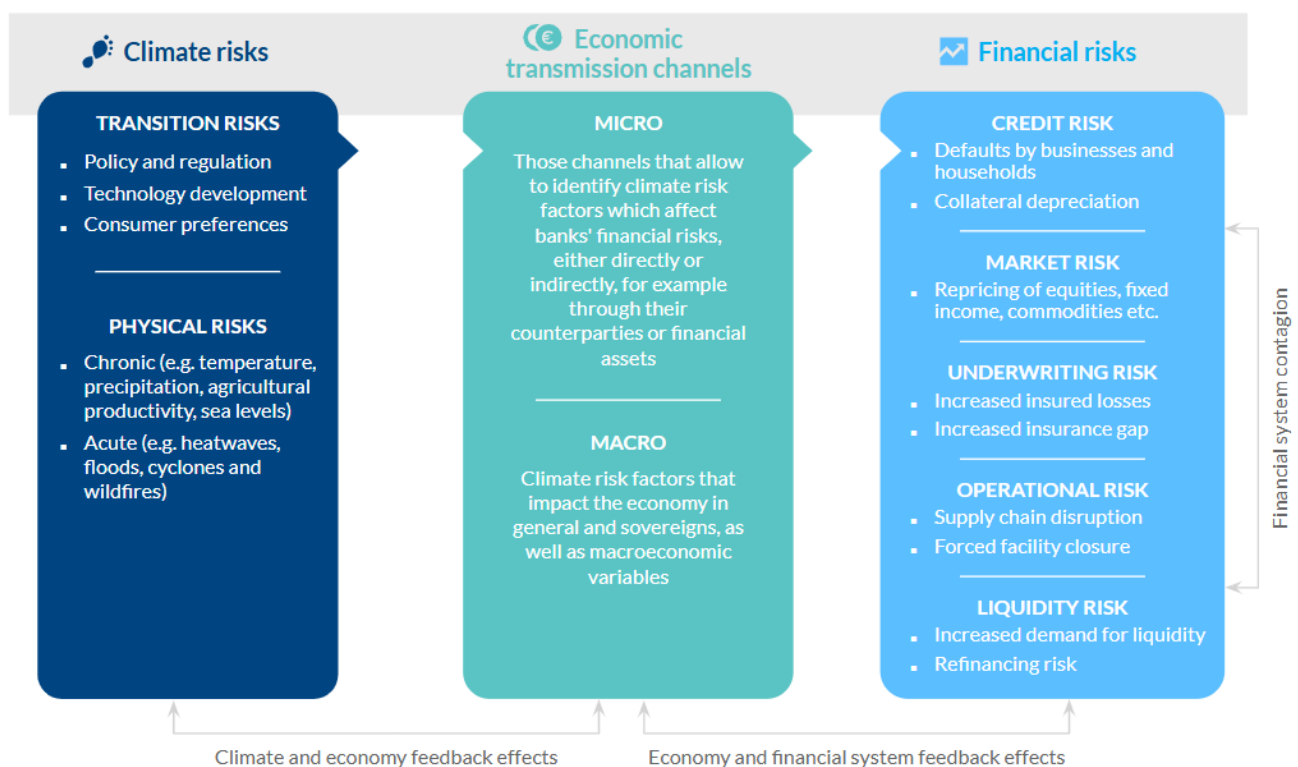
- **Development of internal risk taxonomies** that allow the identification and analysis of relevant transmission channels.
- **Assessment of the materiality of climate and environmental risks** and how they impact the main typologies of traditional prudential risks.
- **Scenario analysis and stress tests**, aimed at quantifying the impacts of climate risks in the short, medium and long term.
- **Identification of the clients most exposed to climate and environmental risks** through the calculation of alignment with the objectives of the Paris Agreement, calculation of financed emissions and evaluations at the client or collateral level.

Definition of risk appetite and risk planning by the

- **Definition of specific key risk indicators (KRIs)** and thresholds in the Risk Appetite Framework.
- **Definition of credit strategies** driven by risks and opportunities related to climate and environmental factors in the Wholesale Sector Frameworks and Retail Action Frameworks.

Identification and assessment of climate and environmental risks

In order to carry out the process of identifying the risks and opportunities associated with climate change and other environmental aspects, BBVA has identified the sectors carrying the greatest transition risk and/or physical risk. Along these lines, in recent years BBVA has drawn up its own internal taxonomies of climate and environmental risks, understood as common definitions of risk levers and their transmission channels with potential impacts on traditional prudential risks:



BBVA has a risk taxonomy that forms part of its risk management framework. The taxonomy constitutes an inventory of all the risks to which BBVA is exposed or

may become exposed as a result of the development of

its business activity and strategy and, therefore, is adapted to BBVA's risk profile.

The taxonomy allows risks to be categorized at different levels. On the one hand, there is a general level or 'tier 1 risks' that corresponds to the most aggregated categories of financial and non-financial risks. 'Tier 2 risks' represent a lower or more granular level that corresponds to the risk levers that are part of the 'tier 1 risks.' This second level of risks includes climate and environmental, social and governance risks as a source of risk. Climate and environmental risks are shown below:

Risk drivers	Climate		Environmental
	Transition	Physical	Transition and physicals
Credit	The transition to a low-carbon emissions economy may involve significant costs and investments, putting the revenues of some customers in certain sectors at risk. This could potentially increase their PD and affect the value of collateral.	Risk metrics may be affected for exposures in sectors or geographic areas more exposed to extreme weather events or changes in weather patterns.	The need for adaptation due to the loss of ecosystem services capacity can potentially entail additional costs or significant investments in certain sectors to maintain their operation.
Real estate	Properties with lower energy efficiency may experience their value affected, impacting the value of our collateral.	Due to their location in certain geographic areas, properties may be exposed to extreme weather events that influence the market's perception of their value, potentially diminishing the value of BBVA's real estate collateral	-
Market	Transition risks can generate negative impacts on the value of financial assets and an increase in their volatility.	Extreme weather events can affect asset value expectations resulting in sudden depreciations or increased volatility in the value of financial assets.	Perceptions of inadequate environmental practices by some sectors or industries can lead to volatility in asset values.
Liquidity	Transition risks may directly or indirectly affect expected cash flows or reduce the liquidity of certain assets, affecting the bank's liquidity position.	Physical risks can directly affect a financial institution's cash outflows or indirectly through customers' need for liquidity following extreme weather events.	-
Business and strategy	Transition, physical and natural capital risks may impact the strategy and business plan indirectly due to the business position with certain economic sectors whose business model may be more affected by the transition to a low-carbon economy, by physical changes in the climate or by risks of loss of ecosystem services capacity;		
Operational	The evolution of the customers' perception of the relationships maintained or the financing provided to certain customers and industries can generate legal risks.	Extreme weather events can cause disruptions and interruptions to own operations or damage to own assets.	The evolution of the customers' perception of the relationships maintained or the financing provided to certain customers and industries can generate legal risks.
Reputational	Potential negative perception of stakeholders when their expectations of our climate and environmental management are not met.		

Risk Assessment

As part of its General Risk Management and Control Model, the Group develops periodic risk identification and assessment processes to identify material risks that could have a negative impact on its risk profile and to manage those risks actively and proactively. Through this self-assessment, BBVA analyses how the different risk factors associated with climate change impact the main types of existing risks (credit, market, liquidity, etc.). All types of risk to which BBVA is exposed are

therefore covered, including those that are hard to quantify. Since 2022, the General Risk Management and Control Model specifically considers sustainability an essential part of the Group's strategy.

The Global Risk Assessment is a prospective exercise which updates at least twice a year, and allows a comparison between risk types, business activities and moments in time, facilitating the understanding of BBVA's positioning and its development, and identifying the material risks to cover with capital. Since 2020, the

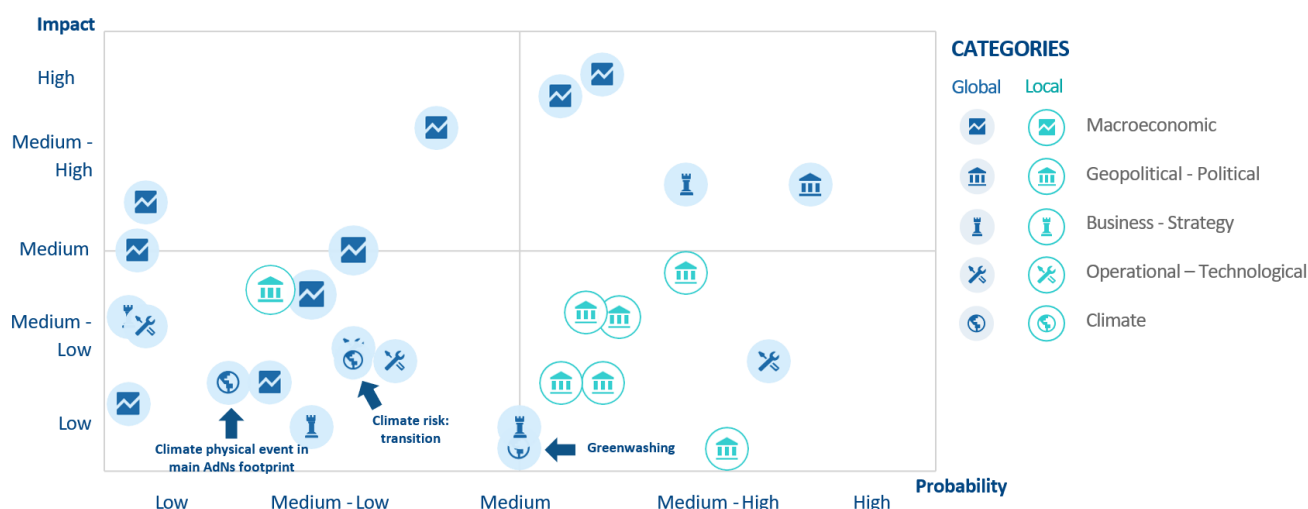
Group has been conducting a primarily qualitative climate assessment to determine BBVA's vulnerability to transitional and physical risk. In 2024, further progress was made towards a quantitative approach in the development of the Climate Risk Assessment. More precisely, BBVA defined a series of metrics that have made it possible to objectively evaluate risk levels in terms of both transition risk and physical risk and, in the case of physical risk, to evaluate potential impacts for each of the hazards analyzed, as well as other environmental risks, specifically analyzing water stress scenarios. In the case of Credit Risk, these assessments are based on NGFS transition risk scenarios ("Net Zero, Delayed Transition" and "Current Policies") and physical risk (SSP2-4.5 and SSP3-7.0). Additionally, progress has been made in estimating the impact of both transition risk and physical risk on BBVA's strategy and business model. Its results are reported to the highest executive risk committee (GRMC) as well as to the corporate bodies, as this management is an integral part of key corporate processes, such as the Risk Appetite Framework or the Internal Capital Self-Assessment (ICAAP).

The climate change risk assessment process runs in parallel with the Group's overall risk management, but with a broader time frame. An assessment is carried out for a short-term (3 years), medium-term (3-5 years) and long-term (more than 5 years) horizon, which allows for a comprehensive consideration of the expected impacts, aligning with the EBA requirements.

The assessment of climate change risks includes, as for the other risks, the two perspectives of the global assessment:

- 1. Identification of risk events:** Transition risk and physical risk are included in the identification of risk events that could have a significant impact on the Group. A matrix of risk events identified in 2024 is prepared and represented in figures according to their estimated impact on the BBVA Group and their assigned probability.

Chart 26. Risks materializing in the short term: 12 - 18 month time horizon



Risks arising from climate change, including transition risk and physical risk, have been considered within the matrix of risk events that could materialize in the short term (12-18 months). On the one hand, the bursting of a green bubble and an increase in preference for less environmentally friendly assets is considered a transition risk event with a medium-low impact and probability. The probability of physical risk events within BBVA's footprint is considered low, for a medium-low impact, although the probability of a potential greenwashing event is considered higher.

geographical areas of the BBVA Group (Spain, Mexico, Turkey, Argentina, Peru and Colombia). The business risk analysis was incorporated in 2023, and in 2024, impacts derived from natural capital risk were also included. This exercise incorporates various factors, such as the carbon footprint of customers, the energy efficiency of real estate collateral, and financed emissions. Similarly, work has been done on the preliminary inclusion of quantitative metrics for certain risk factors, especially exposures to activities sensitive to transition risk or locations exposed to physical risk.

- 2. Risk level assessment:** this approach is based on an assessment of the profile of each type of risk, which is reflected in a heat map. The risk assessment covers the most relevant

The conclusions of the risk assessment for 2024 indicate that the main risks emerge in credit portfolios in the medium and long term. In particular, transition risk manifests itself earlier in Spain due to the faster adoption

of decarbonization policies in Europe, while emerging areas present less regulatory pressure.

In the long term, the main credit risk factor is related to the investments in technological change that companies will have to make in order to decarbonize.

With respect to the impact of physical risk on loan portfolios, the greater frequency/severity of extreme meteorological events and structural changes in climate patterns explains the deterioration shown in the assessment in the medium-long term.

The impact of transition risk on liquidity risk is due to the stability of the retail deposit base and the high asset quality of the liquid asset buffer.

Market risk is also low, due to the diversification of the equity portfolio and low exposure to sectors sensitive to transition risk in the fixed-income portfolio.

As regards operational risk, there is a difference in perceived risk in Spain (medium-low in the short term and medium in the medium and long term) and in the rest of the geographical areas (low) in transition risk; in the case of physical risk, it is low for all the geographical areas evaluated.

Table 103. Climate Change Risk Assessment 2024

	Spain			Other geographical areas			BBVA Group		
	CP	MP	LP	CP	MP	LP	CP	MP	LP
Transition risk									
Credit									
Liquidity and financing									
Structural equity									
Credit spread									
Markets (trading)									
Insurances									
Operational									
Reputational									
Business									
TOTAL									
Physical risk									
Credit									
Liquidity and financing									
Structural equity									
Credit spread									
Market Risk (trading)									
Insurances									
Operational									
Reputational									
Business									
TOTAL									
Other environmental risks									
Credit									
TOTAL									

Definition of time horizons:

CP: Short term; up to 3 years

MP: Medium term, from 3 years to 5 years.

LP: Long term, more than 5 years.

	Low risk
	Medium-low risk
	Medium risk
	Medium-high risk
	High risk
	Not applicable

Analysis of scenarios and stress testing

Article 449 bis CRR - Table (1) n)

Scenarios and internal stress tests

The climate scenarios have been integrated into the governance of the BBVA Group's internal scenarios:

1. The baseline budget scenario includes an analysis of the climate policies in force in each relevant geographic area in which BBVA operates, their effective importance within the general economic policy framework, their consistency with the transition to a decarbonized economy and with the budget scenario itself. Potential biases on expected economic growth are therefore qualitatively assessed.
2. Incorporation of transitional climate risks into one of the alternative risk scenarios (HLRS) that are continuously monitored and evaluated by the Scenario Working Group. The ongoing monitoring of alternative risk scenarios aids in selecting the scenario to be used in the Group's capital self-assessment process (ICAAP).

Since 2022, various physical risk events have been assessed in the Group with the aim of considering them as input for the ICAAP. In 2022, a drought risk scenario in Spain was considered, while in 2023 a risk scenario for the Mexican economy triggered by cyclones was considered as an additional input for the adverse ICAAP scenario. In 2024, BBVA worked to define those events that could occur simultaneously across different geographies, concluding that drought scenarios for both Spain and Mexico will be included as part of the adverse scenario under the 2024 ICAAP. Likewise, the adverse macroeconomic scenario will incorporate for the first time an additional shock as the result of a transition risk scenario originating in the bursting of a bubble on green assets.

In terms of methodology, progress is being made along two lines of action: the first of these are the efforts being made to incorporate a sectoral layer in the loss projection models, considering the different idiosyncrasies of each sector when subjected to climate scenarios; the second line is the development of a more granular projection, to consider information at the client or asset location level.

Regulatory and supervisory scenarios and stress tests

In early 2024, BBVA took part in the "One-off Fit-for-55" supervisory exercise, whose primary objective was to collect data on credit and market portfolio exposures and transition climate risks associated with the Fit-for-55 package commitments. Additionally, the request for information considers elements relating to the locations of the financed assets, in order to assess the possible physical risks to which the banks' portfolio is exposed.

Finally, information was also requested on the entity's income in various sectors, with the aim of analyzing the dependence of financial entities on the most polluting sectors and evaluating the associated business risk.

This request for information, coordinated by the European Banking Authority (EBA), adds data to the hierarchical projections made by the European Central Bank (ECB). In November 2024, the EBA published a report detailing the results. The report stresses that climate transition risks alone do not pose a threat to the financial stability of the European Union. However, combined with macroeconomic shocks, they can increase losses for financial institutions and cause disruption. It also highlights the importance of proactive management of climate risks and the need for close collaboration between financial institutions and regulators to ensure an orderly transition towards a sustainable economy.

Processes to define, measure and monitor climate change and environmental risks

Article 449 bis CRR - Table (1) l)

Article 449 bis CRR - Template 1, 2, 4 y 5

Climate transition risk

Transition risks are those risks associated with the process of adjusting to a low-carbon economy in response to climate change, and which arise from regulatory, market and consumer behavioral changes needed to meet global climate targets. The sectors identified as having the greatest climate risk face a considerable transformation and adaptation challenge that will require, and is already requiring, large investments. They also happen to be the sectors that will require a closer understanding and monitoring of the risks involved.

BBVA has an internal sectoral classification of transition risk, the main purpose of which is to identify the vulnerability of various sectors to transition risk and to rank them accordingly.

In this way, sectors are categorized as having very high, high, moderate or low vulnerability. The activities most sensitive to transition risk —known as High Transition Risk (HTR) sectors— are identified as the sectors that generate energy or fossil fuels (oil and gas, electricity generation, coal mining); emission-intensive basic industries (steel, cement); and activities that are end users of energy and generate emissions through their products or services (automobiles, aviation and maritime transportation).

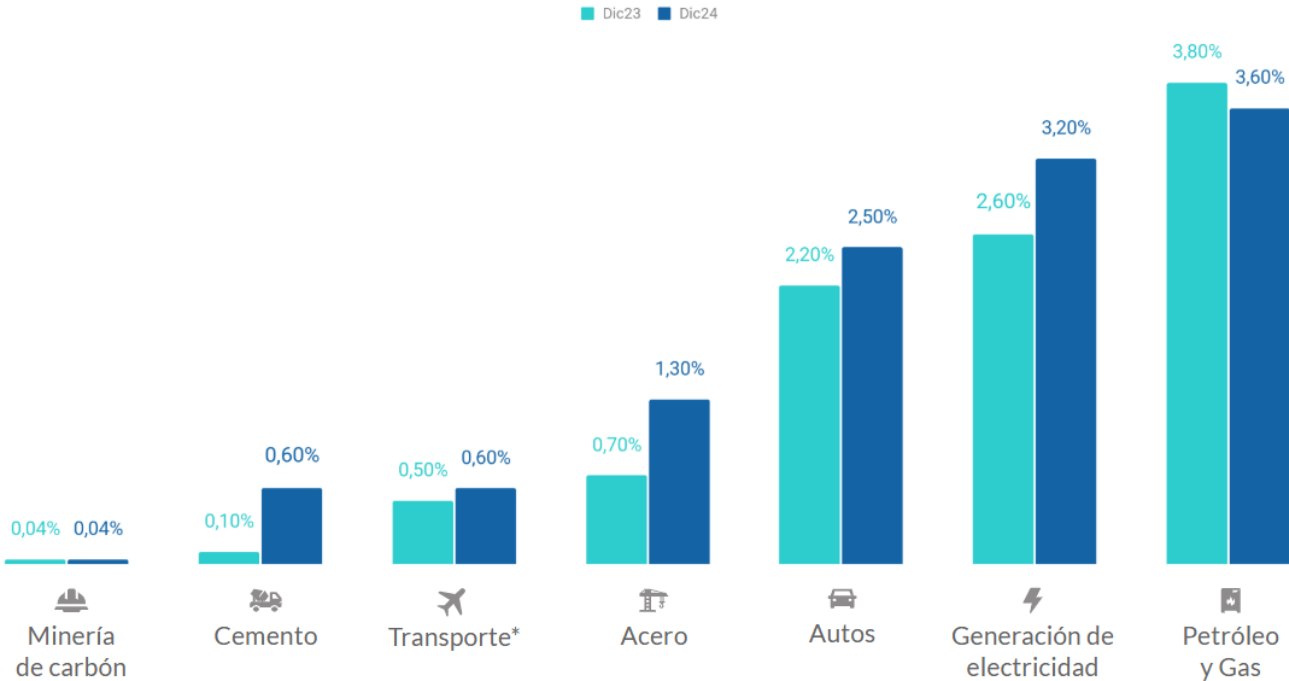
In 2024, the categorization of climate risks was updated to incorporate developments in climate change mitigation regulations and key technological advances. These updates allow for more accurate identification of critical exposures and the prioritization of mitigation

actions. As a result of this exercise, with data as of December 31, 2024, it has been identified that 11.7% of the exposure³¹ of the wholesale portfolio (representing 5.9% of the Group) related to sectors defined as HTR, with a high or very high level of exposure to this risk. This calculation was made on a portfolio of EUR 253,795 million (out of the Group's total of EUR 500,636 million),

corresponding to the exposure of the wholesale loan portfolio.

The following figure shows the percentage of exposure of each of the sectors considered HTR to the total wholesale portfolio:

Chart 27. Exposure to transition risk-sensitive sectors (% of wholesale MD&A)



*Includes Aviation and Shipping.

With respect to the portfolio of small businesses with high or very high transition risk, the associated exposure is limited, amounting to around 2.10% of the total small businesses and being very unrepresentative of the total for the Group.

Assessing transition risk and customer decarbonization plans

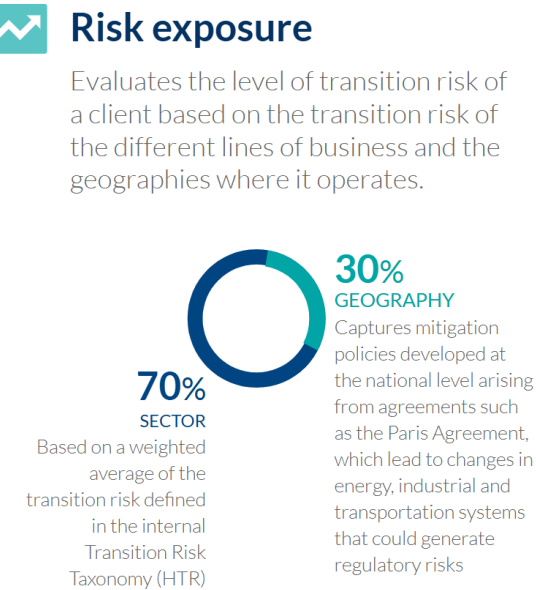
The analysis of customers operating in the High Transition Risk sectors identified in the internal transition risk taxonomy follows the scoring system developed by BBVA known as the Transition Risk Indicator (hereinafter TRi). During 2024, a cross-sectoral version of TRi (called Generic TRi) has been developed, which joins the existing ones for oil and gas, electricity generation, cars, steel, cement and auto parts. The aim is to have a transition risk score and an assessment of their decarbonization plans for all clients in the corporate banking segment, regardless of the sector in which they operate.

TRi assesses clients' transition risk exposure by their activities and geographies. Meanwhile, the credibility of the transition plans is assessed through:

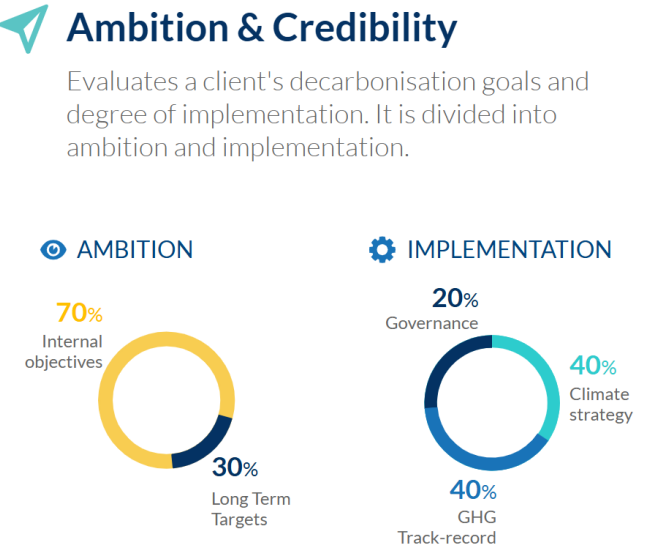
- The level of ambition of the emission reduction targets; and
- The level of implementation of these plans. The second concept is measured on the basis of the maturity of their governance structures, the concreteness of their climate strategy in terms of the technological levers defined to achieve the targets, and the actual trend and performance in terms of greenhouse gas emissions.

³¹ Measured by EAD (Exposure At Default).

Chart 28. TRi at the client level

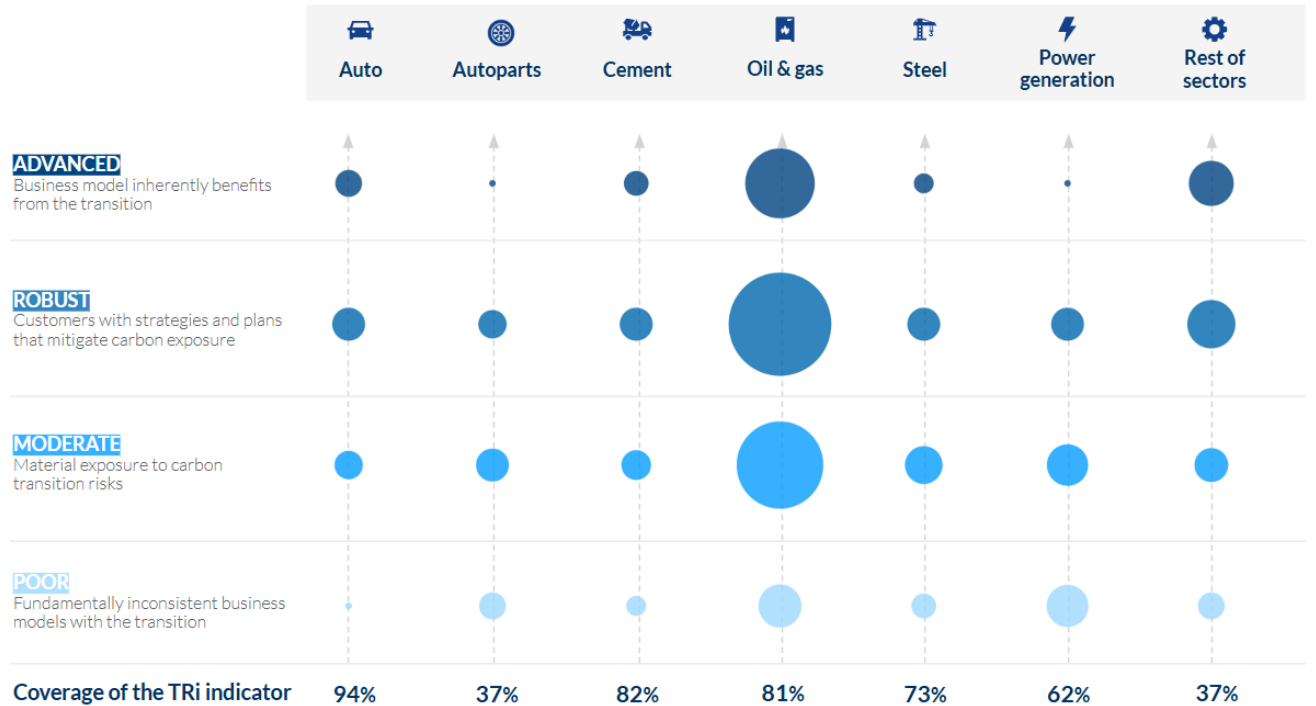


TRi is a useful internal tool for business areas to segment clients in sector-based alignment plans for portfolios that form part of BBVA's objectives. This allows the application of risk mitigation policies established in the



Sector Frameworks. Below is the result of the transition scoring system, which is used to classify clients by their level of exposure to transition risk and level of maturity in how they manage it:

Chart 29. Transition score of the main customers by sectors⁽¹⁾



⁽¹⁾ Scoring system related to the transition of the Corporate portfolio (the size of the circles represents the number of customers in each category) and its coverage.

Calculation of financed CO₂e emissions

BBVA continues to measure the emissions associated with its financing and direct investment activities, also known as scope 3, category 15 greenhouse gas (GHG) emissions. To carry out this measurement, BBVA has adopted the PCAF (Partnership for Carbon Accounting Financials) methodology, applying the control criteria identified in the GHG protocol. This calculation will cover

all the portfolios included in the scope of the PCAF standard (first edition) and the Group's significant geographical areas, providing a global view of the emissions financed.

In accordance with the defined roadmap, at the end of December 2024, the calculation includes the measurement of financed emissions in the area of corporate loans, project finance, commercial real estate,

mortgages and automotive (hereinafter lending), and has also incorporated the fixed-income and equity portfolio (hereinafter ex-lending) in the area of BBVA, S.A. (excluding branches in Portugal), BBVA Mexico, BBVA Colombia, BBVA Peru, BBVA Argentina and Garanti Bank, which includes the perimeter of Garanti BBVA in Turkey and its subsidiaries Garanti Bank International and Garanti Bank Romania.

The result of the estimate is expressed both in terms of absolute emissions financed and economic intensity (tons of absolute emissions per million euros financed). In addition, the quality score defined in the PCAF methodology is presented, which evaluates the

availability and reliability of the data used for the calculation. This score ranges from 1 to 5, with 5 being the worst score assigned when using sector estimates using emission factors provided by PCAF, and 1 being the best score when using verified, client-reported emissions data. The version of the factors used is the most recent one provided by PCAF as of September 2024.

In 2024, the measurement perimeter was expanded to include the fixed-income and equity portfolios and two new geographies were added (Garanti BBVA, including the aforementioned subsidiaries, and BBVA Argentina). The emission factors provided by PCAF, which are used to estimate the emissions financed, were also updated.

Chart 30. PCAF asset types (MtCO₂e) (BBVA Group)

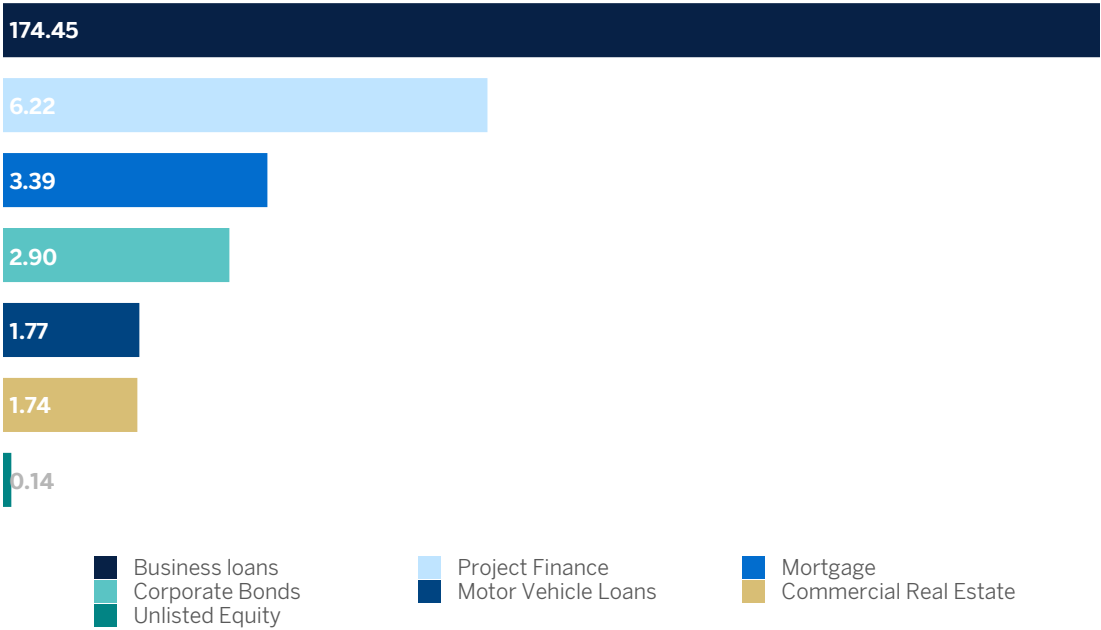
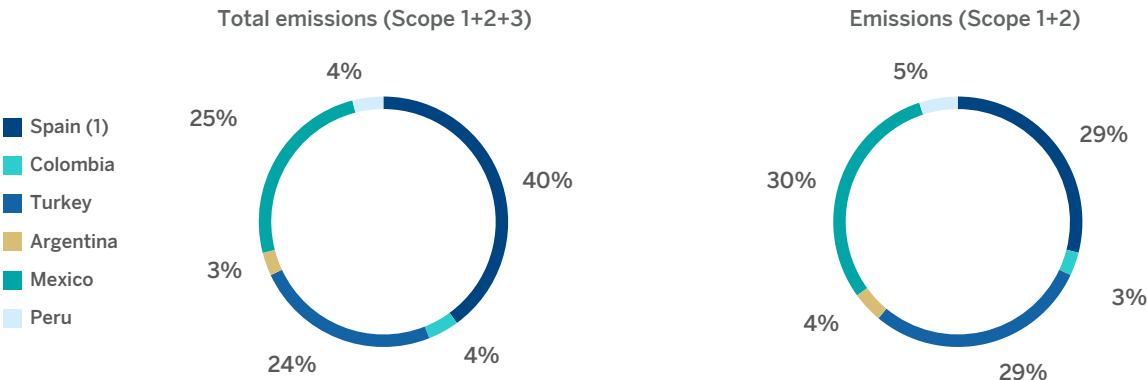


Chart 31. Distribution of financed emissions by geography



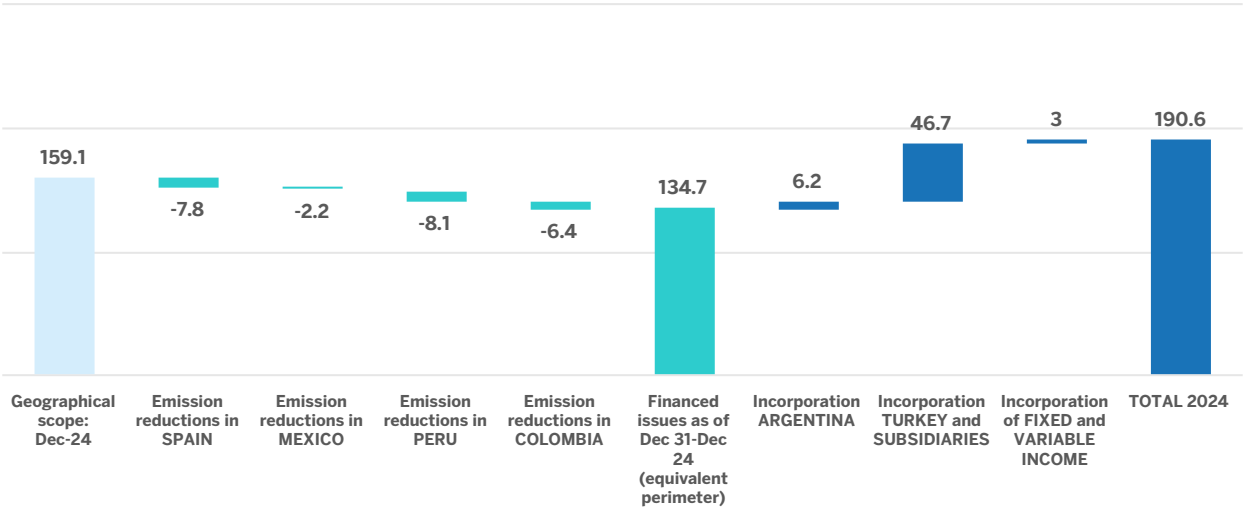
⁽¹⁾ Data of BBVA S.A. without Portugal

As mentioned earlier, throughout the year work was carried out to include the calculation of emissions financed in the ex-lending portfolio (incorporating 3 million tons of CO₂e) and the portfolios of Garanti BBVA

(incorporating 47 million tons of CO₂e) and Argentina (adding 7 million tons of CO₂e).

The following graph shows the impact of the different aspects that explain the evolution of the calculation of financed emissions during 2024:

Chart 32. Evolution of the calculation of financed emissions between 2023 and 2024 (MtCO₂e)



Considering the same perimeter as at the end of 2023, financed emissions have been reduced by 15.3%, from 159.1 to 134.69 MtCO₂e. By geography, the reduction of 7.8 MtCO₂e in Spain stands out due to adjustments to emission factors, as well as in Colombia and Peru, with a reduction of 6.4 and 8.1 MtCO₂e respectively, mainly due to the reduction in exposure to relevant customers in the fossil fuel portfolio.

For financed emissions, an economic intensity metric was calculated using the bank’s exposure to its counterparties for its associated emissions. As a result, the intensity coefficient was 690 tCO₂e/€M.

In the future, fluctuations in the measurement of financed emissions can be expected, both due to revisions of emissions factors provided by PCAF and due to greater use of data reported by clients as their publication becomes more widespread.

Table 104. ESG1. Banking book- Climate Change transition risk: Credit quality of exposures by sector, emissions and residual maturity (Million euros. 12-31-2024)

Sector/subsector	Gross carrying amount					Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)		GHG emissions percentage derived from company-specific reporting ⁽³⁾	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity
		Of which excluded from Paris Agreement ⁽²⁾	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures		Of which Stage 2 exposures	Of which non-performing exposures		Of which Scope 3 financed emissions						
Exposures towards sectors that highly contribute to climate change⁽¹⁾	169,839	14,620	1,535	10,776	4,576	(3,448)	(532)	(2,456)	173,657,765	116,923,738	13 %	130,962	21,113	6,437	11,328	4
A - Agriculture, forestry and fishing	5,104	—	—	557	214	(149)	(18)	(110)	7,860,853	2,348,996	2 %	3,859	1,009	80	156	3
B - Mining and quarrying	4,420	1,912	13	106	27	(28)	(5)	(13)	10,087,138	7,053,336	39 %	4,217	111	41	51	2
B.05 - Mining of coal and lignite	39	39	—	5	—	(1)	—	—	105,356	85,243	— %	31	8	—	1	2
B.06 - Extraction of crude petroleum and natural gas	1,508	1,491	—	4	—	(1)	—	—	6,951,058	5,886,901	95 %	1,484	5	—	18	1
B.07 - Mining of metal ores	1,906	11	—	29	2	(8)	(2)	(1)	1,815,079	516,321	12 %	1,865	2	37	2	2
B.08 - Other mining and quarrying	343	15	—	45	17	(10)	(1)	(8)	243,044	90,616	6 %	267	67	3	5	3
B.09 - Mining support service activities	624	356	13	23	7	(8)	(2)	(4)	972,601	474,255	6 %	570	28	—	26	3
C - Manufacturing	56,795	3,901	426	3,083	934	(738)	(134)	(485)	83,925,089	64,581,756	17 %	47,466	5,062	766	3,500	3
C.10 - Manufacture of food products	11,593	—	—	713	169	(157)	(34)	(96)	21,969,642	20,470,952	10 %	8,812	840	63	1,878	5
C.11 - Manufacture of beverages	1,876	—	—	135	22	(15)	(2)	(10)	1,074,214	821,367	16 %	1,596	213	21	46	2
C.12 - Manufacture of tobacco products	334	—	—	5	—	—	—	—	55,757	44,662	93 %	289	44	—	1	3
C.13 - Manufacture of textiles	1,608	—	—	148	49	(54)	(13)	(29)	717,605	554,100	— %	1,479	101	5	23	2
C.14 - Manufacture of wearing apparel	734	—	—	71	40	(34)	(4)	(26)	339,874	265,409	— %	678	43	2	12	2
C.15 - Manufacture of leather and related products	377	—	—	35	25	(16)	(1)	(14)	210,166	161,771	31 %	360	9	2	6	1
C.16 - Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting materials	521	—	—	60	27	(22)	(2)	(17)	360,564	194,761	— %	475	25	8	14	3
C.17 - Manufacture of pulp, paper and paperboard	1,734	—	46	96	12	(12)	(1)	(7)	1,201,981	700,017	16 %	1,365	302	5	62	4
C.18 - Printing and service activities related to printing	308	—	—	47	30	(18)	(2)	(14)	133,018	91,489	— %	244	38	12	13	4
C.19 - Manufacture of coke oven products	3,136	2,660	5	44	1	(7)	(5)	—	5,361,689	3,604,125	27 %	2,344	506	243	44	3
C.20 - Production of chemicals	5,280	476	2	178	39	(40)	(7)	(25)	6,604,751	4,498,120	29 %	4,398	457	281	143	3
C.21 - Manufacture of pharmaceutical preparations	1,967	—	—	60	12	(13)	(3)	(7)	1,184,880	782,183	17 %	1,519	398	3	47	3
C.22 - Manufacture of rubber products	2,040	2	—	146	27	(22)	(2)	(15)	1,824,865	1,175,682	3 %	1,875	83	27	55	3
C.23 - Manufacture of other non-metallic mineral products	3,158	—	3	179	22	(24)	(8)	(11)	7,332,134	1,444,603	26 %	2,796	282	3	76	3
C.24 - Manufacture of basic metals	4,703	7	264	279	72	(69)	(14)	(47)	7,852,030	4,256,570	17 %	4,384	247	4	68	2
C.25 - Manufacture of fabricated metal products, except machinery and equipment	1,752	—	1	205	98	(63)	(5)	(49)	1,145,560	1,045,335	— %	1,491	159	24	79	3

Sector/subsector	Gross carrying amount					Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)		GHG emissions percentage derived from company-specific reporting ⁽³⁾	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity
	Of which excluded from Paris Agreement ⁽²⁾	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures		Of which Stage 2 exposures	Of which non-performing exposures		Of which Scope 3 financed emissions							
C.26 - Manufacture of computer, electronic and optical products	2,806	—	1	154	10	(6)	(1)	(4)	1,417,063	1,146,265	41 %	2,577	186	10	32	1
C.27 - Manufacture of electrical equipment	2,748	49	49	39	77	(18)	(2)	(12)	9,307,419	8,908,543	26 %	2,425	227	13	83	2
C.28 - Manufacture of machinery and equipment n.e.c.	1,786	375	1	139	77	(49)	(5)	(40)	2,584,117	2,264,903	11 %	1,588	136	9	53	2
C.29 - Manufacture of motor vehicles, trailers and semi-trailers	4,944	321	6	138	38	(36)	(9)	(22)	10,635,558	10,039,021	10 %	3,935	449	8	553	4
C.30 - Manufacture of other transport equipment	1,718	—	46	48	9	(9)	(1)	(4)	1,559,795	1,402,977	28 %	1,394	174	—	150	4
C.31 - Manufacture of furniture	368	—	—	32	27	(16)	(2)	(12)	195,141	110,620	— %	324	25	8	11	3
C.32 - Other manufacturing	946	11	—	89	26	(24)	(9)	(13)	664,622	480,299	24 %	809	97	3	37	3
C.33 - Repair and installation of machinery and equipment	359	—	1	43	24	(14)	(2)	(10)	192,644	117,982	— %	309	22	14	14	3
D - Electricity, gas, steam and air conditioning supply	18,759	6,253	559	967	217	(279)	(104)	(161)	19,837,446	8,411,960	25 %	13,861	2,333	914	1,650	4
D35.1 - Electric power generation, transmission and distribution	14,487	3,055	407	833	212	(269)	(101)	(157)	13,373,386	5,264,060	22 %	10,490	1,648	735	1,614	5
D35.11 - Production of electricity	10,565	2,608	274	744	194	(248)	(91)	(148)	9,155,598	1,885,333	17 %	7,900	1,384	732	550	4
D35.2 - Manufacture of gas; distribution of gaseous fuels through mains	4,265	3,198	152	133	5	(9)	(4)	(4)	6,443,914	3,144,417	33 %	3,366	684	179	35	4
D35.3 - Steam and air conditioning supply	7	—	—	2	1	(1)	—	(1)	20,146	3,483	— %	5	2	—	—	4
E - Water supply; sewerage, waste management and remediation activities	1,272	160	32	57	26	(19)	(3)	(14)	1,048,290	337,143	11 %	781	173	289	29	7
F - Construction	11,235	61	228	939	608	(419)	(35)	(329)	2,124,244	1,811,601	4 %	7,657	1,018	1,536	1,024	5
F.41 - Construction of buildings	7,714	59	33	700	357	(276)	(28)	(206)	689,169	543,018	— %	4,893	500	1,438	884	6
F.42 - Civil engineering	1,640	1	108	79	66	(45)	(2)	(39)	656,492	576,433	26 %	1,235	306	45	54	2
F.43 - Specialised construction activities	1,881	—	87	160	185	(98)	(6)	(84)	778,583	692,150	3 %	1,530	213	54	85	3
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	38,159	2,064	21	2,323	1,352	(968)	(108)	(722)	42,170,493	29,436,993	7 %	31,792	2,515	335	3,517	3
H - Transportation and storage	13,069	258	256	896	339	(233)	(39)	(158)	5,139,150	2,381,416	8 %	8,442	3,204	606	817	5
H.49 - Land transport and transport via pipelines	6,037	255	2	521	159	(135)	(28)	(84)	2,792,559	1,370,509	6 %	4,453	856	106	622	5
H.50 - Water transport	547	—	8	32	43	(39)	(2)	(35)	908,455	180,986	4 %	376	136	28	7	3
H.51 - Air transport	511	—	—	19	15	(5)	—	(4)	511,912	81,637	17 %	246	235	—	30	6
H.52 - Warehousing and support activities for transportation	5,859	3	246	318	105	(46)	(8)	(27)	812,585	643,927	10 %	3,272	1,962	469	156	4
H.53 - Postal and courier activities	115	—	—	6	17	(8)	—	(6)	113,639	104,357	— %	95	15	2	2	3
I - Accommodation and food service activities	9,520	—	—	701	282	(196)	(36)	(127)	856,734	502,327	5 %	5,505	3,116	683	216	5
L - Real estate activities	11,507	11	1	1,147	577	(419)	(49)	(337)	608,328	58,210	11 %	7,380	2,572	1,187	368	5

Sector/subsector	Gross carrying amount					Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)		GHG emissions percentage derived from company-specific reporting ⁽³⁾	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity
	Of which excluded from Paris Agreement ⁽²⁾	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures		Of which Stage 2 exposures	Of which non-performing exposures		Of which Scope 3 financed emissions						
Exposures towards sectors other than those that highly contribute to climate change ⁽¹⁾	35,048	8	80	2,004	440	(691)	(105)	(404)			23,719	2,598	935	7,796	6
K - Financial and insurance activities	3,417	—	52	74	8	(11)	(1)	(5)			3,166	130	69	52	2
Exposures to other sectors (NACE codes J, M - U)	31,631	8	28	1,930	432	(680)	(104)	(400)			20,553	2,468	866	7,744	7
TOTAL	204,887	14,628	1,615	12,780	5,016	(4,139)	(636)	(2,860)	173,657,765	116,923,738	13 %	154,681	23,711	7,372	19,124

^(*) Accounting portfolios: "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&L" and "Non-tradable at Fair Value through P&L". Instruments: loans and advances, fixed income and equities. Sectors: non-financial corporations.

^(**) Specific details:

- Information on customers' economic activities has been used based on the local economic classifications of each geography, in the case of Spanish companies, the National Classification of Economic Activities (CNAE), or other equivalent standards in the other geographies where the Group operates. These local classifications by activity are equivalent to the Statistical Classification of Economic Activities of the European Community (NACE). In addition, information provided by risk analysts who review the NACE for individual customers is being used when it does not accurately reflect the main economic activity. This information on customer economic activity is used for the BBVA Group's internal risk management.
- GHG emissions calculation for BBVA S.A. loans and advances. (except for the branches in Portugal whose emissions have not been measured due to low materiality), BBVA Mexico, BBVA Peru, BBVA Colombia, Garanti BBVA and BBVA Argentina. The 190,6 million tons of financed emissions mentioned previously in the report correspond to the expanded perimeter. This table does not provide emissions for a series of portfolios (other sectors, the portfolio of individuals or households). Furthermore, the sector information in this report for calculating emissions may contain differences with respect to the information provided in the BBVA's Management Report, given that this information, at the request of the banking supervisor, must be consistent with the sector information in the FINREP regulatory framework.
- Operational marking excluded from the Paris Agreement(1). The thresholds considered for exclusion from the Paris Agreement on the basis of the Delegated Regulation (EU) 2020/1818 are:
 - Companies deriving 1 % or more of their revenues from the exploration, mining, extraction, distribution or refining of anthracite, hard coal and lignite.
 - Companies deriving 10 % or more of their revenues from the exploration for, extraction, extraction, distribution or refining of liquid fuels.
 - Companies deriving 50 % or more of their revenues from the exploration for, extraction, production or distribution of gaseous fuels.

^(***) Revenues from customer activities are obtained from S&P data. Revenues from activities indicated in the supplier's "S&P Paris-Aligned & Climate, Transition (PACT) Indices Methodology" are considered. For those cases where no information is available on the client's activity revenues, it is assumed that its revenues come from the main activity (NACE) used for internal management and reporting.

^(****) Companies engaged in electricity generation take into account the emissions intensity estimated under the PACTA methodology in the logic to be considered as companies excluded from the Paris Agreement.

^(*****) Exposures computed in the numerator of column k ("GHG emissions") are estimated under the PCAF methodology with approach 1a or 1b.

⁽¹⁾ In accordance with the Commission delegated regulation (EU) 2020/1818 supplementing regulation (EU) 2016/1011 as regards minimum standards for EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks -Climate Benchmark Standards Regulation - Recital 6: Sectors listed in Sections A to H and Section L of Annex I to Regulation (EC) No 1893/2006.

⁽²⁾ Exposures towards companies excluded from EU Paris-aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation.

⁽³⁾ GHG emissions (column i, "GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty)": gross carrying amount percentage of the portfolio derived from company-specific reporting.

Identification of clients excluded from EU Paris-aligned Benchmarks

The Paris Agreement is an agreement within the framework of the United Nations Framework Convention on Climate Change (COP) that establishes measures to reduce greenhouse gas (GHG) emissions.

In February 2019, the European Parliament and the Council reached an agreement on the creation of two new categories of low-carbon benchmarks: the EU Climate Transition Benchmark (or EU CTB for short) and the Paris-Aligned Benchmark (or EU PAB for short). While both benchmarks feature the same criteria focused on decarbonization, the thresholds are different.

In 2020, the European Commission established the minimum criteria that indices must meet to qualify as a EU Climate Transition Benchmark (EU CTB) and EU Paris-Aligned Benchmark (EU PAB). For the Paris-aligned benchmark, Delegated Regulation (EU) 2020/1818 sets out certain exclusions including quantitative criteria for the sectors of (i) exploration, mining, extraction, distribution or refining of anthracite, hard coal and lignite; (ii) exploration, extraction, distribution or refining of liquid fuels; (iii) exploration, extraction, production or distribution of gaseous fuels; (iv) generation of electricity with a given emissions intensity. The aforementioned regulation contains qualitative criteria in relation to controversial weapons such as anti-personnel mines, biological, chemical and nuclear weapons, cluster bombs, as well as depleted uranium weapons, blinding laser weapons, incendiary weapons and/or undetectable fragments. However, as expressly instructed by the current Pillar 3 regulations issued by the EBA and the European Commission, these qualitative aspects should not be taken into account.

The identification of clients excluded from the Paris Agreement-aligned EU benchmark is carried out using information provided by an external ESG data provider of the Group. A relationship is established between the sectors or economic activities described in the delegated regulation and an assessment is made as to whether or not the client or business group meets the relevant criteria. This cataloging is carried out in accordance with the methodology developed by the aforementioned provider, which builds a logical relationship between the economic sectors or activities and the screening criteria by percentage of turnover established by the delegated regulation in those sectors.

The categorization provided is also related to the NACE catalogue (4-digit). This categorization will be carried out through the relationship that EUROSTAT establishes with NACE, thus making it possible to identify those clients for which information is expected to be available that is not available from the supplier. These cases are exceptional, as the sectors just mentioned (coal, oil, gas, power

generation and like) tend to feature large clients and information on turnover by economic activity is almost always available. For those activities that involve more than one sub-activity, for example oil and gas at the same time, the most restrictive criterion will be considered.

Concentration of financed emissions

The BBVA Group has analyzed its exposures to the 20 most carbon-intensive companies in the world, which it uses as a complement to the sectoral analysis (NACE codes) disclosed in other sections of this report. To analyze the exposure to these companies, the financing granted to any of the companies belonging to their segment is considered. The relationship between corporate groups and companies belonging to them is based on the principles of supervisory reporting on large exposures (COREP Large Exposures) and connected clients.

The information on the world's top 20 carbon-intensive companies, according to the EBA's ITS, should be based on accurate and publicly available information. Examples of data sources used to identify these companies include the Carbon Majors database, which contains reports from the Carbon Disclosure Project (CDP) and the Climate Accountability Institute, as well as Thomson Reuters.

These reports, however, use different criteria to determine the most polluting companies, since they are based on different perimeters within the value chain for measuring greenhouse gas emissions. Therefore, the results are not equivalent due to the different perimeter of emissions considered by each of them.

BBVA has information from several data providers recognized in the sector with whom it collaborates to provide information on climate aspects. This information is based on questionnaires sent to companies by the CDP, an organization that the EBA cites as valid for determining a list of the most polluting companies.

Based on this information, a list of the most polluting companies has been drawn up, the emissions perimeter of which includes the three scopes (1, 2, and 3 upstream) of their value chain. BBVA understands that this scope is the one that companies can directly manage within their value chain, where they can carry out mitigation actions, accelerate their transition to productive processes or improve energy efficiency.

Below is the Group's exposure data for the 20 most carbon-intensive companies worldwide, showing that there are seven clients with a combined balance of €1,188 million, representing 0.23% of the exposure to non-financial companies and whose weighted average maturity is 0.20 years.

Table 105. ESG4. Banking book - Climate change transition risk: Exposures to top 20 carbon-intensive firms (Million euros. 12-31-2024)

Gross carrying amount (aggregate)	Gross carrying amount towards the counterparties compared to total gross carrying amount (aggregate) ^(*)	Of which environmentally sustainable (CCM)	Weighted average maturity	Number of top 20 polluting firms included
1,188	0.23 %	—	0.20	7

^(*) For counterparties among the top 20 carbon emitting companies in the world, exclusively considering non-financial corporates in the investment portfolio of the entity.

^(**) Accounting portfolios: "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&L" and "Non-tradable at Fair Value through Profit or Loss". Instruments: loans, fixed income and equities. Sectors: non-financial corporations.

^(***) The information includes the BBVA Group total prudential balance. In terms of breakdown of environmental objectives, the most significant entities are included and correspond to 96% of the total assets. The data included in the template represents the best information available as of the date of publication of the report.

Breakdown of residential mortgages

The EPC (Energy Performance Certificate) label is a classification of buildings according to their energy efficiency. It must be calculated according to the methodology set out in Royal Decree 390/2021, to be updated when Directive (EU) 2024/1275 (the Energy Performance of Buildings Directive, or EPBD for short), published in April 2024, is transposed into national regulations.

The BBVA Group's exposures secured by real estate, as well as real estate foreclosed or received in payment of debts, are located both within and outside the scope of the EPBD. As a result, the standards for assessing the energy consumption intensity or energy efficiency of real estate in each region have different levels of maturity, which adds complexity when trying to provide a consistent view from a global perspective.

Most of the real estate is business-related in Spain, where the EPC is the standard approach to assessing energy efficiency. According to applicable law and regulations in Spain, the evaluation and generation of an energy certificate in the sale and purchase of a residential property has been mandatory since 2013. In recent years, BBVA S.A. has implemented the necessary changes to collect information on energy certificates for new residential mortgages in Spain.

Additionally, has a process to obtain information on the pre-existing portfolio through EPC data provided by an independent appraisal company approved in Spain, thus covering most of the exposure. In this regard, the EPC information was obtained from existing public records and, in cases where the information was not available, it was based on a model developed by the appraiser to estimate the intensity of energy consumption based on nearby properties, climate zone, year of construction and floor of the building, among other variables. This model has been analyzed by BBVA's Internal Validation team.

It should be noted that due to the type of property in question, the issuance of EPC labels may not be mandatory, as is the case with plots of land, storage rooms, or stand-alone garages, for which no information or estimated energy consumption (kWh/m²/year) has been obtained.

For real estate within the banking business in Spain, a project was launched to raise awareness and inform BBVA customers of the usefulness of EPCs and to include them among the documentation to be requested during the process of granting a mortgage prior to the underwriting of risks. The score, or letter, obtained will therefore affect the terms and conditions of the mortgage and thus promote the decarbonization of the real estate stock, which accounts for 40% of final energy consumption in the European Union and 36% of its greenhouse gas emissions.

In addition, several initiatives have been launched in Spain to finance improvements in the energy efficiency of buildings, both for individuals and communities of owners. A project has also been launched to periodically capture actual data on energy efficiency certificates from official sources, allowing for updated information that could change after origination and to complete information on older loan guarantees, with the first download taking place in January 2025.

In Turkey, energy certificates have been obtained from property appraisal documents existing in the country since 2017. The mortgage loan contracting process automatically collects label and consumption information. For the stock, an internal model has been developed that allows estimates of energy consumption.

In Mexico there are two ongoing projects to obtain energy efficiency information. First, the modification of the mortgage loan arrangement process to automatically collect information on new operations, and second, a model for the estimated allocation of EPCs for the mortgage stock. Moreover, a model has been implemented to estimate the energy efficiency certificates associated with new loan origination. All of this makes it possible to have information on energy consumption (kWh/m²/year) and emissions (KgCO₂/m²/year), which has resulted in a significant increase in the availability of energy efficiency data in properties outside the EU.

A similar initiative has been implemented in Peru³², making it possible to manage the gathering of emissions indicators (kgCO₂/m²/year) and, based on this information, to generate consumption metrics (kWh/m²/year) by applying the country's energy mix.

³² In Colombia, results are expected to be produced using the same tool as in Peru during the next financial year.

BBVA is actively working to identify key local factors to determine the degree of sustainability of the properties. Some of these factors are associated with the water resources required or waste management, since the energy efficiency of buildings is of different significance depending on the climate of the countries in which they operate.

In addition, operational transition risk has been incorporated into the bank's ordinary non-financial risk management model, with a Greenwashing Prevention Program in place at both product and company level.

The Program's main lines of action include both the quantitative analysis of risk and the development of control frameworks and other mitigating actions for the main activities generating this type of risk (advertising and external communication, distribution of products with sustainable characteristics, etc.).

Table 106. ESG2. Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral (Million euros. 12-31-2024)

	Total gross carrying amount amount															
	Level of energy efficiency (EP score in kWh/m ² of collateral)							Level of energy efficiency (EPC label of collateral) ⁽¹⁾							Without EPC label of collateral	
	0; <= 100	> 100; <= 200	> 200; <= 300	> 300; <= 400	> 400; <= 500	> 500		A	B	C	D	E	F	G		Of which level of energy efficiency (EP score in kWh/m ² of collateral) estimated
Total EU area	83,289	10,377	27,392	18,421	4,073	1,082	701	1,385	1,560	2,036	5,721	32,463	4,935	7,520	27,669	23 %
Of which Loans collateralised by commercial immovable property	11,703	1,163	1,735	1,105	355	91	64	278	386	664	623	1,337	274	344	7,797	8 %
Of which Loans collateralised by residential immovable property	71,188	9,197	25,591	17,265	3,708	987	636	1,105	1,172	1,367	5,083	31,082	4,648	7,159	19,572	29 %
Of which Collateral obtained by taking possession: residential and commercial immovable properties	398	17	66	51	9	4	1	1	2	5	16	44	13	17	301	17 %
Of which Level of energy efficiency (EP score in kWh/m ² of collateral) estimated	6,425	1,653	2,376	1,942	396	44	14								6,425	100 %
Total non-EU area	45,118	1,020	6,232	1,813	571	330	191	22	328	842	31	8	1	—	43,887	20 %
Of which Loans collateralised by commercial immovable property	18,850	559	492	114	21	3	67	21	231	321	6	1	—	—	18,270	4 %
Of which Loans collateralised by residential immovable property	25,846	460	5,740	1,699	550	327	124	—	97	521	25	7	1	—	25,194	33 %
Of which Collateral obtained by taking possession: residential and commercial immovable properties	422	1	—	—	—	—	—	—	—	—	—	—	—	—	422	— %
Of which Level of energy efficiency (EP score in kWh/m ² of collateral) estimated	8,926	513	5,710	1,732	546	318	108								8,926	100 %

⁽¹⁾ Accounting portfolios: "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&L" and "Non-marketable at Fair Value through Profit or Loss". Loans secured by real estate are in the "At amortised cost" portfolio. Instruments: loans secured by residential real estate, commercial real estate and foreclosed real estate collateral. Sectors: non-financial corporations and households. Data on the Group's prudential perimeter, where energy efficiency information is available mainly in the Spanish and Turkish business.

⁽¹⁾ The EPC labels included are the certified labels obtained from the client, from the registry, provided by the appraiser and estimated by methodology based on certified homes belonging to the same building.

Climate physical risk

Physical risks stem from climate change and can manifest both in the heightened frequency and severity of extreme weather events and in long-term alterations to climate patterns. These types of events can lead to physical damage to company assets, disruptions in the supply chain or increased costs necessary to address them.

During 2024, BBVA has developed an internal physical risk taxonomy whose main objective is to identify the economic activities most exposed to physical climate risks and the most relevant natural hazards in the main geographies where BBVA has a presence, as well as explaining the transmission channels of physical risks to prudential financial risks.

In this way, it is identified that the most relevant natural hazards in the geographies where BBVA operates are tropical cyclones, heat waves, forest fires, river and coastal flooding and drought.

Physical risk is associated with the location of assets and vulnerability based on their activity and can materialize in credit risk through different transmission channels, having an impact in multiple ways such as, for example, on the purchasing power of customers, business productivity, market demand or the value of assets.

BBVA has continued to make progress in assessing the materiality of chronic and acute risks in the different portfolios. The physical risk analysis is structured around three pillars:

Threat

Regarding the threat, in 2024 the calculation methodology for the collateralized portfolio has evolved. This evolution is based on the use of an external tool that allows for the analysis of both acute risks (river and rain flooding, tropical cyclones, wildfires, heat and cold waves) and chronic risks (sea level rise, drought) under different climate change scenarios from the Intergovernmental Panel on Climate Change (IPCC).

Based on the calculations performed and in order to make the management of physical risks part of the collateralized loan procedure, an internal physical risk score has been developed at the collateral level. This score allows collateral to be ranked by their level of exposure to physical risk under different chronic and acute hazards in the SSP2-4.5 and SSP3-7.0 scenarios and at different time horizons. The scenario used was SSP2-4.5 with a time horizon of 2040.

For the other wholesale portfolios, the methodology was updated to include climate change data based on IPCC scenarios such as those discussed above. This tool indicates the risk levels of the various natural hazards (both acute and chronic, as indicated above) at a global level and with different breakdowns depending on the geographical area of the planet. These risk levels are calculated based on climate change indices recognized by the World Meteorological Organization (WMO). The information used is provided by the IPCC, except for information on tropical cyclones, which continues to be the version based on ThinkHazard.

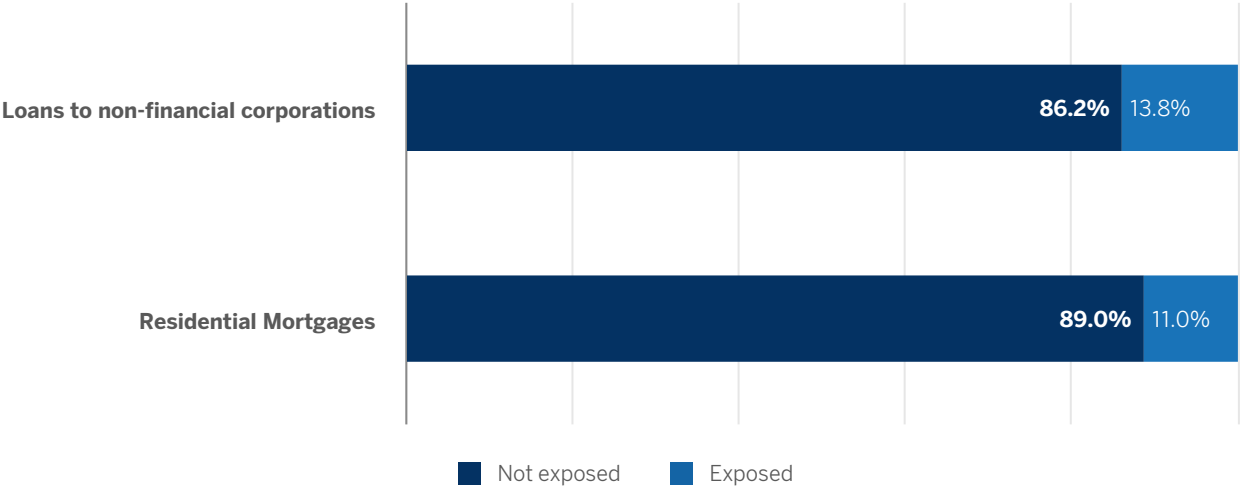
Exposure

As for the exposure component, in 2023 the granularity of the analysis performed was increased by optimizing the relationship between the administrative levels of the Think Hazard tool and the zip codes available in the different BBVA portfolios. Subsequently, during 2024 work was done to map the geographical coordinates of the collateral and assets available in the databases to postal addresses. Further work was carried out on the use of open databases of productive assets from different sectors and with location providers to be able to include, in the analysis, the locations of our clients' assets in 2025.

Vulnerability

For the vulnerability component, the analysis is based on eight indicators that capture the sensitivity of economic activities to direct and indirect physical impacts. The sensitivity of each sector to climate hazards is assessed indirectly by analyzing its sensitivity to these vulnerability indicators. This methodology follows the best practices identified by the Taskforce on Climate-related Financial Disclosures (TCFD) and UNEP-FI. The result is a qualitative classification of sectors according to the potential impact of chronic or acute climate changes on their business model and activity. Threat and vulnerability scores are applied at contract level, based on location to identify exposure prone to physical risk.

Chart 33. Exposure to physical risk as of December 31, 2024 (Percentage)¹



⁽¹⁾ The breakdown includes the portfolios of Spain, Mexico, Turkey, Peru, Colombia and Argentina.

Table 107. ESG5. Banking book - Climate change physical risk: Exposures subject to physical risk (Million euros. 12-31-2024)

Total		Gross carrying amount												
		of which exposures sensitive to impact from climate change physical events												
		Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non-performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		
		<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity						of which Stage 2 exposures	Of which non-performing exposures	
A - Agriculture, forestry and fishing	5,104	2,107	336	16	34	2	505	1,293	695	276	109	(70)	(6)	(54)
B - Mining and quarrying	4,420	1,715	7	40	16	2	335	1,059	383	63	7	(11)	(3)	(3)
C - Manufacturing	56,795	7,465	875	545	150	2	5,070	2,056	1,909	433	78	(78)	(18)	(45)
D - Electricity, gas, steam and air conditioning supply	18,759	5,692	864	228	16	3	1,978	4,546	276	88	7	(8)	—	(5)
E - Water supply; sewerage, waste management and remediation activities	1,272	8	3	—	—	4	—	12	—	—	3	(1)	—	—
F - Construction	11,235	766	43	52	7	3	26	814	28	43	29	(20)	(2)	(16)
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	38,159	288	121	15	1	3	15	395	14	44	22	(17)	(2)	(14)
H - Transportation and storage	13,069	93	15	4	—	3	5	74	33	13	2	(1)	—	(1)
L - Real estate activities	11,507	864	326	65	6	5	202	977	81	91	10	(10)	(2)	(4)
Loans collateralised by residential immovable property	97,034	544	1,262	6,395	2,519	17	456	10,065	199	1,042	584	(185)	(29)	(144)
Loans collateralised by commercial immovable property	30,553	3,218	1,580	397	21	5	1,234	3,252	730	363	123	(103)	(14)	(74)
Reposessed colaterals	820	—	—	—	84	20	43	39	2	—	—	—	—	—
I - Accommodation and food service activities	9,520	3,107	1,837	141	18	4	2,960	1,342	801	185	78	(60)	(8)	(40)
J - Information and communication	14,625	5	1	1	—	3	—	6	—	—	2	(1)	—	(1)
K - Financial and insurance activities	3,417	—	—	8	—	11	—	8	—	—	—	—	—	—
Other relevant sectors	17,005	215	54	110	6	6	110	260	15	18	19	(14)	(1)	(10)

(*) Accounting portfolios: "At amortised cost", "Fair Value through Other Comprehensive Income (FVOCI)", "Fair Value through P&L" and "Non-tradable at Fair Value through Profit or Loss". Instruments: loans, fixed income and equities. In addition, loans secured by residential real estate, commercial real estate and foreclosed real estate collateral. Sectors: non-financial corporations and households (only for the part of loans secured by residential real estate). Specific details: Main activity code (NACE) information used for internal management and reporting purposes. In other relevant sectors all other NACE activities are included until the perimeter is complete. These data represent the best information available to date.

Natural capital risks

Natural capital risks are those arising from actions to protect natural capital (transition risks) and the loss of ecosystem services that serve as inputs to, or facilitate, economic activities (physical risks). These are a source of economic risks due to the dependencies and impacts of economic activities on natural capital.

Customer activity can affect natural capital (impacts), while the loss of natural capital can generate risks for the operations and business model of BBVA's customers (dependencies).

- Customers with a high ecosystem impact face a higher level of transition risk due to regulatory and policy changes, the substitution of more efficient and cleaner technologies, changes in consumer demand, and market shifts.
- Customers with high dependence on natural capital may face increased physical risks generated by ecosystem deterioration, such as reduction in available water resources or loss of the capacity to protect against adverse climatic phenomena.

In 2024, BBVA developed an internal taxonomy of natural capital risks based on the heat map of impacts and dependencies it conducted in 2023. The methodology of the ENCORE (Exploring Natural Capital Opportunities, Risks and Exposure) tool developed by the Natural Capital Finance Alliance, which is also consistent with aspects contained in other reference tools such as the SBTN Materiality Screening Tool, developed by the Science Based Targets Network (SBTN), was predominantly used to carry out this impact and dependency identification exercise. The ENCORE tool provides a comprehensive assessment of the 21 ecosystem services on which each of the 167 economic activities depend for their production processes and an evaluation of the 7 impact drivers, assigning a level of dependence and impact (Very High, High, Medium, Low) for each of them. This analysis includes aspects related to water availability and quality, biodiversity and land use, as well as ecosystem contamination and waste generation.

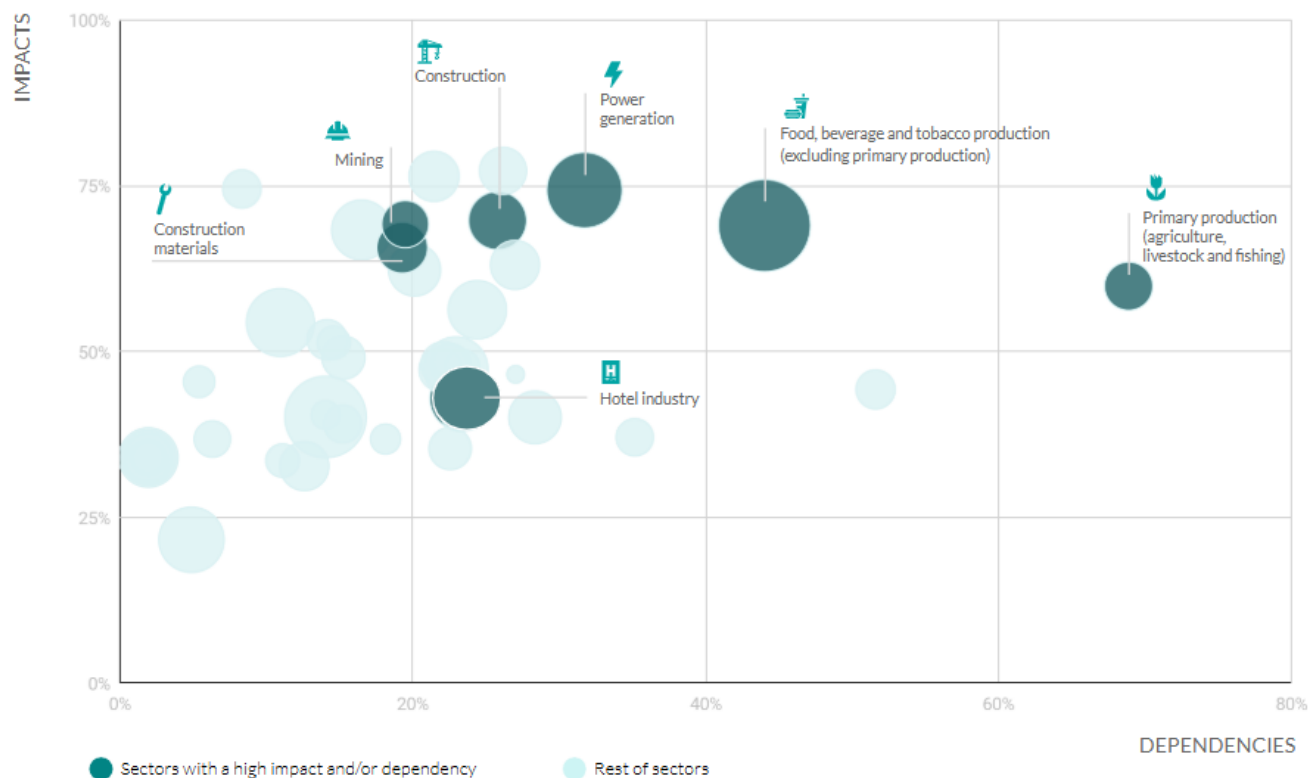
As a result, by combining the levels of impact and dependency, an exposure level (Very High, High, Medium, Low) is assigned to each sector in relation to natural capital risk. Activities deemed sensitive to natural capital risk amount to an EAD (Exposure at Default) of 71,786 billion, representing 34% of the wholesale portfolio.

Additionally, work has been done to complement the sectoral approach explained above with a geographic vision to capture the relationship between clients' activities and nature in the main geographies where BBVA operates, following the first steps of the TNFD's LEAP approach. This international standard recommends that dependencies and impacts be identified and assessed considering regulations, changes in the state of nature and the availability of ecosystem services.

BBVA follows the LEAP approach by including the following elements in the identification of natural capital risks. Firstly, an analysis of the regulations on biodiversity, water management and waste and pollution management in the main geographical areas in which BBVA operates to capture the transition risks arising from natural capital. In addition, physical risk scores relating to natural capital obtained from public sources such as Aqueduct Water Stress or Ecoregion Intactness Index are considered to provide a view of risk at the geographic level.

In short, the taxonomies make it possible to establish a level of climate transition and physical risk and a level of natural capital risk for economic activities. In 2024, the measurement of other environmental risks (natural capital) was included, for the first time, as a source of credit risk in the annual risk assessment, considering a specific analysis of water stress in Spain, Mexico and Peru, focusing on the specific sectors identified as exposed to natural capital risk and using the location of the clients.

Chart 34. Natural Capital - Heat map of impacts and dependencies



As a result of this analysis, seven sectors have been flagged as having a significant impact and/or dependence on natural capital: (1) Agriculture, livestock and fisheries (primary production); (2) Food, beverage and tobacco production (excluding primary production); (3) Paper and forest products; (4) Traditional power generation; (5) Construction; (6) Integrated oil and gas; (7) Integrated utilities; (8) Transportation infrastructure operators; (9) Mining; (10) Steel and other processed metals; (11) Oil and gas exploration and production:

- The dependence is largely due to the fact that customers operating in these sectors (i) rely on ecosystems for water (inputs), while (ii) ecosystems protect customers' business continuity from potential risks and disruptions such as floods and storms or, erosion control through vegetative cover.
- In terms of impact, the main impacts in these sectors are due to the amount of water and land used in their production processes, the waste generated, as well as the contamination of terrestrial and aquatic ecosystems.

During 2024, further progress was made in assessing natural capital risks and their financial impacts at the client level in those sectors identified as priorities. Specifically, it has begun to be systematically integrated into customer analysis processes through Sectoral Action Frameworks, which define risk appetite at the sector level and risk management policies at the customer level. Know Your Client (KYC) was also enhanced to systematically collect the policies and performance of customers in the Corporate segment in terms of water and biodiversity.

In line with the ESG data strategy, BBVA's goal is to collect specific data from each company about the location of their operations and make our assessments more accurate and granular. Currently, BBVA is incorporating three different providers who will supply us with the geolocations of the most important assets (sites) of our clients.

Exposure by sectors to climate and environmental risks

In 2024, BBVA developed an internal taxonomy designed to assess the exposure of major economic activities to transition, physical and natural capital climate and environmental risks.

Tabla 108. Risk level of economic activities

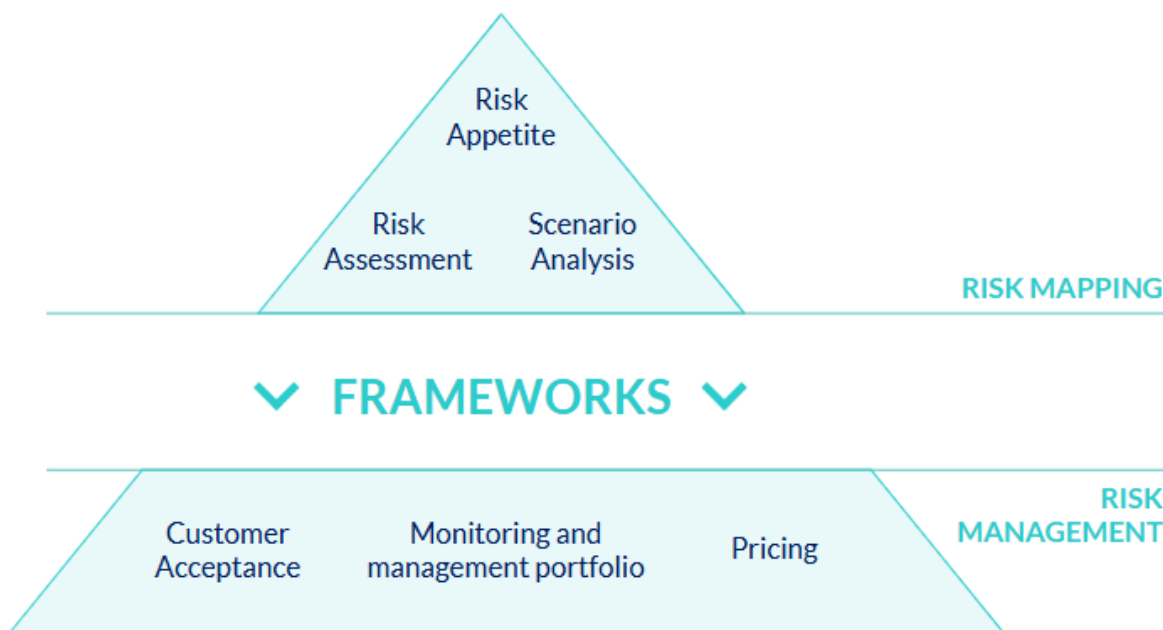
Sector	Subsector	Climate		Natural capital
		Transition risk	Physical risk	Transition and physical risk
Transport vehicles and components	Autos OEMs			
	Autopart suppliers			
	Other OEMs			
Basic Materials	Mining			
	<i>Of which: Coal mining</i>			
	Steel & processed metals			
	<i>Of which: Iron & steel making</i>			
	Chemicals			
	<i>Of which: Agrochemicals</i>			
Construction and Construction materials	Paper and forest products			
	Construction			
	Construction materials			
Energy	<i>Of which: Cement-based products and materials</i>			
	Integrated Oil & Gas			
	Upstream			
	Downstream			
	Oilfield services			
Basic consumption	Primary exploitation			
	Food, beverage, and tobacco production			
Transportation	Air transportation			
	Marine transportation			
	Transport infrastructure operators			
Utilities	Traditional/Multitech Electric Power Generation			
	Low Carbon Electric Power Generation			
	Electric Power T/D/Supply			
	Integrated Utilities			
	Gas T/D/Supply			
Others				
Exposure (EAD High or Very High)		12%	23%	34%

	Very high
	High
	Medium
	Low

Definition of risk appetite and resilience of the strategy to climate risks

Article 449 bis CRR - Table (1) m), q)

Climate change risk management at BBVA is part of the risk planning process. This process is marked by the risk appetite defined and is specified in the management frameworks that determine its treatment in day-to-day operations.



Risk appetite Framework (RAF)

BBVA's Risk Appetite Framework (RAF), approved by the corporate bodies and applicable in all significant geographic areas of the Group, determines the levels of risk that BBVA is willing to assume in order to achieve its objectives, considering the organic performance of the business. It is structured hierarchically, starting from the thresholds of the main metrics and metrics by type of risk, which lead to a framework of management limits. This framework includes a general statement that sets out the general principles of the risk strategy and the target risk profile. This statement highlights the focus on sustainability as a lever for BBVA's growth, emphasizing the incorporation of the impact of climate change as one of the key axes of risk management to promote responsible growth. This statement is complemented and detailed by a quantification of the appetite through metrics and thresholds that provide clear and concise guidance as to the maximum acceptable risk profile.

The definition of the levels of tolerance established in the Risk Appetite Framework is based on the risk assessment and scenarios described. On the one hand, the framework includes a classification of the activities most exposed to transition risk, using quantitative metrics established by the Group. In this way, the Exposure at Default (EAD) of activities classified as High Transition Risk ("HTR") is assessed. Based on this classification, the BBVA Board of Directors approves

thresholds at the Group and relevant geographic area level that establish the maximum appetite for this risk. Moreover, as of 2024, the RAF includes a new indicator linked to the degree of compliance with the decarbonization targets of a series of sectors for which BBVA publishes specific targets.

Additionally, for the management limits, a metric known as High Market Misalignment is measured, which evaluates the exposure to clients whose emission intensity is above 30% of the market average. This metric takes a transition risk management approach by focusing on customers with a clear level of misalignment from the emissions intensity trajectories established by the International Energy Agency's Net Zero Emissions scenario for each of the sectors. The calculation scope is the loan portfolio of the automotive, electricity generation, steel and cement sectors.

Looking ahead to the 2025 RAF, progress has been made in better defining maximum risk appetite levels for activities classified as HTR, thus limiting those exposures with worse TRi scores while supporting the growth of those clients that do a better job in transitioning.

Work is currently underway to establish monitoring metrics for physical risk and financed emissions.

Integration into the definition of risk appetite at customer level

Following international reference frameworks such as SASB's Materiality Map and rating agencies, BBVA has identified the sub-sectors of activity that it finances and the most relevant environmental and social factors of each one, including, in addition to climate change, aspects related to natural capital, such as pollution and waste, biodiversity and land use or water resource management. This exercise is included in the "Sector Guide for the integration of sustainability factors in credit analysis," which defines the most common metrics and reference thresholds in relation to environmental aspects and is used as a support tool in the underwriting process.

In the Wholesale Portfolio, the adaptation of policies and procedures is particularly focused on the integration of transition risk and physical risk in the Sector Frameworks (a basic tool used to define risk appetite in wholesale credit portfolios). During 2024, the sectoral analyses of the risks derived from decarbonization were updated and complemented according to the reference scenarios. BBVA also continued to define:

- For all sectors, good practices and weaknesses in the management of environmental and social aspects at the client level using sectoral metrics and indicators. These serve as admission guidelines in the annual client review process. In sectors with greater exposure to physical risk, specific admission guidelines are now being defined based on the location of the client's activities.
- For sectors flagged as HTR in the internal transition risk taxonomy, transition risk mitigation policies have been defined at the client level that can adjust the risk appetite (growth) accordingly. These policies are based on the results of the Transition Risk indicator.

Compliance with the definition of appetite established in the Sector Frameworks is a condition that must also be met by the alignment plans drawn up for each sector with emissions reduction objectives.

Within the Retail portfolio, further progress has been made in the integration of sustainability aspects, particularly those related to decarbonization and physical risk, in the Mortgage, Small Business and Loans for Vehicles Action Frameworks. In the case of Mortgages, origination limits have been defined for the first time in Spain and Turkey, combining the letter of the Energy Performance Certificate and the LTV ratio (loan-to-value ratio). Therefore, transition risk is now beginning to be integrated into the definition of the risk appetite for this portfolio. Another of the main aspects affecting the transition risk of these portfolios is the financed carbon emissions associated with each one of them. Therefore, the calculation of financed emissions serves as a lever to identify the portfolios that are most sensitive to changes in regulation, technology or energy prices or CO₂. In turn,

in the same manner as a risk mitigation lever, BBVA acts as a facilitator for financing investments needed to mitigate and adapt to climate change with more sustainable lifestyles and products.

BBVA has also applied differentiated pricing to loans with sustainability content, such as in the "Hipoteca Casa Eficiente", for homes with consumption ratings of 'A' or 'B'. As in mortgages, financing with sustainable products is encouraged when sustainability criteria are met, in this case for electric or plug-in hybrid cars. The availability of highly specific customer and operational data is an essential requirement for effective climate and environmental risk management.

Policies and standards for the management of climate and environmental risks

Wholesale and retail credit risk management standards and policies ensure that material climate and environmental risks are identified and assessed in due course. These standards and policies define key responsibilities, processes and tools applicable to each of the portfolio segments, as well as the Group's functions as part of climate and environmental risk management activities.

An advanced climate and environmental risk analysis is carried out as part of the process of integrating into the admission and annual review processes of customers in the corporate banking segment, regardless of the risk committee at which it is reviewed. This analysis includes five aspects:

- Assessment as to compliance with BBVA's Environmental and Social Framework.
- Result of the TRi, involving an assessment of transition risk and decarbonization plans.
- Assessment of compliance with the admission/underwriting guidelines and climate risk mitigation criteria set out in the wholesale Sectoral Frameworks.
- Compliance with the criteria defined in the Sector Alignment Plans.
- Analysis of controversies, understood as the presence of significant incidents related to the client's environmental, social or governance performance.

Teams specialized in ESG risk assessment, located in each of the geographical areas where BBVA operates and at the business areas, support this decentralized analysis performed by the risk analysts. This analysis may affect the risk decision, especially the management policy and the risk appetite with clients defined by the Risk Committees, as indicated in the wholesale Sector Frameworks, in the Environmental and Social Framework, or in the Alignment Plans.

To facilitate the above analysis and the collection of client data, in 2024 the use of the Client Sustainability

Toolkit —a common point of contact for the risk and business teams— was reinforced within the corporate banking segment so as to be able to view up-to-date client information on matters of sustainability.

Specifically, information from external databases was integrated such as CO₂ emissions, decarbonization targets, ESG ratings, controversies, consumption metrics and water management. The results of internal calculation engines, such as the level of alignment, financed emissions and the TRi, allows manual data capture by the teams involved in client reviews.

The TRi scoring system calculation is integrated into this work environment. During 2024, information has been collected on approximately 3,000 corporate banking clients from all geographies where BBVA operates.

Resilience of the strategy to climate change risks

The concept of climate resilience requires that organizations develop the adaptive capacity to respond to climate change, leveraging opportunities and managing the associated transitional and physical risks.

BBVA, when conducting the scenario analysis and in accordance with the option provided for in the ESRS, takes into account the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), which advise organizations to describe how well their strategy is able to seize opportunities related to climate change, consistent with a scenario of an orderly transition to a low-carbon economy; though also their resilience to possible scenarios of heightened climate risks.

As previously mentioned, BBVA's strategy may be affected by climate-related risks and opportunities. In this regard, efficient management of the material risks and opportunities arising from climate change is key to the successful achievement of BBVA's strategy. Thus, BBVA is working to measure the impact of different climate scenarios, both transition and physical risks, on its strategy and business. The initial results show, in relation to regulatory and internal exercises, immaterial impacts, both in terms of transition risk and physical risk. However, it is important to consider that methodological limitations, especially in terms of data and scenario design, could be underestimating the expected losses for the financial system. In this context, BBVA is working to reinforce and strengthen bottom-up methodologies and analytical capabilities in order to obtain projections of customer financial statements and estimate impacts on collateral values based on different climate scenarios and over different time horizons.

In this way, in terms of risk management, the impact derived from climate risks is fully integrated into the different phases of the risk cycle: identification, assessment, management, reporting, etc., as well as in the risk appetite framework, credit granting circuits and other relevant areas directly linked to the achievement of the entity's strategy. Moreover, in order to assess the

impact of climate change on traditional prudential risks (credit, market, liquidity, operational, etc.), the entity conducts a risk assessment exercise to determine the materiality of the risks identified in the double materiality analysis over different time horizons. Climate risk is assessed across the entire value chain, although due to the idiosyncrasies of BBVA's business, the part of the value chain most heavily impacted by climate risk is the downstream part, specifically the counterparties to which BBVA provides financing.

During 2024, a stress test exercise was carried out to assess the soundness and resilience of the business strategy in the event of a potential strategic exit from the relationship with certain customers should they fail to meet the milestones set out in the support plans drawn up. These support plans are a key pillar of BBVA's transition financing strategy, providing support to clients while reinforcing their level of engagement through actions that help to improve their transition process and ESG profile. Customers in this situation are closely monitored and are expected to make improvements in the short to medium term. The outcome of this exercise under the most adverse scenario (considering a complete exit from these clients) demonstrates the soundness of the business strategy.

Meanwhile, BBVA continues to carry out numerous actions to manage the impact of climate change on its strategy, its risk management processes and the management of its portfolio with greater exposure to physical and transition risks. These efforts include making climate aspects part of capital and the Internal Capital Adequacy Assessment (ICAAP) exercise, provisions, scenario analysis, internal and external stress testing exercises, climate data strategy and other aspects.

Finally, the resilience of the strategy in the face of different climate scenarios is reinforced by the fact that BBVA has set sustainability as one of its six strategic priorities, with a special focus on the fight against climate change, integrating its goal of aligning its loan portfolio with scenarios compatible with the Paris Agreement. Highlights include the company's interim targets for 2030 to reduce CO₂ emissions in the oil & gas, power generation, automobile, steel, cement, coal, aviation and shipping, aluminum and real estate (commercial and residential) sectors, as well as its eco-efficiency plan to reduce its operational footprint.

Provisions and capital

Article 449 bis CRR - Table (1) (o)

Throughout 2024, work was carried out to incorporate climate risks into the measurement of provisions and economic capital for credit risk, in order to incorporate this new source of risk in the credit risk parameters. This development has focused on two lines of work: first, a top-down effect based on macroeconomic scenarios was incorporated and, second, customer idiosyncrasies were incorporated through bottom-up effects.

In terms of calculating expected credit risk losses for loan portfolios, the Group has begun to incorporate climate risk factors through statistical models that consider both potential damage to collateral and the effect on customers' payment capacity due to physical and transition risk in the Group's main geographies (Spain, Mexico and Turkey). In particular, transition risk was assessed using an approach that allows BBVA to capture its effect on probability of default (PD) and the impact on client provisions in Stage 2, as well as a transfer of exposures from Stage 1 to Stage 2 for the Corporate portfolios. For physical risk, an approach has been used that would allow estimating the possible deterioration in the value of collateral (real estate assets in corporate and individual portfolios) and its impact on severity (LGD). As of December 31, 2024, the impact recorded by these risks has not been significant. The Group will continue to work to incorporate the information available at any given time into these models.

Also in 2024, in the aftermath of the damage caused by the torrential rain and flash floods in various Spanish municipalities between October and November 2024, the Group made provisions for credit risk in the amount of EUR 33 million.

Sustainability data strategy

Article 449 bis CRR - Table (1) p)

The deployment of the sustainability data strategy also continued throughout 2024, with BBVA reassessing data needs, identifying gaps, and developing a business process review plan to address these gaps.

In addition to data availability, new ESG data requirements are continually reviewed and shared with relevant stakeholders. BBVA has improved its practices by executing its plan and establishing a systematic process to collect the quantitative data necessary to manage climate-related risks. During 2024, work continued on a process transformation project covering mortgages, auto loans and customer/financial program reviews across all geographies, with the aim of strengthening the collection of data required for regulatory reporting and for managing climate and environmental risks (including energy efficiency, emissions and ESG customer data). This project involves the collaboration of teams from the areas of risk, sustainability, finance and business units of the Group. The data considered include those that satisfy both regulatory and management needs, such as those required for calculating the TRi, energy efficiency certificates for properties taken as collateral, ESG ratings, greenhouse gas emissions, location of assets and collateral, and specific sector metrics.

Collecting customer and transaction data remains a priority, and several approaches are being considered. New data providers are continuously explored to improve coverage in terms of geographies, segments and sectors, and in tandem, artificial intelligence-based capabilities

are being developed to collect customer data through unstructured public sources. Onboarding processes are also being modified to incorporate the collection of data provided directly by them, this being particularly useful for mid-sized companies where public data is not available. The data will be used for both commercial and management purposes.

In particular, BBVA continues to make progress in collecting data on real-estate assets' Energy Performance Certificates (EPCs) in the geographies where these types of certificates exist. In the case of Spain, work is being done to integrate the EPC into the mortgage origination process. To succeed in this task, BBVA is actively participating in various sectoral forums, with the aim of breaking down the barriers that currently prevent the full use of EPCs in new transactions and to standardize the methodologies for the valuation of transition risk in collateral at the European level, thus providing added transparency for the market. In other regions where there is no legislative framework comparable to that of the European Union in terms of energy efficiency in buildings, BBVA carries out projects aimed at estimating energy consumption and financed emissions that are as close to reality as possible and allow their integration into risk processes.

Likewise, in order to further strengthen the integration of the sustainability data strategy, BBVA incorporated global and local sustainability projects in the Single Development Agenda (SDA), including technological initiatives to make sustainability part of data models and implement global indicators to monitor the volume of sustainable financing channeled.

Methodologies and standards and considered in the climate and environmental risk management framework

Article 449 bis CRR - Table (1) k)

BBVA addresses the management and analysis of climate and environmental risks through a comprehensive approach that, as previously mentioned, combines alignment with international and market standards, best practices and specific methodologies identified in different international frameworks, as well as with current regulations on the matter and supervisory expectations.

On the regulatory front, BBVA considers various regulations in force in this area, including the EU Taxonomy Regulation 2020/852, the Corporate Sustainability Reporting Directive (CSRD), the European Sustainability Reporting Standards (ESRS) and Spanish Law 7/2021 on climate change, among others. This approach is complemented by supervisory guidelines, including the ECB's expectations on climate and environmental risks, the EBA Guidelines on ESG risks, as well as international best practices related to climate stress testing, among others.

BBVA relies on sector initiatives following the recommendations of the Taskforce on Climate-related Financial Disclosures (TCFD) and the UN Environment Programme Finance Initiative (UNEP-FI), together with sustainable finance principles and standards established by the International Capital Markets Association (ICMA) and the Loan Market Association (LMA).

It also relies on methodologies such as PCAF and PACTA for the analysis of emissions financed and the alignment of its portfolio with climate objectives, while also stepping up its commitment to the transition to a low-carbon economy through its participation in the Net Zero Banking Alliance.

To manage aspects related to the protection of natural capital, BBVA uses the methodology of the Exploring Natural Capital Opportunities, Risks and Exposure (ENCORE) tool, developed by the Natural Capital Finance Alliance, in collaboration with the UN Environment Programme World Conservation Monitoring Centre (UNEP-WCMC) and in line with references such as the SBTN Materiality Screening Tool. Meanwhile, when analyzing physical risks, BBVA relies on the World Bank's Think Hazard tool, which shows the risk levels of the different natural hazards, both acute (cyclones, heat waves, forest fires and river flooding) and chronic (drought and coastal flooding), at a global level and in varying detail depending on the geographical area of the planet.

The General Sustainability Policy expressly includes the protection of natural capital as one of its main focuses of action. Specifically, BBVA recognizes the need to protect ecosystem services and natural assets as well as natural ecological species and processes, and considers biodiversity and natural capital in its relationship with its customers.

The Environmental and Social Framework specifically includes a number of general prohibited activities³³, in relation to the loss of biodiversity and the fight against deforestation:

- Threats to protected areas: New projects that threaten: UNESCO World Heritage Sites, Ramsar-listed wetlands, Alliance for Zero Extinction sites, and Category I-IV areas of the International Union for Conservation of Nature.
- Deforestation: New High Conservation Value and High Carbon Forest removal projects.
- Non-certified palm oil farms: New palm oil projects in swamps and peat-rich areas.

In addition to these general restrictions, specific prohibitions have been established for new projects in the agroindustrial sector related to ecosystem protection. These include restrictions on new projects that involve the burning of natural ecosystems for the

purpose of clearing land for agricultural or livestock development, the removal of forests with high conservation value and high carbon content, as well as palm oil farms that are not certified by the Roundtable on Sustainable Palm Oil (RSPO) or are not in the process of certification. New palm oil projects in swamps and peat-rich areas are also excluded.

In December 2024, the Environmental and Social Framework was reviewed in order to assess its effectiveness and update it in line with best practices, changes in international standards and the expectations of our stakeholders.

As part of its project management, BBVA applies the Equator Principles (EP), which require an adequate assessment and mitigation of biodiversity risks in the projects it finances under the scope of the EP. In addition, the Equator Principles were updated in 2020, to focus more on biodiversity. It should be noted that for projects with impacts on critical habitats, BBVA, as part of the implementation of the PE, requires the implementation of biodiversity management plans aligned, when applicable, with the IFC (International Finance Corporation) Performance Standards, which require identifying and quantifying impacts on biodiversity, critical habitats and natural resources.

³³ Social and human rights aspects are disclosed in section 7.3 on Social Risk.

7.3. Social Risk

7.3.1. Strategy and business processes

Integration of social factors into business strategy

Article 449 bis CRR - Table (2) a)

BBVA's sustainability strategy focuses on two central pillars. First, and as mentioned in the previous section, the fight against climate change and the protection of natural capital, and second, inclusive growth.

BBVA seeks to have a positive impact on the lives of people, businesses and society as a whole. In this regard, in addition to its main financing activity, BBVA supports the economic and social development of the communities where it is present through the following lines of action:

- Generating quality employment for its more than 125,000 employees across all the geographies in which it operates, as discussed in the section on "Commitments to employees and compliance with labor standards".
- Helping customers improve their financial health and ultimately meet their life goals, as well as achieve their transition to sustainability. To respond to the needs of its customers, while continuing to act responsibly, BBVA has developed a differential value proposition predicated on innovation and new technologies.
- Supporting society in general, and the most vulnerable groups in particular, through the social action of its banks and foundations, as reflected in its 2025 Community Investment Goal to support inclusive growth.

When developing initiatives to slow the advance of climate change (mitigation) or curb its effects (adaptation), BBVA focuses on assessing the impact of these actions on its customers, employees, suppliers, affected communities and society in general. The aim is to propose solutions to manage these impacts and thus promote a just transition.

BBVA is aware that actions for the adaptation and mitigation of climate change are not enough to fight against the increase of inequality in society. It develops solutions to promote an inclusive economy and sustainable development, by financing infrastructure, promoting financial inclusion and supporting entrepreneurs and SMEs.

In addition, and from a more philanthropic angle, the Group carries out social programs targeting education, support for entrepreneurship, community support, research and culture, to promote the sustainable development of the societies of those countries in which it operates within the framework of its 2025 Community Investment Goal.

Objectives and goals set towards inclusive growth

Article 449 bis CRR - Table (2) b)

As mentioned in section 7.2.1. Strategy and business processes, between 2018 and 2024 BBVA channeled a total of EUR 304 billion in sustainable business, thus achieving, one year ahead of schedule, the target set of EUR 300 billion. Of the total channeled into sustainable business between 2018 and 2024, 78% corresponds to the priority of driving the fight against climate change, and the remaining 22% to that of promoting inclusive growth.

Wholesale clients

In 2024, the sustainable business pipeline at wholesale customers stood at around EUR 51 billion, up 27% on 2023, of which EUR 5 billion is linked to inclusive growth.

In the realm of corporate financing and transaction banking activity, BBVA has now channeled EUR 40 billion, of which EUR 4 billion relates to inclusive growth.

Enterprise customers

In 2024, the channeling of sustainable business toward corporate clients came to EUR 34 billion, up 62% on 2023, of which EUR 8 billion is linked to inclusive growth.

In the field of corporate financing and transactional banking activities, BBVA has channeled EUR 32 billion, of which EUR 7 billion relates to inclusive growth.

During 2024, it also noted the promotion of local initiatives such as the launch of a biodiversity bond in Colombia or new business opportunities in the wine sector in Mexico and Spain (for more information, see the section Natural capital risks).

The number of sustainable operations closed, such as loans, confirming and lines of credit, almost tripled compared to the previous year, reaching more than 75 thousand closed operations. Mexico stands out, accounting for more than 66% of these operations.

In order to obtain these results, several training events have been held with managers from different countries, encompassing the potential of products related to sustainability and solutions driven by digitalization, through structured commercial plans, supported by sustainable advisory services.

Retail customers

In 2024, the Group boosted the sustainable business channel through various products aimed at retail customers, achieving 60% growth compared to 2023. In total, EUR 14 billion was channeled³⁴, of which EUR 9 billion was linked to inclusive growth.

In 2024, BBVA channeled EUR 6 billion through various products and services aimed at retail customers, entrepreneurs and SMEs to promote their inclusion or consolidation within the financial system and thus foster their inclusive growth.

Notable efforts were made in 2024 to promote:

- Financial inclusion of more than 280,000 unbanked and underbanked people through various products, including digital accounts, savings accounts, credit cards, digital payment channels, as well as actions to promote financial and digital literacy among customers.
- The bankarization of 3.3 million entrepreneurs and micro enterprises, through micro loans, micro insurance, mobile payment solutions, point-of-sale terminals, as a signatory of the Collective Commitment to Financial Education and Inclusion promoted by UNEP-FI (in the framework of the guidelines for banks for the "Establishment of objectives for Financial Inclusion and Financial Health"). The objective is to support 4.5 million unbanked and underbanked entrepreneurs between 2018 and 2025. This will improve their financial resilience

by providing them with effective access to financial and non-financial products and services. So far, between 2018 and 2024, BBVA has supported 4.2 million entrepreneurs.

These solutions are complemented by other financial inclusion initiatives such as the promotion of the creation of accounts for minors with parental control, an app adapted to them and Bizum for those aged 12 and over in Spain.

Similarly, in 2021 BBVA established a goal of contributing to society, aiming to invest 550 million euros in social programs to benefit 100 million people between 2021 and 2025. BBVA has managed to meet its 2025 Community Investment Goal early, having managed to allocate 567 million euros to social programs and reach almost 106 million people.

In this sense, BBVA puts this contribution to the community into practice through its local banks and foundations, highlighting: (i) The BBVA Foundation; (ii) The BBVA Mexico Foundation, which focuses its activity in the educational sphere with its flagship program "Chavos que Inspiran" (offering a 10-year support plan to transform the lives of talented yet underprivileged young people from all over the country); and (iii) The BBVA Microfinance Foundation, which focuses on supporting vulnerable microentrepreneurs in Colombia, Chile, Panama, Peru and the Dominican Republic, through financial products and services such as microcredits, microinsurance or financial and digital education workshops.



Contribute to the inclusive growth of society

through social programs | Having a positive impact in society

2025 GOAL

€ 550 M

100 M
PEOPLE REACHED

FROM 2018 TO 2024

€ 567 M

106 M
PEOPLE REACHED

Limits and procedures to assessing and addressing social risk

Article 449 bis CRR - Table (2) b), c)

BBVA has established a set of restrictions on the financing of new projects in certain sectors, as set out in our Environmental and Social Framework. This Environmental and Social Framework (hereinafter "Framework") aims to establish the criteria for the identification, evaluation and monitoring of certain activities in the following sectors, selected for their high potential impact on nature and society: mining, agribusiness, energy, infrastructure and defense. In this way, the Framework identifies restrictions, either via

prohibited activities or activities requiring special attention in these sectors.

The Framework prohibits the financing of certain activities in relation to those clients and projects covered by the Framework, under the terms set out therein, or those that threaten protected areas, deforestation, or exploitation of uncertified palm oil, including the following:

- Violation of Human Rights: Customers for whom BBVA has sufficient evidence that they are employing child or forced labor, or are involved in human trafficking, as these concepts are defined in the relevant ILO Conventions.

³⁴ Of these EUR 11 billion, around EUR 7 billion relate to financing for small and medium-sized enterprises, while EUR 4 billion relate to Consumer Finance.

- Impact on indigenous peoples: New projects involving resettlement or infringement of the rights of indigenous or vulnerable groups without their free, prior and informed consent (FPIC).
- Controversial weapons and defense: Manufacturers or dealers of controversial weapons and their key components: anti-personnel mines, biological and chemical weapons, cluster weapons, depleted uranium and white phosphorus munitions and nuclear weapons (in the case of nuclear weapons, the ban will apply to those operating in countries that are not signatories to or in breach of the Nuclear Non-Proliferation Treaty).
- In relation to stakeholder involvement, BBVA participates in international sectoral initiatives in support of a just transition, such as the "Social and Human Rights Thematic Advisory Group (TAG)" of UNEP-FI.

In addition, on matters relating to social risk, it relies on a set of declarations, conventions and initiatives such as the UN 2030 Agenda and its Sustainable Development Goals (SDGs), Conventions of the International Labor Organization (ILO) and the Principles for Responsible Banking promoted by the United Nations Environment – Finance Initiative (UNEP-FI), among others.

Integration of social factors into the risk framework: management, commitments, setting limits, tools and relationship with other risks

Article 449 bis CRR - Table (2) i), j) k), l), m)

BBVA also applies the Equator Principles, which establish standards for environmental and social risk management in project financing. Currently in their fourth version (EP4), these principles are applied globally across all industrial sectors and cover five financial products related to projects: (i) advisory in financing; (ii) financing; (iii) corporate loans; (iv) bridge loans; and (v) refinancing and acquisitions.

In addition, given its significant presence in emerging countries, BBVA has developed an internal standard of inclusive growth, defining activities that can be considered sustainable due to their contribution to social objectives. This standard has been developed based on international principles on Human Rights, the Social Bond Principles and best market practices. Because social aspects have very local and regional characteristics, methodologies have been developed and thresholds have been established based on national and international indicators.

7.3.2. Risk management

Methodologies and international standards on which the social risk management framework is based

Article 449 bis CRR - Table (2) h)

BBVA is inspired by international industry principles and standards when designing its social risk management framework:

- As set out in its General Sustainability Policy, BBVA ensures compliance with all applicable laws and respect for internationally recognized human rights in all its relations with employees, customers, shareholders, suppliers and, in general, with the communities in which it conducts its business and activities. To help ensure compliance, since 2018 the Group has conducted two global human rights due diligence processes in order to prevent, mitigate and remedy potential human rights impacts in line with the aforementioned UN Guiding Principles on Business and Human Rights.

BBVA integrates social aspects into its risk management framework in a similar way to environmental and governance risks, with due consideration of financial and non-financial risks, including reputational risk.

BBVA has a taxonomy of reputational risks, which may result from environmental, social and good governance aspects. In this sense, the reputational risk associated with ESG aspects arises when the expectations of stakeholders regarding the management of these areas by the bank are not met, which can generate a negative perception.

According to the internal classification, this risk can occur for different reasons:

- The development and publication of internal sustainability standards not aligned with the expectations of stakeholders.
- Signing public commitments to sustainability that are not credible or unrealistic.
- The onboarding of socially or environmentally questionable clients (companies).
- Financing of socially or environmentally controversial operations.
- Considering or labeling something as sustainable that is not.
- Irresponsible communication related to sustainability.

BBVA carries out an annual reputational risk assessment and continuously evaluates, through different admission processes, the reputational risks of new initiatives. As part of this process, BBVA analyzes the social controversies of its customers (companies) by applying various tools and methodologies, as these can in turn impact the bank's own reputation.

All of this allows us to propose actions to prevent and/or mitigate environmental, social or good governance risks with reputational impact.

Social risks in wholesale clients

BBVA manages social risks from the wholesale customer's perspective, through various processes, including:

– Environmental and Social Framework

BBVA verifies, with the support of an independent advisor, that the wholesale clients covered by its framework do not engage in the prohibited activities envisaged for the sectors covered by the framework. It also analyzes whether they engage in any activity meriting closer attention, in which case BBVA evaluates the environmental and social impacts arising from the activity to be financed and may initiate, if necessary, a plan of dialogue and accompaniment of the client under the terms set forth in the Framework.

Every two years, BBVA performs an evaluation of the groups belonging to the stock under the sectors of this Framework. In this regard, by the end of 2024, 346 groups were analyzed by the framework, with five dialogue and support plans still in force.

– Risk assessment

BBVA has developed a "Guide for the integration of ESG factors in the analysis of wholesale credit", which identifies the most relevant environmental and social aspects by industry and obtains metrics to monitor the performance of corporate clients.

– Controversy management

Since 2024, BBVA has implemented a procedure for managing environmental and social controversies associated with wholesale clients. More precisely, the results are incorporated into the clients' financial program³⁵.

The KYC process includes, among other aspects, an analysis of environmental, social and governance disputes of corporate and institutional customers covered and not covered by the Environmental and Social Framework.

The controversy analysis carried out by the external provider to assign the score is based on the impact that the incidents have had on the environment and society (impact), the business risk as a result of incidents (risk) and the management systems and response capacity to incidents (management). In terms of social risk, we evaluate any controversies that may arise in relation to

customers, the supply chain, employees and workforce, and communities.

Based on the above analysis and the assessment performed by the CIB Sustainable Finance team, the risk teams consider the result of the dispute analysis as an additional input for the calculation of the customer rating and incorporate this analysis when defining the risk appetite with each customer, following previously defined specific criteria.

– Equator Principles

BBVA implements environmental and social risk assessment processes in order to mitigate and prevent negative impacts, reinforcing the economic, social and environmental value of project financing in sectors such as energy, transportation and social services.

In accordance with the EPs, BBVA submits each project under the scope of the EP4 to an environmental and social due diligence analysis, considering the impacts on the environment and human rights. This analysis is integrated into BBVA's internal processes of structuring, admission and monitoring of operations, in line with its Environmental and Social Framework. Each transaction is classified according to its risk level (categories A, B or C), and the documentation provided by the customer and independent advisors is reviewed. A specialized team at BBVA supervises and evaluates these projects, contributing to the decisions of the committees and approval of the risks.

With respect to the human rights assessment and according to the EPs, BBVA is required to conduct due diligence on projects that may impact indigenous communities. Where this situation arises, the free, prior and informed consent of these communities must be obtained, regardless of the geographical location of the project, in line with the recommendations of the EP Association. It also requires, in accordance with the EPs, a liaison with the communities impacted by the projects. When identifying potential risks, the operation must include an effective form of management of these risks, as well as operational mechanisms to support claims management. Regarding climate impacts, according to the EPs, project impacts are evaluated considering scenarios, as well as the mitigation and management measures adopted.

The data of the financed operations that were analyzed under the Equator Principles during the 2024 and 2023 financial years are detailed below:

³⁵ Procedure approved in 2023.

Table 109. Operational data analysed according to the Equator Principles criteria

	Category A ⁽¹⁾		Category B ⁽²⁾		Category C ⁽³⁾	
	2024	2023	2024	2023	2024	2023
Number of transactions	5	5	40	25	17	13
Total amount (millions of euros)	5,366	21,326	27,079	12,675	21,972	15,986
Amount financed by BBVA (millions of euros)	440	957	2,943	1,597	1,334	1,020

⁽¹⁾ Category A: projects with potentially significant adverse social or environmental impacts that are irreversible or unprecedented.

⁽²⁾ Category B: projects with potentially limited adverse social and environmental impacts that are few in number, generally site-specific, largely reversible and readily addressed through mitigation measures.

⁽³⁾ Category C: projects with minimal or no social or environmental impacts.

Out of a total of 81 operations analyzed (100% of the operations under the scope of the Equator Principles, in 2023: 54), a total of 62 operations were signed in 2024 (43 in 2023) and eight operations were rejected for reasons related to business concerns and the risk (credit, environmental and social) posed by the operations (2023: 11 operations rejected). Of the operations signed in 2024, 50% were in the power generation sector, 44% in the infrastructure sector, and 6% in other sectors. By geographic area, 56% related to the Americas and 44% to Europe, Middle East and Africa (EMEA).

Social risks in retail customers

BBVA identifies, accredits and documents the activity carried out by retail customers through KYC under a risk-based approach. KYC processes allow banks to gain more knowledge on customers, their operations, product segmentation, channels, needs and traceability of transactions.

The General Retail Credit Risk Policy establishes that one of the general principles governing retail credit risk management in the BBVA Group is respect for equality and diversity, avoiding unfair bias in access to financial products for reasons such as gender, color, ethnic origin, disability, religion, sexual orientation or political opinion.

Additionally, the General Risk Management Model Policy establishes that in order to avoid unfair bias in access to financial products based on gender, color, ethnic origin, disability, religion, sexual orientation or political opinion, none of these variables will be included in the admission and pricing models.

Commitment to Human Rights

Since 2018, BBVA Group has carried out two global Human Rights Due Diligence exercises in order to prevent, mitigate and remedy potential human rights impacts (such as human trafficking and forced labor, child labor, freedom of association and collective bargaining, equal pay or discrimination).

Through these processes, BBVA was able to analyze the following aspects:

- Identification of the main issues or potential impacts of operations.
- Improvements within BBVA to try to prevent and mitigate these impacts.
- The availability of channels and processes that facilitate grievance mechanisms for those affected in the event of a breach.

As a result, the Human Rights Action Plan was drawn up and published, setting out the actions to be taken by the BBVA Group in this regard over the coming years.

Similarly, global due diligence processes were replicated in Spain, Mexico, Turkey, Argentina, Colombia, Peru, Uruguay and Venezuela. In 2021, each country prioritized those issues with the greatest impact and frequency resulting from local social and governmental practices and from the interviews held with the management areas and global risk control specialists.

As a result, each country developed its own action plan. To ensure an effective follow-up, a semi-annual evaluation of the action plans was carried out at the local level. Strategies adopted to mitigate risks included the strengthening of key procedures at local level in order to implement established global policies, in addition to interviews held with management areas and risk control specialists at global level.

Through these exercises, the Group's internal processes, actions and policies, among others are able to address and mitigate the probability of occurrence of the following concerns: human trafficking and forced labor, child labor, freedom of association and collective bargaining, equal pay or discrimination.

To identify and assess the impacts, the Group has developed its own internal taxonomy that evaluates 28 human rights issues grouped into six thematic blocks: Employment conditions, projects and products (focusing on large corporate customers), supply chain, customer well-being, respect for communities, and various cross-cutting issues (such as data protection and the impact of new technologies on human rights).

It should be noted that nine of these issues are included in the "employment conditions" thematic block, which includes issues related to the company's own personnel, such as the fight against labor and wage discrimination, fair hiring and remuneration, labor rights and relations, and health and safety. Meanwhile, three issues in the taxonomy cover aspects related to customer well-being such as accessibility, service and safety and respect. In the case of both employees and customers, it was considered that the policies relating to these matters are in line with the UN Guiding Principles on Business and Human Rights and the ILO Declaration on Fundamental Principles and Rights at Work or the OECD Guidelines for Multinational Enterprises.

For each of the 28 issues, an assessment was made of:

- Inherent risk: based on the severity of the impact and frequency of occurrence of each issue.
- Residual risk: assessing the mitigating aspects available to BBVA to manage each issue. In this identification and evaluation phase, potential negative impacts on stakeholders, such as employees (with a focus on women), suppliers or subcontractors, customers, as well as the indigenous population and local communities, were taken into account.

In 2024, BBVA continued to track the degree of progress toward the 2021–2023 Human Rights Action Plan.

Complaints mechanisms³⁶

BBVA has a Whistleblower Channel whereby any stakeholder can report, confidentially and anonymously if they prefer, any behavior which, in their view, may be directly or indirectly related to human rights. In 2024, the complaints received through this channel showed no evidence of human rights abuses attributable to Group entities.

³⁶ A complaints mechanism is a formalized way established or facilitated by the company, whereby individuals or groups may raise their concerns with respect to any impact of the company on their lives, including the consequences for human rights.

7.4. Governance risk

Making counterparty governance performance part of governance risk

Article 449 bis CRR – Table (3) a), b), c)

Governance risks in relation to our counterparties include the various types of controversies they may face, including, but not limited to, the following:

- i. Ethical considerations, such as integrity of conduct, values and ethics, anti-bribery and anti-corruption measures, accountability and compliance with the rule of law and regulatory framework.
- ii. Assessment of the strategy and risk management through strategy implementation, operational execution and monitoring, internal controls and risks management, policies and procedures.
- iii. The consideration of diversity and inclusion, by looking at the gender gap, pay gap, and representation of people from minority groups in management positions.
- iv. Efforts to become more transparent in reporting information on discrimination, tax commitments and payments, and in disclosing lobbying activities.
- v. In relation to the management of conflicts of interest: any conflict that affects the governing bodies.
- vi. Internal communication on critical concerns: insufficient communication of critical internal issues and difficulties in escalating to the highest governance bodies.

BBVA integrates counterparty corporate governance practices into decision-making processes, and assesses operational performance standards, the existence of robust internal controls, and the oversight structure of independent processes and policies, including processes to ensure the quality of financial and non-financial reporting.

In the KYC process, sustainability governance practices in the client review and onboarding process are assessed, including the existence of board-level sustainability oversight and practices for integrating sustainability targets into management remuneration. Therefore, the management of governance aspects is assessed on the basis of its experience and knowledge of the sector, and of potential customers and their needs. In sectors with high ESG risk exposure, the ability of the customers or counterparties to manage these new risks can be critical.

The various frameworks considered when analyzing governance risk include the following statements, conventions and initiatives:

- United Nations 2030 Agenda for the Sustainable Development Goals (SDGs).
- UN Global Compact.
- OECD Guidelines for Multinational Enterprises.
- Principles for Responsible Investment (PRI).
- Principles for Responsible Banking promoted by United Nations Environment – Finance Initiative (UNEP-FI).

7.4.1. Risk management

BBVA builds governance aspects into its risk management framework, much in the same way it does with environmental and social risks. To do so, it analyses the corporate governance performance of its clients and considers their management and governance practices in the risk underwriting process.

Integration of corporate governance practices into risk management processes

Article 449 bis CRR – Table (3) d)

The identification, assessment and monitoring of the risks of customers and their operations are integrated into BBVA's standard risk, compliance and operations processes and tools. Decisions are based on internal information or, where appropriate, on information provided by independent external analysts. More precisely, the Governance and Management module of the corporate segment credit rating model includes these aspects.

BBVA has recently approved its risk taxonomy standard, which constitutes an inventory of all the risks to which BBVA is, or may be exposed, when carrying on its business activity and pursuing its strategy and, therefore, is adapted to BBVA's risk profile. In this taxonomy, governance risks are treated as level 2 risks that can be translated into prudential risk categories (credit, real estate, market, liquidity and funding, business strategy, operational, reputational). Reputational risks in this standard also include negative perception due to association with third party companies.

BBVA considers the corporate governance performance of its corporate clients, analyzing their compliance with management practices. In other words, disputes affecting customers are analyzed and taken into account, together with the other internal risk management indicators that feed the risk appetite with each customer.

The management and governance analysis serves as an input when calculating the credit rating and addresses the following factors: strategic positioning; financial and risk management; operational efficiency; and governance practices, including the management of environmental and social factors.

In this case, it is a rating modifier that should be considered negative if the company does not provide basic information related to governance. The following specific factors and subfactors are considered:

- Strategic positioning and consistency of strategy with organizational capabilities and market trends, strategic planning process, ability to monitor, adjust and control strategy execution.
- Financial and risk management in terms of risk management and risk tolerance standards.
- Financial and risk management as it relates to operational performance standards and enterprise-wide risk management standards and tolerances.
- Management's operational effectiveness, knowledge and experience, and depth and breadth.
- Governance and reporting practices, including financial and non-financial reporting assurance practices.

These factors are in line with the definitions of the EBA governance factors set out in the Draft guidelines on the management of ESG risks.

In addition, another of the aspects looked at when reviewing customers is the integration of climate change into customers governance and decision-making processes, in line with TCFD recommendations.

BBVA analyzes the customers' ESG disputes as an indicator of the quality of their governance and internal controls. In the area of governance risk, disputes related to (i) ethics, (ii) transparency: participation in lobbying activities and standards and practices; and (iii) management of conflicts of interest are all reviewed.

During the annual client review process, the existence of an internal committee to review and monitor sustainability and climate management as well as the integration of sustainability objectives in the remuneration of the management team and the management committee.

BBVA analyzes, with the support of an independent advisor, that wholesale clients covered by its Framework do not engage in the prohibited activities outlined for the sectors it covers. It also assesses whether they engage in any activity of special attention, in which case BBVA evaluates the environmental and social impacts derived from the activity to be financed and may, if necessary, initiate a dialogue and support plan for the client under the terms set out in the Framework.

On a biennial basis, BBVA conducts an evaluation of the groups within the portfolio under the sectors of this Framework. As of the end of 2024, 346 groups were analyzed, with five dialogue and support plans still in place.

According to the Environmental and Social Framework, if there is sufficient evidence that a new client or new project subject to the Framework engages in any of the following "prohibited activities", said new client or new project will not be financed. If the following are found to exist: (i) customers subject to EU, US or UN financial sanctions; and/or (ii) customers for whom BBVA has sufficient evidence that they are employing child or forced labor, as defined in the ILO Conventions. In the event that any of the previous activities are detected in existing clients, BBVA will activate customer relationship management proposals that could even involve discontinuing their financing.